Hexaware Tech. (HEXT)

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Call: Mar 2025

HEXAWARE TECHNOLOGIES LIMITED
Regd. Office: Bldg. No. 152, Millennium Business Park, Sector – III, ‘A’ Block, TTC Industrial Area,
Mahape, Navi Mumbai - 400 710 (INDIA) | Tel: +91 022 3326 8585 | Email: investori@hexaware.com
CIN: U72900MH1992PLC069662 | URL: www.hexaware.com

HEXT/SE/2025/1 9

Date: March 12, 2025

To, To,
Lis■ng Department Department of Corporate Services
Na■onal Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra-Kurla Complex, Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai - 400 051 Dalal Street, Mumbai - 400 001
Symbol: HEXT Scrip Code: 544362

Dear Sir,

Sub: Transcript of investor/analyst call held on Friday, March 7, 2025
Ref: Our earlier intimation with Ref. No. HEXT/SE/2025/12 dated March 4, 2025
In continuation to the above-referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the investor/analyst call held on Friday, March 7, 2025, for the quarter and year ended December 31, 2024. The transcript of the investor/analyst call is also made available on the Company’s website.

The link to access the same is as follows: https://hexaware.com/investors/quarterly-results/ .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For HEXAWARE TECHNOLOGIES LIMITED

Gunjan Methi
Company Secretary
Encl.: as above.

“Hexaware Technologies Limited
Q4 CY '24 Earnings Conference Call ”
March 07, 202 5

MANAGEMENT : MR. R. SRIKRISHNA – CHIEF EXECUTIVE OFFICER –
HEXAWARE TECHNOLOGIES LIMITED
MR. VIKASH JAIN – CHIEF FINANCIAL OFFICER –
HEXAWARE TECHNOLOGIES LIMITED
MR. VINOD CHANDRAN – CHIEF OPERATING OFFICER
– HEXAWARE TECHNOLOGIES LIMITED
MR. NIRAJ KHEMKA – HEAD INVESTOR RELATIONS –

Moderator: Ladies and gentlemen, good day, and welcome to Hexaware Technologies Limited Q4 CY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Niraj Khemka from Hexaware Technologies. Thank you, and over to you, Mr. Khemka.
Niraj Khemka: Thank you, Michelle. Hello, everyone. This is Hexaware's first earnings call since our relisting on 19th Feb and we are delighted to connect with you. In the call today, we have Mr. R. Srikrishna, CEO, Mr. Vikash Jain, CFO; and Mr. Vinod Chandran, COO. In the course of this call, we may make certain statements which are forward -looking and may involve a number of risks and uncertainties.
All forward -looking statements made herein are based on the information presently available to the management, and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, there is a full disclosure which has been included in the Investor Presentation and the Press Release. We consider that as read.
With this, I'll hand over the call to Keech. Over to you, Keech.
R Srikrishna: Thank you, N iraj. Welcome to all of you. Good morning, good afternoon, good evening, depending on where you are in the world. First, big welcome to all the Investors . I think there are 180,000 odd. I hope all of you made a lot of money.
It is our first call. It's a bit of a compressed schedule because we have, I think, the last window a few days to announce the Q4 results. So here we are. A little bit housekeeping, I think many of you know this that we are around calendar year. Calendar year is our fiscal year. So this is our quarter 4 for the fiscal year '24, which is also calendar year '24. Just to kind of keep reminding everyone of that, we have put a terminology as CY '24, which is also the same as FY for us.
We had a really good fourth quarter. A little bit of momentum of continuing acceleration in Y -on-Y growth continu ed, are just a bit of lag in the slides that will come up to what I'm talking.
So our fourth quarter '24, we finished at a modest 0.2% constant currency growth, but more importantly, close to 19% Y -on-Y growth for the year. This is, of course, was accelerating through '24. It also means that on a full year basis, we closed at about 13.5% Y -on-Y on growth up. And all of you, of course, follow all of our peers, really kind of only one company clearly above and another company is in the range, nobody else is in double digits.
On profitability, we have been improving our absolute reported EBITDA numbers. In our DRHP RHP, we reported adjusted numbers. During the roadshow, we said we will not present adjusted numbers also in this. So you'll not see any adjusted numbers for us in t his.
You also heard us say that the adjustments are truly one -off, and then we will see. And I think you're seeing evidence of that through a sharp increase in reported EBITDA in a pretty soft quarter – cyclical quarter for us. And in effect, the reported EBITDA is up 50% Y -o-Y and are

in absolute terms . And actually, our EPS is up 65% Y -o-Y in absolute terms. So with all of this, we combined with a very strong closing cash position of just under INR2,000 crores or about $230 million.
We added 4,000 people in '24, which is amongst the highest in the industry for IT growth. So we added, we were close to the net headcount of just over 32,000 people . Attrition has been trending down. It is

now, we think, the lowest or among the lowest in the industry at 10.8%.
This is great on a number of fronts, it means people like working for Hexaware. I think it also means that profitability -- attrition is a big negative for profitability. The cost -- difference between cost of hires versus cost of at trit drives profitability down and we've got that to a best in the industry level.
Our utilization for Q4 is at 81.6%, which is seasonally impacted due to furloughs. So we are actually okay with where it is. It does mean we have headroom to grow from here, but some of it is due to furloughs. We're very proud that for the first time we ha ve a customer whose revenue is in excess of $100 million. We added four customers in the 20 million category. So up from 11 to 14 in just 1 year of customers that give us about 20 million, that's a lot of solidity in the middle of a pivot, which gives us confidence for the future. And our top 10 client revenue concentration is about 36%.

We are proud that we got recognized in brand finance, top 25 most IT brands globally. In our RHP and DHRP, we presented our NPS data. An additional data point that did not get presented in that is that Europe -specific study by Whitelane Research. And this we were again ranked first in general satisfa ction across a number of different countries that we operate in Europe and U.K.
Growth for us has been broad based. Let me kind of talk to both ends of growth here on the vertical side. You see that growth is led by High Tech and Professional Services and Financial Services in that sequence, 22%, 19% Y -o-Y growth. This was full year ' 24. This is kind of consistent with -- which has been consistent with our commentary that financial s ervices did a smart turnaround for us, and we expect that to sustain going forward.
We said, on the other hand, manufacturing and consumer is a challenged sector. Frankly, we've had at least two clients that have gone through Chapter 11 which, among other secular headwinds, there are two additional kind of specific to our portfolio headwinds that off this. We don't see this to recover substantially, but we will see perhaps somewhat better in '25 than in '24.
I think our negative outlier in '24 from a performance perspective is banking. We'll see at 7.6% growth, actually, there's couple of one - offs that contributed to that. We actually see that coming back pretty sharply in about 6 months. But nevertheless all of this aggregated to mid -13s – I apologize. I didn't know when we got disconnected. So I'm actually going to just talk through verticals and geographies once again .
So our growth kind of came broad based as in every vertical group. However, there's quite a wide variance in the growth. Headlining growth was High Tech Professional Services and Financial Services in that sequence. And it's consistent with what we've spok en about that Financial Services saw a smart recovery for that. And actually, we think these will sustain.

The other end is Manufacturing and Consumer. Apart from secular headwinds across the industry, I think we have at least 2 clients that went through Chapter 11, which added to headwinds for us. And this softness will persist somewhat. Banking, at 7.6% low p erformance actually is a few one -offs. We actually think this will recover very smartly in a couple of quarters. But in aggregate, all of this still meant mid -13 growth, which is solid in a difficult economy.
From a geographic perspective, I'll start with APAC at 6.5% growth, that's much lower than company average. However, it represents a sharp increase from what our historical performance in Asia has been, and we expect this will actually accelerate. Europe h as come down after a number of years of outstanding performance, and actually, it will make an improvement to company average is the broad expectation. And

U.S. will continue to do very well like it did in '24.
We spoke a little bit about client pyramid and client concentration. Again, we are very proud that we have our first $100 million client. We expect to expand that list pretty quickly. And that's fed by strength in every level of the pyramid below. And like I said, 30% to 40% increase in the 20 million customer base. It is the most important feeder for customers becoming larger. And we've done all this while moderating customer concentration risk over a medium -term period.
So some examples of deals we've won during this quarter. There's a mixture of existing clients and new clients. The right 2 are new clients and the other 4 are existing clients. I'll give -- throw some color on this. The top right hand, the global supply c hain management provides logistics in-store marketing support for some of the largest food and beverage quick service restaurants in the world.
And our initial work with them starts with AI -based outsourcing of tech operations. We started work with a global leader in eDiscovery. And this is an area that substantially will be altered by AI. And our solution what we are executing for this customer r eflects that philosophy, that substantial amount of AI and how we're building platforms and products for this customer.
The left four are existing clients, the one that I will highlight here is entirely based on RapidX, and GenAI is a major airline in the U.S. legacy modernization using RapidX, extremely old code written like over 50 years ago, uncovering both the code and business logi c behind that code using RapidX is that example.
A little more commentary on profitability and EBITDA, we said 3 things when we met people during the roadshows. One, we will not report an adjusted EBITDA, we're not. Two, we said our adjustments are truly one -off and they will recede. You're seeing evidence of that here. Third, what we said is that our reported EBITDA for '25 will be close to the adjusted EBITDA for '24. The adjusted EBITDA for '24, 17.3%. You don't see that here. And we fully expect to get that pretty quickly. Right now, the only one -off costs left is ERP , which will continue through Q1 and Q2, but it will go to zero after that. So you should see the numbers that we spoke about playing out.
With that, I'm going to hand over to Vikash for a few minute.

Vikash Jain: Thanks, Keech. Hello, everyone. So as Keech already described that we have improved our margins both from a quarter -on-quarter perspective and from a year -on-year perspective on a reported basis, and that's primarily driven by three aspects. One is with respect to better pricing, the second is in terms of our operational improvement, and the third is SG&A leverage. Some of the metrics, what you can see here from an operating -- from an operational improvement perspective and our attri tion rates have come down significantly.

And we know that attrition is the single most important factor in terms of driving the cost of delivery. So our attrition rates are down to 11 percentage. It is primarily driven by the fact that we are growing so that's the reason people love to work for u s and Glassdoor ratings are one of the highest. The quality of the work they do is topnotch and added to the fact that we are expanding in Tier 2 locations is actually helping us bring down our cost of delivery and the attrition.

Utilization rates. We have put in a lot of initiatives which basically have helped us in terms of improving our utilization to close to 81.2% and going up to 83%. We think there is a bit of a headroom available for us to improve it further. What you see in Q4 as Keech described is primarily an impact of the lease in seasonality from a Q4 perspective but this will come back into, again, the 82% plus range from a Q1 perspective.

Moving on. We have a

very strong balance sheet. Our closing cash balance was $233 million, primarily driven by DSOs, which has been one of the lowest from an industry perspective. We closed Q4 at 65 days with both billed and unbilled put together. Clearly, the best in the industry. Just want to add it that our comfortable range in terms of where our DSOs are going to be is around the 70 mark. So that's what you should consider when you are modeling. And the fact that our working capital management helped us in terms of reduce our DSO . So significantly our OCF to EBITDA was at a very healthy 75% on an adjusted EBITDA basis. But on a reported basis, it was at close to 81%. Again, the range for us, as we had communicated, is close to 70% on a go -forward basis.

Our ETR continues to be one of the lowest in the industry. The full year ETR was close to 25%. From an EPS perspective, Keech already spoke about the fact that we have added and done a good job in terms of our margins. So Q4 EPS was a year -on-year growth o f 65%. Even from a full year perspective, it was 18%, much faster than the revenue growth.

Last, we continue to return cash back to our shareholders. From a dividend perspective, we paid out close to 45% of our profit for the full year in the form of dividend, which in absolute terms turned out to be INR8.75 per share.

I'll hand it over back to Keech.

R Srikrishna: Thank you, Vikash. I want to spend a few minutes providing a view on '25 and future. I think the first thing I would say is we've decided not to do guidance. Now, we spent a little bit of time thinking about this -- debating this. I think we would like to start off because we're coming back to market after a while, start off giving you guidance. And there is certainly confidence to do

that. However, we're thinking about several years, 10 years. And we think it's best that we don't provide a guidance.

Before I go to '25, I want to talk about a couple of things that will be true in most years, some patterns that will be true in most years. One is that our calendar quarter 1, calendar quarter 4 are seasonally low quarters. Variety of factors furloughs, bu dgets, calendar budgets, year -end, people cut to meet some budgets. Year beginning, people haven't released budgets fully yet or there will be an unexpected change to programs. So most years, we see kind of some discontinuities. And as a consequence, we a re seasonally low quarters.

Q2 and Q3 have the best sequential performance. We think the best way to take into account these is to look at Y -on-Y performance and the full year performance. So those 2 Y -o-Y accounts for the seasonality and full year, we think, is a good absolute measu re. It is also always true for us that Q3 will be a wage hike quarter. Quarter 3 will be a wage hike quarter. Actually, July 1 will be wage hike month for us.

Now I'm going to get into specifics on '25. The first thing that I want to highlight is that our Y -o-Y rates through second half of '24, which is the numbers we just spoke about, the 9 8% and the 16-odd percent in Q3 are somewhat elevated due to a weak denominator in '23, corresponding period in '23. That is true not just for us, it's true for pretty much everyone in the industry that we saw a significant slowdown in H2 of '23.

Our Q4 exit is pretty strong at greater than 4%. Actually, if you adjust for furloughs, it is about 5% is the exit. I think what is true is that even since the time we listed, in the last 2 weeks,

macros have trended marginally negative. All of you follow the same news that I do. So it's good to acknowledge that macros have trended marginally negative.
However, we actually expect that our '25 performance to be resilient to modest macro changes. When I say modest, if the roof falls on our head, that's different and that will be different for everyone. But modest changes such as

the one that I would descri be as what is happening now,
our performance will be resilient to that.
Some quick evidence on the basis of why I'm seeing this. Two of our top 3 customers are going through material consolidation efforts, which we've already won. Okay. And we expect some ramp on this in Q2 and a material ramp from Q3. In fact, the larger of t hese 2 that customer's fiscal year is from July. So a lot of this execution will actually start in their new fiscal year, which is our Q3.
There are two more significant deals. These are with very large customers who are not large for us. They are large brands. And should we win even one of them. Both these will have ramp in H2 or Q4. But should we win even one of them, it will put us in a pretty good spo t for '25 and more importantly for '26.
Yes, I'll just summarize, I think macro s economy got weaker, but we don't think it impacts the current shift impacts how we think about our business and performance, and I spoke already about EBITDA. We had said we will get to adjusted margins what we presented in '24, which

was at 17.3%. We'll get to that on a reported basis or roughly that in a reported basis in '25. And I think that outlook remains primarily driven by ramp -up and one -off adjustments.
With that, I will pause and take questions.
Moderator: First question is from the line of Ankur Rudra from JPMorgan.
Ankur Rudra: Congratulations on the first quarter. So just a question, clarifying what's the organic growth for 4Q? Because I understand there was an impact of an acquisition, if you can clarify that to start with. Secondly, if you can talk a bit more about the broader demand environment you're seeing, especially with regards to the budgeting cycle in your top 30, 40 clients. Any color on discretionary spending that's coming through?
R Srikrishna: So, Ankur, I could speak to you. I think there's 2 -odd percent of acquisition impact on a year -on-year growth for Q4. So the 18 -odd will come down to 16 -odd. So that's on the first question.
I think on budgets, there's clearly some uncertainty. And I'll say just remove the current uncertainty cycle for a second, okay? I think prior to this, there was certainly some modest positivity. And prior to this say, two, three week period, my expectation was that positive will kind of directionally cont inue. I would still say the positivity is largely true in multiple sectors, okay?
Financial Services, especially banking Financial Services, I think, continue to be in that direction. There's more -- a lot more uncertainty in industries that are first order impact of tariffs. Of course, eventually, second order impacts will also become -- come into play. But first -order impact of tariff industries, there is more uncertainty, which is for us, Manufacturing and Consumer.
Ankur Rudra: If you could elaborate a bit more, Keech, in terms of the impact, is the customer reaction to this uncertainty, any kind of freezing of programs which previously were decided? I mean, just talk us through in terms of how you see this play out right now and how it may play out going forward?
R Srikrishna: I don't think we are yet -- there's sufficient time that has passed for us to know or understand the full impact. Everybody is kind of watching a whipsaw effect on a daily basis, right? I'll also say one more thing to what I said, right, that there are customers who at the beginning of the year kind of said, hey, I know that I'm going to reduce spend. However, I actually want to do more with a lesser number of partners. That's the reason I'm going to undertake a consolidation exercise.
And like I said, two have been completed and two are in works. The two which are in works are where we have virtually no presence. So in that scenario, we have challenges all upside. In the two that we won, they were both do

wnsides and upsides for us. We were fortunate to end up on
the upside. But the point I'm saying is, yes, there are clients who said here, I'm going to reduce spend but increase with a smaller number of vendors.
Ankur Rudra: Understood. Just one last question. In terms of your capital allocation plan. How are you thinking about M&A with the cash on the balance sheet? And what kind of sizes of acquisitions are you

likely to be looking at? There's been some news flow about a very large acquisition, if you can comment on that one at all.
R Srikrishna: I won't comment on the news. But I think it's fair to say that we have an active corporate development program, M&A program that has a pretty solid and active pipeline. And at any given point of time, we're looking at deals, and we have some bids in.
Moderator: The next question is from the line of Umar Manzoor from Allianz Global Investors.
Umar Manzoor: I just want to ask two questions. One, is away from the business uncertainty itself. Do you see any risks from the -- in the U.S. from just the U.S. policies basically in terms of not just visas, but just general made in America stuff? That's one question. The other is , if you could comment at all on the plans for the bond as a shareholder. I'm not sure if that's within your scope to comment ? But that's my second question.
R Srikrishna: So I'm not sure I fully heard the second question. Would you repeat that?
Umar Manzoor: Concerning the bond as a shareholder and what's the plan for that?
R Srikrishna: Yes. So yes, I'll kind of not address that in this call. We do have it's a public bond, so we do have calls on that. So if you join that call, you could kind of hear more on that. On the first one, I don't think that legal immigration is a topic of discussion currently. In fact, I think the administration is clearly thrown its support for the most part behind H -1B, right? It's not often that President Trump actually shows his cards. But in this case, he did, and he throw his support behind H -1B. Having said that, I think as a consequence of Trump 1.0, our dependence on H -1B from an incremental growth perspective is modest. So I'm going to say like in, yes, like maybe 80 people with H -1B that went to the U.S., even should that go to zero, it's not going to create any material impact to our business.
Moderator: Next question from the line of Rishi Jhunjhunwala from IIFL Capital.
Rishi Jhunjhunwala: Yes. Just a couple of questions. Keech, the two customers that you have talked about, just wanted to understand given how the environment in BFS today is and the increasing uncertainty around that also, apart from the fact that you will benefit from the vendor consolidation. Otherwise, in terms of spen ding -- the underlying spending in those customers, can you give some color? And also the consolidation benefit is coming at the expense of what kind of vendors or what kind of work ?
R Srikrishna: Yes. So one of the two is Financial Services. The other is in Professional Services. One of them and I won't mention which one, one of them. As I think said at the beginning of the year that their goal is that they want to moderate spending in the future. And yet they want to be meaningful because tech is so important. The platforms that are critical for the business. So they want to build deeper relationship with lesser number of partners. So the type of work is to build technology and platforms for their business. In that example, the spend will come down

and for the customer in aggregate or will be modest growth flattish, modest growth. It won't grow as much as it has in the past, but some vendors will grow quite a bit.
The other one, actually, the spend is growing modestly. On top of that, there is a consolidation

,
which is benefiting us.
Rishi Jhunjhunwala: Just a second question on margins, right? You talked about looking at doing reported margins similar to adjusted for last year. I'm assuming the commentary around margins are on a constant currency basis.
R Srikrishna: Think of it as constant currency from -- as of now, right? As of now, yes, which has a headwind actually already on revenue to some extent and some tailwind on margins.
Moderator: The next question is from the line of Manik Taneja from Axis Capital.
Manik Taneja: Keech, in the past and even in your initial years of your tenure you've had challenges around consolidation or customer -specific actions. And through the course of recent years, you've been transforming the client portfolio. How do you think about this asp ect on a go -forward basis? Because in the past, we've had instances where this has impacted our overall revenue growth for certain periods. It would be great to get your perspective on the same.
R Srikrishna: Yes. Good to speak to you, though I think kind of it's a fine balance of growing our customers and yet moderating dependence on the top few. And I think we've been doing that balance, right? So if you look at our top 5, top 10 outcomes, our dependence on t hem has come down, come down even in a 3 -year basis, but on a zoom -out period that you referred to, it has come down very materially, right?
And right now, actually, even in a 3 -year basis, the composition of top 5 is different from what it was. What it is today is different from what it was 3 years ago. So it's got a different, more robust set of clientele right now. At least 2 of them are dif ferent.
Manik Taneja: Sure. But do you think we are in a better situation now from a client mix standpoint and thereby some of the challenges that we've faced with some of the customer -specific issues, they may not

arise on a go -forward basis?
R Srikrishna: I see much better about where we are, okay? I mean, if a top 3, top 5 client has a growth challenge, it will impact our performance. But the extent of impact will be materially lower than what it was before.
Moderator: The next question is from the line of Abhishek Kumar from JM Financials.
Abhishek Kumar: Congratulations on your first quarter. First question, Keech, is on your initial remarks where we have said that some of the ramp -ups that we are seeing will happen in Q3 and H2. So does it mean that the growth in CY '25 would be slightly back -ended with s econd half, again, like we saw in CY '24 on a Y -o-Y basis better than first half? That's my first question.
R Srikrishna: Yes. It will be. But that growth is not contingent upon new things happening. We're not saying, hey, we expect the economy to improve and hence, it -- or we expect demand patterns will

change. These are kind of on the basis of what we've done already. In addition, there are more things that can happen that can further improve it, but the base outlook is based on things that have already happened.
Abhishek Kumar: Okay. Maybe a quick follow -up. You said you expect your growth to be resilient. Could you define resilience? Does it mean growth similar to CY '24? Does it mean double -digit growth? Any color on what do you mean by resilience?
R Srikrishna: Yes. Yes. So I first want to kind of say what resilience was in the context of changing macros, right? So I said modestly changing macros, our growth is resilient. It's not going to get impacted by that, okay? So that is the context of the resi lience. Double -digit, I think, is like a solid baseline you can assume almost variable for us. It's still early, we're only like 2 -odd months in the year. Our ambition is always to do better than what we've done in the past.
Abhishek Kumar: Okay. One last question on margin, specifically on ESOP expense. When we say that the only nonre

curring expense left now is the ERP implementation, are we implying that the ESOP expense also will be nil in CY '25 because we just launched ESOP 2024 plan, and it seems like that will have some impact on the ESOP expense?
R Srikrishna: Yes. We never kind of thought of that as an adjustment and we won't . So it will continue, but it is in our reported numbers now. It will be in our reported numbers going forward. And the reported numbers, like I said, our goal is to get to that 17 -odd percent. 17.3%, 17.4%, what we got to last year on a adjusted basis. So ESOP will continue but I don't want to adjust it.
Abhishek Kumar: Okay, understood. 17.3% includes ESOP.
R Srikrishna: ESOP. Correct.
Moderator: We'll take the next question from the line of Girish Pai from BOB Capital Markets.
Girish Pai: This 200-basis point inorganic element, is this for 4Q 2024? Or is it for the full year? I mean, what would be the number for the full year?
R Srikrishna: The full year would be like 1 -odd percent, okay? Because the acquisition only made in May, May. So that was for 4Q.
Girish Pai: Okay. And on the 4Q basis, I think you had an EBITDA margin expansion of about 330 basis points Y -o-Y. How much of that has been because of pricing? Because you mentioned pricing is one of your key levers, which drove margins up?
Vikash Jain: The way to think about it's a combination of pricing plus the operational improvement, which has driven more than one third of the overall 320 bps improvement. So the 320 bps is primarily, one third, one third, one third into forex leverage from an SG&A perspective because we are growing in scale. So the investment in SG&A we continue to invest but at a slower pace than the revenue growth and the balance one third which is coming from pricing plus operational improvements put together, a combin ation of both.

Girish Pai: And you mentioned a 4% exit rate. What exactly were you referring to because Q -o-Q growth was, I think, 0.2% sequentially in CC terms. So what is the 4% exit rate you were talking about?
R Srikrishna: A little 4% is the Q4 annualized divided by full year revenue. Adjusted for furloughs, actually that's about 5%.
Girish Pai: Okay. Lastly, you mentioned about consolidation in 2 of your top 3 clients. What do you think -- like what are the factors which drove that consolidation in your favor vis -à-vis the other players who are there in the vendor base of these particular clients ? That's my last question.
R Srikrishna: Both these are existing customers. As opposed to the other 2, which are in works, which are not existing customers. So certainly not long term. We are the new clients. In existing customers where we've worked for a long time, I think the single most import ant factor that works in our favor is our excellence in execution. Our sell -through ratio with these customers is very high.

Moderator: The next question is from the line of Dipesh Mehta from Emkay Global.
Dipesh Mehta: A couple of questions. First of all, Travel and Transportation. Keech, can you provide some sense about the Travel and Transport and how you expect growth to play out? Second question is about the top 20 clients. We have benefited in some of the vendor consolidation exercise, you say two and two are in progress.
But any challenges you witnessed, let's say, in overall top 20 clients where we might be on the losing end kind of thing and which can provide challenges in coming quarters? If you can give some sense on top 20, any challenges, if any? And last question is about banking. Whether the recent few weeks phenomena likely to lead to some kind of challenges even in banking growth?
R Srikrishna: Yes. So top 20, I'll say there nothing that we are aware of that we're seeing currently that could be challenges from consolidation. I think potentially there are k

nown issues of directional GCC
efforts in some organizations. Because of which two or three top 20 clients have seen slower growth over the last number of years. And I think that directionally will continue, but we don't see a downside risk in consolidation in any other client. That's on your top 20 specific to consolidation.
The second was on banking. I actually think banking, in some ways, the 7.6% full year growth in '24 is not actually reflective of the strength in our business. There are some one -offs that kind of made that number to be what it is. And that will continue f or a quarter, perhaps 2 quarters more. But actually after that, you will see some smart change in direction.
So your first question was on travel. I think travel will grow a little bit above company average, and that's the expectation right now for '25. It's not going to be in either end. It's not going to be a major driver or a drag on growth.
Moderator: We'll take the next question from the line of Manik Taneja from Axis Capital.

Manik Taneja: This question is for Vikash. You've mentioned that ERP transformation costs should be coming off by second half CY '25. Could you talk about the quantum that we should be expecting on this front given this program has been on through the course of last cou ple of years?
Vikash Jain: So from a full year perspective, the impact of this is going to be close to 40 bps.
Moderator: The next question is from the line of Girish Pai from BOB Capital Markets.
Girish Pai: What would have been the Q -o-Q growth for the last 4 quarters just to give -- get an understanding how the cadence has been?
R Srikrishna: So, Girish, like I said, this is Keech. The typical pattern for us across a number of years is that the sequential growth is high in quarter 2, quarter 3, right, and seasonally kind of slow in quarter 1 and quarter 4. This is generally true over a number o f years. There are years which are off in either direction, can be particularly low or some quarters can be high because we will have excess budget spend at the end of the year but those are off pattern ones.
Girish Pai: No, no, I got that. I was just trying to understand what was the specific numbers for the 4 quarters of 2024 if that can be put in the public domain?
Vikash Jain: Yes. So from a '24 perspective, Q1 was close to 5% sequential. Q2 and Q3 were close to 6% sequential. And Q4 obviously was marginal decline at 50 bps. But one thing what I'd call out from Q1 of '24 perspective where there was a 5% sequential growth, it was coming on the back of Q4 of '23, where the sequential decline was very stable.
Girish Pai: And these are all U.S. dollars numbers, right?
Vikash Jain: They're all U.S. dollar numbers to make the like -to-like comparison, yes.
R Srikrishna: Yes. Sorry, I think just the FY '23, not just Q4 but Q3 was also a bad quarter, not just for us, for everyone. So it's coming off back of 2 pretty bad quarters.
Girish Pai: Okay. A couple of other data points, Vikash, if you can give that. What was the subcontractor cost in 2024? And also, were there any pass -through elements in 2024, if you can give these 2 numbers?
Vikash Jain: I mean we continue to have some pass -through element as part of our revenue numbers, which is pretty consistent. I mean it's not very material. And there is no material increase what we have from a pass-through revenue number , either in any of these quarters. So that's a sub -$10 million from an overall quarter perspective, if you think about it.
In terms of the contractor costs, our contractor mix has remained pretty consistent in terms of the overall mix. The cost is in the range of 17 percentage of revenues, give or take, by quarter, it varies a bit depending upon the number of working days because they are primarily in on-site and contractors get paid only on th

e basis of the working days because they are almost utilized
100%. So it keeps on varying on a quarterly basis, but at the highest level, it's close to 17 percentage of revenue.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
R Srikrishna: Well, thank you. Thank you all for being here. I look forward to these ongoing interactions. Obviously, this is a bit compressed. We've been speaking a fair bit. We'll actually be back again for Q1 pretty quickly. So look forward to that conversation.
Moderator: Thank you, members of the management. On behalf of Hexaware Technologies Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.
Thank you.

Call: Apr 2025

HEXAWARE TECHNOLOGIES LIMITED
Regd. Office: Bldg. No. 152, Millennium Business Park, Sector – III, 'A' Block, TTC Industrial Area,
Mahape, Navi Mumbai - 400 710 (INDIA) | Tel: +91 022 3326 8585 | Email: investori@hexaware.com
CIN: U72900MH1992PLC069662 | URL: www.hexaware.com

HEXT/SE/2025/ 50

Date: April 30, 2025

To, To,
Lis■ng Department Department of Corporate Services
Na■onal Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra-Kurla Complex, Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai - 400 051 Dalal Street, Mumbai - 400 001
Symbol: HEXT Scrip Code: 544362

Dear Sir,

Sub: Transcript of investor/analyst call held on Tuesday, April 30, 2025
Ref: Our earlier intimation with Ref. No. HEXT/SE/2025/41 dated April 24, 2025
In continuation to the above-referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the investor/analyst call held on Tuesday, April 29, 2025, for the quarter ended March 31, 2025. The transcript of the investor/analyst call is also made available on the Company's website.

The link to access the same is as follows: https://hexaware.com/investors/quarterly-results/ .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For HEXAWARE TECHNOLOGIES LIMITED

Gunjan Methi
Company Secretary
Encl.: as above.

Hexaware - Q1 CY25 Earnings
April 29, 2025

Moderator – Dinesh :
Good day and welcome to the Hexaware Technologies Limited Q1CY2025 earnings call. We will begin with the presentation by the Hexaware Technologies Management Team, followed by a question and answer session. If you would like to ask a question during the question and answer session, please select the raise hand button to be placed in the virtual queue. The raise hand button can be found at the bottom of the Zoom interface. I will now hand the conference over to Mr. Niraj Khemka from the Hexaware Technologies. Thank you. And over to you, Mr. Khemka.
Niraj Khemka:
Thank you, Dinesh. Hello everyone and welcome to Hexaware Technologies, Q1CY25 earnings call. In the call today we have with us Mr. R Srikrishna, CEO and Mr. Vikash Jain, CFO. In the course of this call, we may make certain statements which are forward -looking and may involve a number of risk and uncertainties. All forward -looking statements made herein are based on information presently available

to the management and the company does not undertake it to update any forward -looking statements that may be made in the course of this call. In this regard, there's a full disclosure, which has been included in the investor presentation and the press release. We consider that as read. With this, I'll hand over the call to Keech. Keech, over to you.
R Srikrishna:
Thank you, Niraj. Could you go to the next slide please? One more. Thank you. So good morning. Good evening. Welcome everyone. For all that's happening around the world we had a surprisingly normal quarter. We expect quarter one of a calendar year to be a soft quarter always, and that's kind of how it was. It is a flattish quarter in terms of quarter and quarter. Still a solid YoY growth of roughly two and a half percent. Both are a little higher on INR terms, 16 and a half percent YoY on INR and a moderate growth QoQ on INR terms. While I wouldn't call these out in a good quarter, I'll call out two or three factors that contributed to our performance. There were two clients, this was planned, who moved their work offshore, and then there was one program which I will talk about later that actually delayed start and I'll say between them, they had a little over a hundred bps of revenue headwind during the quarter. Like I said, this is kind of what we would consider normal. Wouldn't call out in a regular quarter, but in a soft quart

er I thought it is worthwhile calling out. The fact is the planned movement of work from onshore to offshore for two clients did help improve and improve our margins in a difficult quarter. So we've actually improved EBITDA from the prior quarter to 16.7 and actually our EBITDA in absolute terms gone up 20 odd percent YoY in absolute terms, and our EPS is up 16.7% YoY. And finally, we have a healthy closing cash balance as of 31st March, as we always do.
I want to spend some time on some of the investments and some of the key topics that happened during the quarter. The first is that we expanded our footprint in Dehradun. We actually moved to a

much larger facility. This is a good indication of the success of the location. We also opened a new 700 seater in Hyderabad. Some of you that may have seen our Chennai facility know that we have a customer experience center there. Post -Covid, as client visits to our centers have reclined, we decided to open two centers, one each in New Jersey, Jersey City, and the second in London. And these are investments we've made to help get closer and bring some of our innovation closer to client locations. The Jersey City location we inaugurated a few weeks ago and London office actually, while we've already moved in there, the official inauguration is in a couple of days from now.
We closed our head count at 31 and a half odd thousand. This is actually net reduction from the prior quarter. However, if you peel the onion, our IT head count went up moderately, just shy of a hundred people, and all the reduction was actually in our BPS business. Attrition, we continue to do very well. It's range bound. It was 10.8, it's 11.2 and our utilization as expected after a full heavy quarter moved up in Q1. We spoke about our NPS score in the cycle directly prior to IPO. Actually since then, we've got results for 24 because the numbers we have published at that time were 23 results. Early this year we got results for 24 and as always, we scored very well. On NPS 67, 27 points higher than industry median. We continue to have three clients above 75 million and 1 in the hundred million plus category.
In a variety of discussions I've spoken about what are four strategies that we have, to accelerate and improve our historical performance and those four were; the first one was legacy modernization using AI and more specifically we think we have a highly differentiated platform, RapidX. The second was to open PE as a channel. The third was to expand our footprint in HealthTech and ISVs, and the fourth was to make our Middle East and India markets count more. And I think the last one, especially in the light of global macros, there is additional conviction that these markets, India and Middle East, will be more decoupled from world macros than other economies. So I'll touch a little bit upon each of these to provide a progress.
The most progress actually is in the first line, which is legacy modernization. So we did beta last year with two or three clients in Q4. There's a lot of confidence that came from that and we decided to invest in both accelerating the platform and in a go -to-market effort. And the go -to-market effort has been in place essentially since Jan this year. And I'm happy to say that we have shy of 40 clients in the pipeline for this already. And I can say that we've not had a new service that has attracted such a solid pipeline early in the process. To be sure, all of these, many of these, are in the POC process. That's how these will start because they tend to be very large and involved programs, but even the POC investments are material for clients.
We started our capability with [inaudible]. We've expanded it since to COBOL and PL/SQL. I think a good marker of success for us is when we talk the next time after Q2 that we should have moved at least one or two clients out of POCs into real full -scale modernization orde

r. So that will be defining what good will look like for us in a quarter from now.
I think the second of the board for us where we've made the most progress is in the Middle East and India markets. I think we spoke about the fact that we did a couple of JBs, I think that's on the Middle

East side and there is a very healthy pipeline in Middle East that we expect will play out through the rest of the year. India GCC is where we have been actively looking for ways to become significant in the market.
As a quick recap, for good or bad, we don't have a lot of footprint in GCCs and at an aggregate we see it as a big net new opportunity because we get virtually very low millions of digits, millions of revenue from GCCs right now, and you will hear some material updates from us in the next quarter on this.
I will pick ISVs as the third topic. I think some of you may have seen that we made a notification that Rac, who used to lead our high tech and professional services vertical as a combined unit, left the organization. He became the CEO of another company.

What was in the cards, in any case, we executed immediately, which is to separate high -tech and professional services. We have undertaken that exercise , so it'll take us a little bit of time to find a new leader, but that new leader is going to be very focused on high tech and ISVs market. The desired profile for us is somebody who's done this, sold into IVS at scale . And so we think that will give a boost to our ongoing efforts in ISV.
Lastly, private equity. We think there is obviously a fair bit of discontinuity in that market right now, but we think we will see outcomes coming through the Q3 and Q4 of this year. So we'll have more meaningful updates for you later in the year, but I will provide every quarter a brief commentary on each of these four. The reason is this; we've spoken about a 3 billion ambition on revenue for us. We've said good for us looks like getting there in calendar year 2029 and even through challenging macro this year. We actually feel pretty good about getting to that medium -term goal as a consequence of these growth accelerators and documen ts. Over to you, Vikash.
Vikash Jain:
Thanks, Keech . And move to the next one. So just to recapitulate what Keech mentioned, we had a good quarter with revenue year -on-year growth bank 12.4 percentage in reporting currency, 12.7 in constant currency. The growth was led by four out of the six verticals growing at double digits on year -on-year basis. We had double digit that came through a combination of both the existing accounts and new account ramp ups. The two verticals that did not deliver year -on-year are banking and MNC. Banking headwind is associated with project closure. That we had called out even in our last earnings call. However, we have a very healthy pipeline and we expect this vertical to grow meaningfully from a full year perspective. In fact would be one of the growth drivers for us at a overall company level.
MNC is expected to continue to face some headwinds. Recent challenges, whether it is in terms of the tariff market uncertainties create barriers are leading to bit of a delayed decision making and subdued spend. So that's the reason for MNC in terms of underperforming for some time. Let's go to the next one. The only key point to highlight here is very meaningful set of accounts that we continue to add. So from a last year perspective, if you look into it on an L TM basis, we have added two accounts, which are greater than 20 million dollar and one account which is greater than 75 million dollar. We do have a hundred million dollar plus account and as we had called out last time, hopefully by end of the year we'll have two accounts which are going to be a hundred million dollar plus. Next.
R Srikrishna:
So Vikash, I will take back over. Thank you. I think the most important aspect of Q1 for us is a number of

solid wins that we think sets us up very well for the next quarter, for the remainder of the year. These wins are a mix of EN and NN and I will briefly touch upon several of these.
The first one is a transnational bank that provides aid. They go through a cycle of redoing the vendor list every five years. So this year, through last year, they went through a process early this year, they announced seven vendors, and I think we are, maybe one more, are the only non -incumbents in that list. What will happen is that through the course of the next two years, they will bid out 200 million dollars per annum roughly of work, which are restricted to seven of us. So we expect this account to be, it's a very large logo. We expect this will be a growth driver for us this year and a more material growth driver for us in future.
The second one is similar firm in Europe and where we are part of their... we are the lead implementers on SAP for their most important co-transformation project of back office on finance and HR. And this is a very large program that has eyes from the top of this bank. In fact large program that has eyes from the top of this bank. In fact, I'm a part of their business chairing committee for this. The third large global

bank this, and I will later provide an update on some of the pipelines that we spoke about in the past. This is a client which is still in pipeline for a large consolidation opportunity. They actually gave us a test drive and so we want a piece of work that has several components to it, but the most important component is app modernization and transformation.

The next one is a cool work. This is a legal advisory firm I think in a couple of weeks there is a legal conference, legal week, which brings together the heads of many legal firms, the tech heads and business sets, and actually an app, GenAI app -based platform. An app which we built for this firm is getting launched at this firm at this forum in a couple of weeks.
The next one, this is the bottom left -hand corner. One of the key things happening in the airline industry is called OnOrder, which allows airlines to distribute the products more widely, not just through their own websites. And this is a new standard that will allow them to do that and this is actually will be one of the first implementations in the industry for that. So this is the one -on-a-platform implementation one. We have been going after legal as a sub -domain, we already have a top five client in this domain. There's another one. A lot of the initial work is created because of a need to separate from China and we have specific experience in doing that rapidly. And this is again a top 10 global legal firm.
The next one is actually a healthcare division of a very large conglomerate that's separated into three businesses recently. And we have an app modernization and legacy modernization effort underway here. And the last one is one of the largest pet insurance companies in the world and many parts of the world pet insurance is a big thing. There's a lot of money that pet parents spend on pets and insurance is a way to manage that spend better and we want essentially a strategic supplier, there's an initial set of good set of work, but there's a lots pipeline for us to become for this to become a very material client for us. Very quickly. Next slide please . Vikash .
Vikash Jain:
Thanks Keech . So on the margins, we are progressing well on improving margins. Current quarter saw margin improvement of 40 bips. Q1 margin at 67.7 percentage. The 40 bips improvement was driven by operational benefit of 50 bips, which was partially offset with currency headwind of 10 bips. And the currency headwind for us is a combination of two factors. The underlying benefit that we get with respect to rupee depreciating, but at the same point of time how the hedges play out because we start taking hedges as per our hedge

policies two years in advance. But you would see here that while the
EBITDA improved by 40 bips, the net profit improvement is lower as ETR has gone up quarter on quarter. ETR for the current quarter is 25 percentage versus 23 percentage last quarter. Last quarter had some one -time credits in our ETR. As we had guided to earlier, our ETR guidance for the full year is approximately 26% versus 25 percentage from a full year of last year.
And what we saw in the current quarter, the marginal increase, what you would see in the subsequent quarters is an account of some of the SEZ units coming out of the tax holiday period. And if you look into our current quarter results, despite the currency headwinds that we absorbed in the numbers, we delivered a sequential improvement. And this is despite the fact that we have the ERP cost is still into our numbers, which is expected to go out in the future quarters. So we remain confident in terms of delivering to our quoted margins of 17.1 to 17.4 percentage from a full year perspective.
Move to the next one. We are making progress on our operational. We continue to make progress on our operational metrics and the offshore mix has improved by 200 bips sequentially. You heard Keech state that we had two clients move some of their work offshore, plus the ramp up in the new deals helped with the better offshore mix. Now while this is a bit of a revenue headwind, this has definitely helped us in terms of our margin expansion. On the headcount, while there is a net decline, if you look into the numbers, what we have given as part of the data book published with the results, you would

see that we added a hundred net headcount, approximately a hundred net headcount to 90, which was offset by a reduction in the BPS headcount of close to 850.
On the IT side, we have added headcount while improving our utilization quarter on quarter, demonstrating that we have an underlying volume increase. BPS there is a marginal decline in revenue quarter on quarter and the headcount associated with that has actually come down. We improved our utilization quarter -on-quarter. We expect our utilization to be range bound between 82 to 83 percentage from a full year perspective.
Let's move to the next one. DSO for the quarter is at 75 days. This is marginally higher than the target DSO level we have set out for ourselves, which is 70 to 72 days like every year. At the start of the current year, we had meaningful number of SOWs that were due for renewal. This is basically a paperwork while the work continues to happen at the client's end. However, it took a little bit more time than usual to have the paperwork executed this year. The resultant impact of the same is basically delays in invoicing and leading to a DSO increase. We expect the DSO to be back to the 70 to 72 days by the year -end.
Similarly, on the OCF to EBITDA now we have a very healthy cash balance of $225 million completely credit -free. Our goal is to generate OCF to EBITDA on an LTM basis at 70 percentage. And we always look at LTM basis as there cash flow seasonality primarily associated with tax and variable payouts in between quarters.
So our OCF to EBITDA for LTM Q1 is 67 percentage, which is marginally lower than our target levels of 70% driven by the DSO being higher in the current quarter. The ETR, as I called out, ETR for last year was 25 percentage. There was some variability by quarters both ways which actually offset the impact on full

year basis. ETR for current quarter is 25. We expect our ETR for the full year to be 26 percentage. Last from my side just to add on the dividends, we declared dividend post -a quarter close of $5.75 per share leading to a total payout of $40 million. Keech , over to you.

R Srikrishna:

Thank you, Vikash . Could we go to the next slide please? This is our last slide and I'm going to spend several minutes hopefully addressing several qu

estions that you may have. I think the first and top is really an update on our two JSC clients. I know there's been some risk perception worry about where this will go. So here's the update. So update on client one. This is one of the two consolidation deals that we won earlier in the year. The deal execution was delayed, but it's begun now. So it got delayed for a few to several weeks, but it is started now. So we are all good here. The delay was not just the revenue impact for that, but it's also a signal of what could further happen because we have a very large pipeline in that client. So the fact that it's begun now is actually a good signal for us that whatever uncertainty was there when the new administration took over has kind of receded.

In client two, we had a sharp ramp down. Now this actually was told to us early last week. It was quite, it didn't happen immediately, but we had a sharp ramp down which will account for roughly 1% of the company revenue. However, in my conversations with their management, what they said is this is our kind of here now attempt to reduce cost. How are our most sustainable way of doing this is that we want to consolidate, they have roughly 2,500 contractors, which they do business with over hundred people. We are less than 20% of that, but we are the largest. And they said they want to get it down to a very small number, somewhere between two and 10. And so that's a process that has started. So in many ways for this client, the way we look at it is the downsides are behind us and it's in the books and upside, potentially large upsides are ahead of us now.

We spoke on two deals that we won last time. We didn't provide a color on size of these. I want to provide, we have more clarity on what are the book of work that will come. So really client one, which is kind of the same one where the work got delayed, that will give us on annualized basis about $20 to $30

million per annum incremental revenue and ramped from Q2, partial ramped from Q2. Client two, we will get $25 to $35 million annualized incremental revenue. That again, the partial ramp is from Q2. Now we also spoke about two very large, call it mega consolidation opportunities, in clients where we are non -incumbents for this work. We do other work on both these clients, but we're now incumbents for this. Both of these that have been positive progress, I'll say they're closer to a decision. In fact, in one of them they gave us a test run. I spoke about that deal earlier. Aside from these, we have two other very large consolidation opportunities in the pipeline. One of which I referred to already, the 2,500 F TEs. And in that as the largest incumbent, we feel good about where we are.

The other one is in another large global bank. We have a footprint, but we are not a strategic vendor. We have very large spend and this process will potentially put us in play for another half a billion dollar per annum of outsource spend. Now the reason I'm highlighting these is A, of course impact on our performance and our revenues, which is very positive. But I think more importantly also that we are now with some more consistency getting into consolidation deals in very large customers who have very large spends. And that's as a consequence of our focus strategy to make sure that we hunt material logos even on day one. It starts with low or even sometimes zero revenue. But eventually these are the clients where if you're in play you get opportunities which are very large.

So what does all this mean for '25? I think we last time said we are not going to provide guidance. We are taking a 10 -year view. There'll be up and down cycles. We are going to stick to that. We are not providing guidance, but I'm going to provide as much color as we can. So Q2, actually our underlying performance will be very strong. There are two I already spoke about. One of the GSC's will have an impact

of 1% of company revenue, that has already started. It was announced early last week and it's in effect immediately. That plus another large program which ended, normally that client would've had quite a bit of follow -on work, but their client in financial distress. So they have actually stopped follow -on work for that.

So just between these two, we'll convert Q2 from what would've been a great Q2 to a good Q2. So we still expect to have a good Q2, but actually underlying performance ex of these two will actually be a very solid Q2. And that momentum will continue into Q3. So we expect to have accelerated growth in Q3 and given some of the deals in the pipeline and the backend nature of the ramp up, we expect at this point that we will buck the usual trend in Q4 and actually deliver sequential growth in Q4 as well and much of this is not macro -contingent for us.

R Srikrishna:

This is not macro contingent for us. A measure of our confidence, we expect to hire 1800 to 2000 IT people in Q2, both to serve Q2 ramp and in anticipation of Q3 ramp.

Some vertical color and Vikash touched on some of these already, we expect banking and financial

services to lead growth for us. FS already is and it'll continue. Banking, you've seen a couple of negative quarters, but you will see a very sharp, literally, potentially double -digit Q on Q growth starting immediately from Q2. So it will turn around and actually for the full year, we expect it to be a growth driver for us.
TNT, I'll say it's marginal, incremental weakness due to macros over the last several weeks, but it will still grow at roughly company average for us.
HTPS, HNI, we expect it to grow roughly at company average and MLC is where actually the biggest impact of macros is and it will help. It has had weakness and it will actually continue to have significant weakness.

Finally, on margins, I want to reiterate what Vikash said. We will improve our reported EBITDA to range in 17.1 to 17.4. We are not in the phase of profit maximization. These are what will happen naturally. We are still investing significantly in our business. I did speak about some of the investments we've made even in this quarter. ERP costs will be a tailwind for us. It will be the end of Q2.
Finally, on margins, there are medium -term levers to improve the margin 100 to 150 pips. However, our here and now focus is to not necessarily apply those levers, but instead focus on using that to maximize growth.
With that, we'll stop for Q&A. Dinesh?
Moderator :
We will now begin our question -and-answer session. If you have a question for today's speaker, please select the Raise Hand button at the bottom of the Zoom interface and you will enter a queue. After you are announced, please unmute yourself, state your name and company and ask your question. If you find that your question has been answered, before it is your turn to speak, please press the Lower Hand button to leave the queue.
We will now pause for a moment to allow the team to gather and assemble the queue.
Our first question comes from Ankur Rudra from JP Morgan. Please unmute your line and ask your question.
Ankur Rudra:
Hi. Good morning. Thank you for taking my question.
So maybe to start with, Keech, you gave a lot of detailed outlook. Thanks a lot for that. Could you maybe elaborate a bit more on the nature of client feedback you're getting across banks, financial services, manufacturing and travel on spend intentions, and how widespread are your client ramp downs and cancellations? I think you referred to two of them, specifically. Thanks.
R Srikrishna:
So I had the benefit we had in the first week of April, an annual client meeting at Pebble Beach Golf Resort in California, and we had call it 50 clients in that location. We had conversations with a number of clients about what did the macro mean for them, positive, neutral, negative.
I think manufactu

ring clients, a lot of them actually pulled out of the event. That, in of itself, tells a story
and the ones that were there clearly said we have trouble. There were a surprising few client that actually said it's a positive for them. It was a surprise to me, but for them it was kind of, "Hey, this is a positive for us." For example, there's an insurance client that said, "Anytime there's high volatility, people tend to buy more of our products."
The vast majority said it's kind of a second order impact, so it's a wait and watch. They don't have any kind of specific plus or minus plans that are in motion, it's a wait and watch.
Now, Ankur, you said something, I mentioned a couple of client ramp downs. Actually I didn't. I mentioned one, which is a project that was scheduled to get over. Normally, there will be follow -up work from that, but that client, because of financial issues, did not choose to continue. They've chosen not to continue, at least for now. I can't recall another one I mentioned.

Ankur Rudra:
So the other one is the ramp down on your GSE client where you will be hit this quarter onwards. I was referring to those two.
R Srikrishna:
Yes. Sorry, yes.
Ankur Rudra:
But are there any other besides those two?
R Srikrishna:
No.

Ankur Rudra:
Okay, thank you.
R Srikrishna:
I mean nothing which is not on the normal course of business. Yeah.
Ankur Rudra:
Okay. So given all of this, Keech, what kind of visibility do you have into the year now, given the headwinds you face? Do you think you will be able to sustain the double -digit growth momentum, given you face somewhat tough comparable in both 2Q and 3Q?
And also if you can summarize the full -year outlook in a way, how should we think about it versus what you did in the first quarter or what you did last year? Thank you.
R Srikrishna:
Yeah. So I did say that Q2, late start of Q2, right? But actually Q2, our underlying role will be solid and actually because of the two clients that you refer to, it'll go from an outstanding quarter to a good quarter. So we'll still have a good quarter, and those two quarter -on-quarter headwinds will go away for Q3, and actually Q3 growth will accelerate. So we actually expect to have a pretty solid year, Ankur.
Ankur Rudra:
Okay, understood. Maybe the last question on the GSE side, just to clarify. Your second GSE client, the impact will happen for two months in the current quarter, it'll complete in 3Q, right? Is that the main to understanding this?
R Srikrishna:
Two and a half months, yeah. I mean, little under two and a half months. Two to two and a half months for current quarter and full quarter from the next, yes.
But their intention, at least right now, what they've stated is that they will make pretty quick decisions on the consolidation because that's a more sustainable path to cost reductions. Right now they've kind of taken up, as they described it, a peanut butter approach, just uniform cuts. They haven't given

thought to programs and things like that that get impacted. That's not a sustainable way for them, more sustainable ways through consolidation effort.
Ankur Rudra:
Got it. Appreciate it. Thank you so much.
Moderator :
Right. Just a reminder, if you would like to ask a question, please use the Raise Hand button, which can be found at the bottom of your Zoom interface.
Our next question comes from Abhishek Kumar from JM Financial. Please unmute your line and ask your question.
Abishek Kumar:
Yeah, hi. Thank you for taking my question.
Keech, you mentioned that now Hexaware is increasingly participating in vendor consolidation or large deal scenarios. So one question is what is helping us win more in these deals? And second, have you seen more pricing pressure around large consolidation deals? Because it looks like these are the only type of deals out there in the market.
R Sr

ikrishna:
So I'll say, I think the first question is not even why we win. I think the first question is why are we in these deals? Because they can only happen large, very large opportunities can only happen in very large clients, and I think it's a very systematic effort for us to hunt material logos. And I think we've mentioned in the past some 61, 62% of our revenues comes from clients whose revenues are above $5 billion, and that's not an outcome without a focus and an effort behind that. So I think once you get in and you deliver well and over time you get an opportunity to play in this, right?
As of now, much of these opportunities that are in front of us, we are not CapEx fund. It's really kind of no downside or potential upside scenarios for us in many of these. Clients have chosen not to put our book of work into the mix or, in many cases, we are not even in that lane for that. But yet we've done well somewhere else so they've put us in play for something larger.
Why we win the ones that we've won is I'll say it's really kind of three things. One, whatever we executed, we execute very well. Two, we are able to bring more intensity and focus to the clients. And three, customers love our platforms.
Abishek Kumar:
Okay, understood. Maybe one last related question.
It looks like the deal wins have been healthy. Any color on what would be the TCV order backlog we are sitting on compared to where we were maybe a year back, and which verticals you think order bookings are strong.
And maybe a related one is we have seen, you've mentioned a couple of ramp down, one ramp down and one delay, so that revenue deal TCV to revenue conversion. Do you think that would flow as usual

or as we go through the year and there are uncertainty around, there could be gaps between TCV and revenue conversion? Thank you.

R Srikrishna:

The reason for the many gaps between TCV to revenue translation is the reason we're not reporting in TCV. Instead, I'm hopefully making it simple for you by translating it to specific revenue range of growth in the key deals.

This is obviously not all of the deals, but at least the large ones, we're going to try and translate to a revenue growth over the next 12 months for you, which is what we've done for two other deals.

Abishek Kumar:

Sure, that's helpful. Thank you and all the best.

R Srikrishna:

Yeah, I think you asked about vertical. I already gave commentary on verticals. FS and banking will lead for us and MLC will pull us down, what would otherwise been, or MNC will be a drag, others will be roughly on par.

Abishek Kumar:

Thank you.

Moderator :

Our next question comes from Shweta Seth from Alliance Bernstein . Please unmute your line and ask your question.

Shweta Seth:

Hey. Hi. Thanks for taking up my question, and thanks for the presentation. So I have two questions. First is do you see any impact from reshoring in case of any risks due to any change in Trump policies? And my second question, I'm not sure whether it's within your scope to comment right now, but just the question will be around the refinancing risk for the bond. What are you thinking about the USD $1 billion bond that's maturing next year? What options do you have in case you're not coming to the dollar bond market? Thank you.

R Srikrishna:

Thank you. So on reshoring, we're not hearing any clients talk about it, certainly as it pertains to our business. You are hearing enough announcements, including IBM most recently that they're kind of invest more in the US for manufacturing. There's nothing really about services.

But should it happen, it's not necessarily a risk for us. I see it as an opportunity. We have a solid kind of employing brand in several major pockets around the US. I actually see it as an opportunity. The clients want to do more in the US.

The second question we can do, like you said, the bond is not on Hexaware where i

t's colored.

Nevertheless, I'll say that we have good options on the table, so you should not think of it as an issue. So when or much before the time comes, there will be an answer for it.

Shweta Seth:

Okay. Thank you.

Moderator :

Our next question comes from Manik Taneja from Axis Capital. Please unmute your line and ask your question.

Manik Taneja:

Hi. Thank you for the opportunity, and my apologies that I joined the call late. So if you can, I don't know whether you've already answered that, but if you could break up the segmental performance between high -tech and professional services in the current quarter and how do you see each of those two parts behaving through the year? That's question number one.

And the second question is with regards to some of the challenges or the pressure that you are witnessing with some of your GSE customers. Do you think this drives more expansion in your offshore revenue mix and thereby some sort of a tailwind to margins as well?

R Srikrishna:

So on the first one, Manik, I mentioned earlier that we are actually going to split our high -tech and peers and we think that will give serious growth wings to high -tech. We've done this playbook before. Banking was embedded in a small portion of our financial services vertical. We separated it four years ago and has actually grown quite nicely, and we've acquired some major logos in the process. We're going to do the same to high -tech. High -tech, actually, is very small right now. So wouldn't be meaningful commentary to talk about differential performance between the two. Much of our performance is actually driven by PS right now, and that's the opportunity for us to do a lot better on high -tech and

hence we are going to create a new vertical.
On the second one, we did answer in some detail on it, so maybe we can follow up with you in a more detail, but I'll tell you the high level or the two clients, one of them there was a slight delay in a consolidation deal, but that's since started, so we are actually on good wicket there. The fact that we've started also to us is a signal that things are back to normal. The second one, there was a sharp rundown that was announced early last week effective immediately; that'll have an impact of 1% on the company revenue for the year, but that is behind us. They also said they want to consolidate 2,500 vendors to a much smaller list. And as having just shy of 20% there, and as a large vendor, we actually stand at a very good spot in that exercise. But there was more details, then perhaps we could do that offline, Manik, since we answered in some detail earlier.
Manik Taneja:
Sure, Keech, my clarification on this one is basically does this provide an opportunity to increase your offshore revenue mix, given some of these JSC customers have largely been onshore service customers?
R Srikrishna:
I mean, in general, I think we will improve our offshore mix. We did improve it this quarter, but that is not because of the JSCs. Actually, there are two other clients that have planned movement from offshore to onshore that was a revenue headwind for us in Q1, but a margin ... sorry, revenue headwind, but a margin tailwind for us. So I don't think JSCs will be a driver of improving offshore mix. I mean, there is a one -time step reduction that will be an improvement for offshore, but there's still plenty of opportunities, like I said. In some ways the downsides are behind us. We think there is potential large upsides ahead of us.

Manik Taneja:
Sure, thank you and all the best for the future.
Moderator :
Just a reminder, if you would like to ask a question, please use the raise hand button at the bottom of your Zoom screen. Our next question comes from Dipesh Mehta from Emkay Global. Please unmute your line and ask your question.
Dipesh Mehta:
Yeah, thanks for the opportunity. Two questions, just

want to understand because in second JSE client
you indicated about immediate trim down kind of thing, so what factor led to it and whether you see risk it to play out even in the another client? Second question is about the CY25 outlook, whether any change, let's say based on what you observed in Quarter 1 and likely to see in next three quarter, compared to what we might have expected at the beginning of year, if any changes?
R Srikrishna:
See, on the first one, I mean what led to the reduction, I explained earlier, but the client is simply doing, and this is their words, quote unquote, "peanut butter." There was an ask from the administrator to reduce X amount of cost and they did, and they didn't give thought to where, what programs, what they were , nothing. That is all kind of phase two through a consolidation, a more thoughtful exercise that has already started. There's an RFI out already and their desire is to rapidly make a decision. And like I said, because we are the largest, we feel good about it. More than largest, we deliver outstanding work in critical programs for that. So there's no real why except, hey, it's a peanut butter spread off the cut. Could it happen in the other one? I don't know. It's not happened till now. More importantly, I think our at least initial intel is that the administrator thinks the other one is better run. For example, they had already a hundred percent work from office implemented for three days a week. That was one of the big first things for the administration and these guys already have done it. Sorry, what is the second question, Vikash, can you remind -
Dipesh Mehta:
CY25 outlook, whether any change based on what we observed in Quarter 1 and next three quarter?
R Srikrishna:
Yes. Yeah, listen, I've called the negatives out very specifically and tried to characterize it as much as I can. There's a number of positives, so there's lots of pluses and deal wins. What is true is that our deal ramp -ups are, some have started in Q2, but it'll continue ramping through Q3, Q4 and others will start in Q3. So we will actually have pretty solid quarters ahead of us.
I'll leave it at that. I've said we won't do guidance, so I'm going to stick to that. We will have, Q2, I want to reiterate, it would have been a great quarter, it'll actually be a good quarter because of the two specific headwinds in Q2. Q3, those Q1 Q headwinds will go away, so we'll actually have accelerated growth Q3. And Q4, we will likely buck the trend of a flattish Q4 and actually grow in Q4.
Dipesh Mehta:
Thanks.

Modera tor:
Right. Our next question comes from Girish Pai from BOB Capital Markets. Please unmute your line and ask your question.
R Srikrishna:
Girish, if you're saying something we can't hear you.
Moderator :
It looks like we are having trouble getting you connected. We will place you back in the queue and return to you later. We'll move to the next question. The next question comes from Abhishek Gupta from Axis Asset Management Company. Please unmute your line and ask your question.
Abhishek Gupta:
Hello? Am I audible now?
R Srikrishna:
Yes, Abhishek.
Abhishek Gupta:
Yeah. So I just wanted to check on the two clients which might impact our growth in Q2 as well. What are the kind of work which we are doing for these two clients and wanted to more clarity on the second client which we saw a sharp drawdown, like what is the criticality of the work for that organization? Just wanted to understand how this budgeting is happening within this corporate. Are they looking for that criticality? Are they even considering the criticality of work to ramping down the ?
R Srikrishna:
So in this one, so there are two, one is the JSE and the other is, I'll come to the second one. In the first one we are involved in 80% of their transformation programs. Everything that is very core to their business, pricing, underwriting, se

curitization, forecasting, all of their core systems, we are involved in.
Their data, we are the number one, right? In many of these, we are the number one.
So in this client, again, I said it a few times, they took a peanut butter spread approach for cuts on day one. They haven't had time to sort through programs, deliver the excellence, criticality, any of that. But they're doing that now. They've started an RFI process that will lead them there, for consolidation that will lead them there. So, that's client one.
The client two, we essentially built and finished for them, handed to them what will be the future of their company. It's a platform with four different brands. We did a new architecture to bring these brands and platforms together that'll help reduce development effort and materially improve velocity. So that's the work we did, which we delivered, like I said, usually it'd have continued to additional work, but they are not doing well so they stopped.
Abhishek Gupta:
Got it, sir. That answered my question. Thank you so much.

Moderator :
We have a last question coming from Gaurav Rateria from Morgan Stanley. Please unmute your line and ask your question.
Gaurav Rateria:
Hi. Congrats on good execution in an uncertain environment. Keech, I just wanted to understand for the deals where you're using your platforms, how are the contracts structured in those cases? Are there different outcome -based models which are being explored versus the effort -based business model that we have always dealt with in the past? Are there any new billing models that are in the works, especially with the advent of generative AI? Just trying to understand how the business model will evolve.
R Srikrishna:
So the old platforms like Tenzai is very kind of managed services. The construct hasn't changed. I think incrementally there is generic benefits into those kind of deals and contracts. On the newest, which is RapidX, I think it's evolutionary. We are going to experiment with different models. We're still in early phases. Remember we only brought it to beta at Q4 last year. So, it's early stages. Clearly our attempt is to see what's the best mechanism that will bring us value for the platform beyond the human effort.
Gaurav Rateria:
All right, thank you.
Moderator :
That brings our Q&A session to a close. I will now hand back to Mr. Srikrishna for closing remarks.
R Srikrishna:
Thank you. Thanks, Dinesh. We actually, like I said in the beginning, in the light of everything that is happening, we had a surprisingly normal quarter. We had actually a number of wins that make us feel good. We have uncertainties around two clients. I think we now know what the bad is, and that's in the

books. There's potential significant upsides even with those clients going forward. And otherwise we are in play for a number of very large deals that can change trajectory of growth of a company quite a bit. Even without all of those happening, we will still have a solid Q2. We'd have had a great Q2, but we'll have a solid Q2 and a great Q3.

So with that, I look forward to speaking to you again, and like I said in the beginning, I will also provide you an update on our strategic initiatives every quarter. Look forward to the next quarter and look forward to meeting some you offline as well. Thank you.

Moderator :

This concludes our conference call. Thank you all for attending.

Call: May 2025

HEXT/SE/2025/ 52
Date: May 02, 2025
To, To,
Listing Department Department of Corporate Services
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra -Kurla Complex, Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai - 400 051 Dalal Street, Mumbai - 400 001
Symbol: HEXT Scrip Code: 544362
Dear Sir,
Sub: Correction in typographical error in Transcript o f investor/analyst c all held o n Tues day, April 30 , 2025
Ref: Our earlier intimation on T ranscript of investo r /analyst c all with R ef. No. HEXT/SE/2025/ 50 dated April 30, 20 25
This is with reference to our intimation o f Transcript o f investor/analyst Call uploaded on A pril 30, 2025, please n ote that inadvertently margin for Q. 1 in the transcript was mentioned as 67.7% instead o f 16.7% .
The updated transcript of investor/analyst c all held on T uesday, April 30, 2 025 is e nclosed.
The t ranscript of the in vestor/analyst call is al so m ade av ailable o n the C ompany's w ebsite.
The lin k to access t he same is as f ollows: https://hexaware.com/investors/quarterly -results/ .
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CIN: L72900 MH1 992 PLC069662 | URL: www.h exaware.com

Hexaware - Q1 CY25 Earnings
April 29, 2025

Moderator – Dinesh :
Good day and welcome to the Hexaware Technologies Limited Q1CY2025 earnings call. We will begin with the presentation by the Hexaware Technologies Management Team, followed by a question and answer session. If you would like to ask a question during the question and answer session, please select the raise hand button to be placed in the virtual queue. The raise hand button can be found at the bottom of the Zoom interface. I will now hand the conference over to Mr. Niraj Khemka from the Hexaware Technologies. Thank you. And over to you, Mr. Khemka.
Niraj Khemka:
Thank you, Dinesh. Hello everyone and welcome to Hexaware Technologies, Q1CY25 earnings call. In the call today we have with us Mr. R Srikrishna, CEO and Mr. Vikash Jain, CFO. In the course of this call, we may make certain statements which are forward -looking and may involve a number of risk and uncertainties. All forward -looking statements made herein are based on information presently available to the management and the company does not undertake to update any forward -looking statements that may be made in the course of this call. In this regard, there's a full disclosure, which has been included in the investor presentation and the press release. We consider that as read. With this, I'll hand over the call to Keech. Keech, over to you.
R Srikrishna:
Thank you, Niraj. Could you go to the next slide please? One more. Thank you. So good morning. Good evening. Welcome everyone. For all that's happening around the world we had a surprisingly normal quarter. We expect quarter one of a calendar year to be a soft quarter always, and that's kind of how it was. It is a flattish quarter in terms of quarter and quarter. Still a solid YoY growth of roughly twelve and a half percent. Both are a little higher on INR terms, 16 and a half percent YoY on INR and a moderate growth QoQ on INR terms. While I wouldn't call these out in a good quarter, I'll call out two or three factors that contributed to our performance. There were two clients, this was planned, who moved their work offshore, and then there was one program which I will talk about later that actually delayed start

and I'll say between them, they had a little over a hundred bps of revenue headwind during the quarter. Like I said,

this is kind of what we would consider normal. Wouldn't call out in a regular quarter, but in a soft quarter I thought it is worthwhile calling out. The fact is the planned movement of work from onshore to offshore for two clients did help improve and improve our margins in a difficult quarter. So we've actually improved EBITDA from the prior quarter to 16.7 and actually our EBITDA in absolute terms gone up 20 odd percent YoY in absolute terms, and our EPS is up 16.7% YoY. And finally, we have a healthy closing cash balance as of 31st March, as we always do.

I want to spend some time on some of the investments and some of the key topics that happened during the quarter. The first is that we expanded our footprint in Dehradun. We actually moved to a

much larger facility. This is a good indication of the success of the location. We also opened a new 700 seater in Hyderabad. Some of you that may have seen our Chennai facility know that we have a customer experience center there. Post -Covid, as client visits to our centers have declined, we decided to open two centers, one each in New Jersey, Jersey City, and the second in London. And these are investments we've made to help get closer and bring some of our innovation closer to client locations. The Jersey City location we inaugurated a few weeks ago and London office actually, while we've already moved in there, the official inauguration is in a couple of days from now.

We closed our head count at 31 and a half odd thousand. This is actually net reduction from the prior quarter. However, if you peel the onion, our IT head count went up moderately, just shy of a hundred people, and all the reduction was actually in our BPS business. Attrition, we continue to do very well. It's range bound. It was 10.8, it's 11.2 and our utilization as expected after a furlough heavy quarter moved up in Q1. We spoke about our NPS score in the cycle directly prior to IPO. Actually since then, we've got results for 24 because the numbers we have published at that time were 23 results. Early this year we got results for 24 and as always, we scored very well. On NPS 67, 27 points higher than industry median. We continue to have three clients above 75 million and 1 in the hundred million plus category.

In a variety of discussions I've spoken about what are four strategies that we have, to accelerate and improve our historical performance and those four were; the first one was legacy modernization using AI and more specifically we think we have a highly differentiated platform, RapidX. The second was to open PE as a channel. The third was to expand our footprint in HealthTech and ISVs, and the fourth was to make our Middle East and India markets count more. And I think the last one, especially in the light of global macros, there is additional conviction that these markets, India and Middle East, will be more decoupled from world macros than other economies. So I'll touch a little bit upon each of these to provide a progress.

The most progress actually is in the first line, which is legacy modernization. So we did beta last year with two or three clients in Q4. There's a lot of confidence that came from that and we decided to invest in both accelerating the platform and in a go -to-market effort. And the go -to-market effort has been in place essentially since Jan this year. And I'm happy to say that we have shy of 40 clients in the pipeline for this already. And I can say that we've not had a new service that has attracted such a solid pipeline early in the process. To be sure, all of these, many of these, are in the POC process. That's how these will start because they tend to be very large and involved programs, but even the POC investments are material for clients.

We started our capability with natural ADAB AS. We've expanded it since to COBOL and PL/SQL. I think a good marker of success for us is when we talk the next time

after Q2 that we should have moved at

least one or two clients out of POCs into real full -scale modernization order. So that will be defining what good will look like for us in a quarter from now.

I think the second of the board for us where we've made the most progress is in the Middle East and India markets. I think we spoke about the fact that we did a couple of J Vs, I think that's on the Middle East side and there is a very healthy pipeline in Middle East that we expect will play out through the rest of the year. India GCC is where we have been actively looking for ways to become significant in the market.

As a quick recap, for good or bad, we don't have a lot of footprint in GCCs and at an aggregate we see it as a big net new opportunity because we get virtually very low millions of revenue from GCCs right now, and you will hear some material updates from us in the next quarter on this.

I will pick ISVs as the third topic. I think some of you may have seen that we made a notification that Rak, who used to lead our high tech and professional services vertical as a combined unit, left the organization. He became the CEO of another company.

What was in the cards, in any case, we executed immediately, which is to separate high -tech and professional services. We have search underway , so it'll take us a little bit of time to find a new leader, but that new leader is going to be very focused on high tech and ISVs market. The desired profile for us is somebody who's done this, sold into IVS at scale. And so we think that will give a boost to our ongoing efforts in ISV.

Lastly, private equity. We think there is obviously a fair bit of discontinuity in that market right now, but we think we will see outcomes coming through the Q3 and Q4 of this year. So we'll have more meaningful updates for you later in the year, but I will provide every quarter a brief commentary on each of these four. The reason is this; we've spoken about a 3 billion ambition on revenue for us. We've said good for us looks like getting there in calendar year 2029 and even through challenging macro this year. We actually feel pretty good about getting to that medium -term goal as a consequence of these growth accelerators and tuck in M&A 's. Over to you, Vikash.

Vikash Jain:

Thanks, Keech . And move to the next one. So just to recapitulate what Keech mentioned, we had a good quarter with revenue year -on-year growth being 12.4 percentage in reporting currency, 12.7 in constant currency. The growth was led by four out of the six verticals growing at double digits on year -on-year basis. We had double digit that came through a combination of both the existing accounts and new account ramp ups. The two verticals that did not deliver year -on-year are banking and MNC. Banking headwind is associated with project closure. That we had called out even in our last earnings call. However, we have a very healthy pipeline and we expect this vertical to grow meaningfully from a full year perspective. In fact would be one of the growth drivers for us at a overall company level.

M&C is expected to continue to face some headwinds. Recent challenges, whether it is in terms of the tariff market uncertainties , trade barriers are leading to bit of a delayed decision making and subdued spend. So that's the reason for M &C in terms of underperforming for some time. Let's go to the next one. The only key point to highlight here is very meaningful set of accounts that we continue to add. So from a last year perspective, if you look into it on an L TM basis, we have added two accounts, which are greater than 20 million dollar and one account which is greater than 75 million dollar. We do have a hundred million dollar plus account and as we had called out last time, hopefully by end of the year we'll have two accounts which are going to be a hundred million dollar plus. Next.

R Srikrishna:

So Vikash, I will take back over. Thank you. I think the most important aspect of Q1 for us is a number of solid wins that we think sets us up very well for the next quarter, for the remainder of the year. These wins are a mix of EN and NN and I will briefly touch upon several of these.

The first one is a transnational bank that provides aid. They go through a cycle of redoing the vendor list every five years. So this year, through last year, they went through a process early this year, they announced seven vendors, and I think we are, maybe one more, are the only non -incumbents in that list. What will happen is that through the course of the next two years, they will bid out 200 million dollars per annum roughly of work, which are restricted to seven of us. So we expect this account to be, it's a very large logo. We expect this will be a growth driver for us this year and a more material growth driver for us in future.

The second one is similar firm in Europe and where we are part of their... we are the lead implementers on SAP for their most important co -transformation project of back office on finance and HR. And this is a very large program that has eyes from the top of this bank. In fact, I'm a part of their business steering committee for this. The third large global bank this, and I will later provide an update on some of the

pipelines that we spoke about in the past. This is a client which is still in pipeline for a large consolidation opportunity. They actually gave us a test drive and so we won a piece of work that has several components to it, but the most important component is app modernization and transformation.

The next one is a cool work. This is a legal advisory firm I think in a couple of weeks there is a legal conference, legal week, which brings together the heads of many legal firms, the tech heads and business sets, and actually an app, GenAI app -based platform. An app which we built for this firm is getting launched at this firm at this forum in a couple of weeks.

The next one, this is the bottom left -hand corner. One of the key things happening in the airline industry is called On e Order, which allows airlines to distribute the products more widely, not just through their own websites. And this is a new standard that will allow them to do that and this is actually will be one of the first implementations in the industry for that. So this is the one -on-a-platform implementation one. We have been going after legal as a sub -domain, we already have a top five client in this domain. There's another one. A lot of the initial work is created because of a need to separate from China and we have specific experience in doing that rapidly. And this is again a top 10 global legal firm.

The next one is actually a healthcare division of a very large conglomerate that's separated into three businesses recently. And we have an app modernization and legacy modernization effort underway here. And the last one is one of the largest pet insurance companies in the world and many parts of the world pet insurance is a big thing. There's a lot of money that pet parents spend on pets and insurance is

a way to manage that spend better and we want essentially a strategic supplier, there's an initial set of good set of work, but there's a lots pipeline for us to become for this to become a very material client for us. Very quickly. Next slide please . Vikash .
Vikash Jain:
Thanks Keech . So on the margins, we are progressing well on improving margins. Current quarter saw margin improvement of 40 b ps. Q1 margin at 16.7 percentage. The 40 b ps improvement was driven by operational benefit of 50 b ps, which was partially offset with currency headwind of 10 b ps. And the currency headwind for us is a combination of two factors. The underlying benefit that we get with respect to rupee depreciating, but at the same point of time how the hedges play out be

cause we start
taking hedges as per our hedge policies two years in advance. But you would see here that while the EBITDA improved by 40 b ps, the net profit improvement is lower as ETR has gone up quarter on quarter. ETR for the current quarter is 25 percentage versus 23 percentage last quarter. Last quarter had some one-time credits in our ETR. As we had guided to earlier, our ETR guidance for the full year is approximately 26% versus 25 percentage from a full year of last year.
And what we saw in the current quarter, the marginal increase, what you would see in the subsequent quarters is an account of some of the SEZ units coming out of the tax holiday period. And if you look into our current quarter results, despite the currency headwinds that we absorbed in the numbers, we delivered a sequential improvement. And this is despite the fact that we have the ERP cost is still into our numbers, which is expected to go out in the future quarters. So we remain confident in terms of delivering to our quoted margins of 17.1 to 17.4 percentage from a full year perspective.
Move to the next one. We are making progress on our operational. We continue to make progress on our operational metrics and the offshore mix has improved by 200 b ps sequentially. You heard Keech state that we had two clients move some of their work offshore, plus the ramp up in the new deals helped with the better offshore mix. Now while this is a bit of a revenue headwind, this has definitely helped us in terms of our margin expansion. On the headcount, while there is a net decline, if you look into the numbers, what we have given as part of the data book published with the results, you would

see that we added a hundred net headcount, approximately a hundred net headcount in IT , which was offset by a reduction in the BPS headcount of close to 850.
On the IT side, we have added headcount while improving our utilization quarter on quarter, demonstrating that we have an underlying volume increase. BPS there is a marginal decline in revenue quarter on quarter and the headcount associated with that has actually come down. We improved our utilization quarter -on-quarter. We expect our utilization to be range bound between 82 to 83 percentage from a full year perspective.
Let's move to the next one. DSO for the quarter is at 75 days. This is marginally higher than the target DSO level we have set out for ourselves, which is 70 to 72 days like every year. At the start of the current year, we had meaningful number of SOWs that were due for renewal. This is basically a paperwork while the work continues to happen at the client's end. However, it took a little bit more time than usual to have the paperwork executed this year. The resultant impact of the same is basically delays in invoicing and leading to a DSO increase. We expect the DSO to be back to the 70 to 72 days by the year -end.
Similarly, on the OCF to EBITDA now we have a very healthy cash balance of $225 million completely debt free. Our goal is to generate OCF to EBITDA on an LTM basis at 70 percentage. And we always look at LTM basis as there cash flow seasonality primarily associated with tax and variable payouts in between quarters.
So our OCF to EBITDA for LTM Q1 is 67 percentage, which is marginally lower than our target levels of 70% driven by the DSO being higher in the current quarter. The ETR, as I called out, ETR for last year was 25 percentage. There was some variability by quarters both ways which actually offset the impact on full year basis. ETR for current quarter is 25. We expect our ETR for the full year to be 26 percentage. Last from my side just to add on the dividends, we declared dividend post -a quarter close of $5.75 per share leading to a total payout of $40 million. Keech , over to you.
R Srikrishna:
Thank you, Vikash . Could we go to the next slide please? This is our last slide and I'm going to spend seve

ral minutes hopefully addressing several questions that you may have. I think the first and top is really an update on our two GSE clients. I know there's been some risk perception worry about where this will go. So here's the update. So update on client one. This is one of the two consolidation deals that we won earlier in the year. The deal execution was delayed, but it's begun now. So it got delayed for a few to several weeks, but it is started now. So we are all good here. The delay was not just the revenue impact for that, but it's also a signal of what could further happen because we have a very large pipeline in that client. So the fact that it's begun now is actually a good signal for us that whatever uncertainty was there when the new administration took over has kind of receded.

In client two, we had a sharp ramp down. Now this actually was told to us early last week. It was quite, it didn't happen immediately, but we had a sharp ramp down which will account for roughly 1% of the company revenue. However, in my conversations with their management, what they said is this is our kind of here and now attempt to reduce cost. How are our most sustainable way of doing this is that we want to consolidate, they have roughly 2,500 contractors, which they do business with over hundred people. We are less than 20% of that, but we are the largest. And they said they want to get it down to a very small number, somewhere between two and 10. And so that's a process that has started. So in many ways for this client, the way we look at it is the downsides are behind us and it's in the books and upside, potentially large upsides are ahead of us now.
We spoke on two deals that we won last time. We didn't provide a color on size of these. I want to provide, we have more clarity on what are the book of work that will come. So really client one, which is kind of the same one where the work got delayed, that will give us on annualized basis about $20 to $30

million per annum incremental revenue and ramped from Q2, partial ramped from Q2. Client two, we will get $25 to $35 million annualized incremental revenue. That again, the partial ramp is from Q2.
Now we also spoke about two very large, call it mega consolidation opportunities, in clients where we are non -incumbents for this work. We do other work on both these clients, but we're non incumbents for this. Both of these that have been positive progress, I'll say they're closer to a decision. In fact, in one of them they gave us a test run. I spoke about that deal earlier. Aside from these, we have two other very large consolidation opportunities in the pipeline. One of which I referred to already, the 2,500 F TEs. And in that as the largest incumbent, we feel good about where we are.
The other one is in another large global bank. We have a footprint, but we are not a strategic vendor. We have very large spend and this process will potentially put us in play for another half a billion dollar per annum of outsource spend. Now the reason I'm highlighting these is A, of course impact on our performance and our revenues, which is very positive. But I think more importantly also that we are now with some more consistency getting into consolidation deals in very large customers who have very large spends. And that's as a consequence of our focus strategy to make sure that we hunt material logos even on day one. It starts with low or even sometimes zero revenue. But eventually these are the clients where if you're in play you get opportunities which are very large.
So what does all this mean for '25? I think we last time said we are not going to provide guidance. We are taking a 10 -year view. There'll be up and down cycles. We are going to stick to that. We are not providing guidance, but I'm going to provide as much color as we can. So Q2, actually our underlying performance will be very strong. There are two I already spok

e about. One of the GS E's will have an
impact of 1% of company revenue, that has already started. It was announced early last week and it's in effect immediately. That plus another large program which ended, normally that client would've had quite a bit of follow -on work, but their client in financial distress. So they have actually stopped follow -on work for that.
So just between these two, we'll convert Q2 from what would've been a great Q2 to a good Q2. So we still expect to have a good Q2, but actually underlying performance ex of these two will actually be a very solid Q2. And that momentum will continue into Q3. So we expect to have accelerated growth in Q3 and given some of the deals in the pipeline and the backend nature of the ramp up, we expect at this point that we will buck the usual trend in Q4 and actually deliver sequential growth in Q4 as well and much of this is not macro -contingent for us.
A measure of our confidence, we expect to hire 1800 to 2000 IT people in Q2, both to serve Q2 ramp and in anticipation of Q3 ramp.
Some vertical color and Vikash touched on some of these already, we expect banking and financial services to lead growth for us. FS already is and it'll continue. Banking, you've seen a couple of negative quarters, but you will see a very sharp, literally, potentially double -digit Q on Q growth starting immediately from Q2. So it will turn around and actually for the full year, we expect it to be a growth driver for us.
TNT, I'll say it's marginal, incremental weakness due to macros over the last several weeks, but it will still grow at roughly company average for us.
HTPS, H&I, we expect it to grow roughly at company average and M &C is where actually the biggest impact of macros is and it will have . It has had weakness and it will actually continue to have significant weakness.
Finally, on margins, I want to reiterate what Vikash said. We will improve our reported EBITDA to range in 17.1 to 17.4. We are not in the phase of profit maximization. These are what will happen naturally.

We are still investing significantly in our business. I did speak about some of the investments we've

made even in this quarter. ERP costs will be a tailwind for us. It will be the end of Q2.
Finally, on margins, there are medium -term levers to improve the margin 100 to 150 bps. However, our here and now focus is to not necessarily apply those levers, but instead focus on using that to maximize growth.
With that, we'll stop for Q&A. Dinesh?
Moderator :
We will now begin our question -and-answer session. If you have a question for today's speaker, please select the Raise Hand button at the bottom of the Zoom interface and you will enter a queue. After you are announced, please unmute yourself, state your name and company and ask your question. If you find that your question has been answered, before it is your turn to speak, please press the Lower Hand button to leave the queue.
We will now pause for a moment to allow the team to gather and assemble the queue.
Our first question comes from Ankur Rudra from JP Morgan. Please unmute your line and ask your question.
Ankur Rudra:
Hi. Good morning. Thank you for taking my question.
So maybe to start with, Keech, you gave a lot of detailed outlook. Thanks a lot for that. Could you maybe elaborate a bit more on the nature of client feedback you're getting across banks, financial services, manufacturing and travel on spend intentions, and how widespread are your client ramp downs and cancellations? I think you referred to two of them, specifically. Thanks.
R Srikrishna:
So I had the benefit we had in the first week of April, an annual client meeting at Pebble Beach Golf Resort in California, and we had call it 50 clients in that location. We had conversations with a number of clients about what did the macro mean for them, positive, neutral, negative.
I think manuf

acturing clients, a lot of them actually pulled out of the event. That, in of itself, tells a story and the ones that were there clearly said we have trouble. There were a surprising few client that actually said it's a positive for them. It was a surprise to me, but for them it was kind of, "Hey, this is a positive for us." For example, there's an insurance client that said, "Anytime there's high volatility, people tend to buy more of our products."
The vast majority said it's kind of a second order impact, so it's a wait and watch. They don't have any kind of specific plus or minus plans that are in motion, it's a wait and watch.
Now, Ankur, you said something, I mentioned a couple of client ramp downs. Actually I didn't. I mentioned one, which is a project that was scheduled to get over. Normally, there will be follow -up work from that, but that client, because of financial issues, did not choose to continue. They've chosen not to continue, at least for now. I can't recall another one I mentioned.

Ankur Rudra:

So the other one is the ramp down on your GSE client where you will be hit this quarter onwards. I was referring to those two.
R Srikrishna:
Yes. Sorry, yes.
Ankur Rudra:
But are there any other besides those two?
R Srikrishna:
No.
Ankur Rudra:
Okay, thank you.
R Srikrishna:
I mean nothing which is not on the normal course of business. Yeah.
Ankur Rudra:
Okay. So given all of this, Keech, what kind of visibility do you have into the year now, given the headwinds you face? Do you think you will be able to sustain the double -digit growth momentum, given you face somewhat tough comparable in both 2Q and 3Q?
And also if you can summarize the full -year outlook in a way, how should we think about it versus what you did in the first quarter or what you did last year? Thank you.
R Srikrishna:
Yeah. So I did say that Q2, lets start with Q2, right? But actually Q2, our underlying role will be solid and actually because of the two clients that you refer to, it'll go from an outstanding quarter to a good quarter. So we'll still have a good quarter, and those two quarter -on-quarter headwinds will go away for Q3, and actually Q3 growth will accelerate. So we actually expect to have a pretty solid year, Ankur.
Ankur Rudra:

Okay, understood. Maybe the last question on the GSE side, just to clarify. Your second GSE client, the impact will happen for two months in the current quarter, it'll complete in 3Q, right? Is that the main to understanding this?
R Srikrishna:
Two and a half months, yeah. I mean, little under two and a half months. Two to two and a half months for current quarter and full quarter from the next, yes.
But their intention, at least right now, what they've stated is that they will make pretty quick decisions on the consolidation because that's a more sustainable path to cost reductions. Right now they've kind of taken up, as they described it, a peanut butter approach, just uniform cuts. They haven't given thought to programs and things like that that get impacted. That's not a sustainable way for them, more sustainable ways through consolidation effort.

Ankur Rudra:
Got it. Appreciate it. Thank you so much.
Moderator :
Right. Just a reminder, if you would like to ask a question, please use the Raise Hand button, which can be found at the bottom of your Zoom interface.
Our next question comes from Abhishek Kumar from JM Financial. Please unmute your line and ask your question.
Abishek Kumar:
Yeah, hi. Thank you for taking my question.
Keech, you mentioned that now Hexaware is increasingly participating in vendor consolidation or large deal scenarios. So one question is what is helping us win more in these deals? And second, have you seen more pricing pressure around large consolidation deals? Because it looks like these are the only type of deals out there in the market.

R Srikrishna:
So I'll say, I think the first question is not even why we win. I think the first question is why are we in these deals? Because they can only happen large, very large opportunities can only happen in very large clients, and I think it's a very systematic effort for us to hunt material logos. And I think we've mentioned in the past some 61, 62% of our revenues comes from clients whose revenues are above $5 billion, and that's not an outcome without a focus and an effort behind that. So I think once you get in and you deliver well and over time you get an opportunity to play in this, right?
As of now, much of these opportunities that are in front of us, we are not CapEx fund. It's really kind of no downside or potential upside scenarios for us in many of these. Clients have chosen not to put our book of work into the mix or, in many cases, we are not even in that lane for that. But yet we've done well somewhere else so they've put us in play for something larger.
Why we win the ones that we've won is I'll say it's really kind of three things. One, whatever we executed, we execute very well. Two, we are able to bring more intensity and focus to the clients. And three, customers love our platforms.
Abishek Kumar:
Okay, understood. Maybe one last related question.
It looks like the deal wins have been healthy. Any color on what would be the TCV order backlog we are sitting on compared to where we were maybe a year back, and which verticals you think order bookings are strong.
And maybe a related one is we have seen, you've mentioned a couple of ramp down, one ramp down and one delay, so that revenue deal TCV to revenue conversion. Do you think that would flow as usual or as we go through the year and there are uncertainty around, there could be gaps between TCV and revenue conversion? Thank you.
R Srikrishna:

The reason for the many gaps between TCV to revenue translation is the reason we're not reporting in TCV. Instead, I'm hopefully making it simple for you by translating it to specific revenue range of growth in the key deals.
This is obviously not all of the deals, but at least the large ones, we're going to try and translate to a revenue growth over the next 12 months for you, which is what we've done for two other deals.
Abishek Kumar:
Sure, that's helpful. Thank you and all the best.
R Srikrishna:
Yeah, I think you asked about vertical. I already gave commentary on verticals. FS and banking will lead

for us and M &C will pull us down, what would otherwise been, or M &C will be a drag, others will be roughly on par.
Abishek Kumar:
Thank you.
Moderator :
Our next question comes from Shweta Seth from Alliance Bernstein. Please unmute your line and ask your question.
Shweta Seth:
Hey. Hi. Thanks for taking up my question, and thanks for the presentation. So I have two questions. First is do you see any impact from reshoring in case of any risks due to any change in Trump policies? And my second question, I'm not sure whether it's within your scope to comment right now, but just the question will be around the refinancing risk for the bond. What are you thinking about the USD $1 billion bond that's maturing next year? What options do you have in case you're not coming to the dollar bond market? Thank you.
R Srikrishna:
Thank you. So on reshoring, we're not hearing any clients talk about it, certainly as it pertains to our business. You are hearing enough announcements, including IBM most recently that they're kind of invest more in the US for manufacturing. There's nothing really about services.
But should it happen, it's not necessarily a risk for us. I see it as an opportunity. We have a solid kind of employing brand in several major pockets around the US. I actually see it as an opportunity. The clients want to do more in the US.
The second question we can do, like you said, the bond is not on

Hexaware it's Carlyle . Nevertheless, I'll
say that we have good options on the table, so you should not think of it as an issue. So when or much before the time comes, there will be an answer for it.
Shweta Seth:
Okay. Thank you.
Moderator :

Our next question comes from Manik Taneja from Axis Capital. Please unmute your line and ask your question.
Manik Taneja:
Hi. Thank you for the opportunity, and my apologies that I joined the call late. So if you can, I don't know whether you've already answered that, but if you could break up the segmental performance between high -tech and professional services in the current quarter and how do you see each of those two parts behaving through the year? That's question number one.
And the second question is with regards to some of the challenges or the pressure that you are witnessing with some of your GSE customers. Do you think this drives more expansion in your offshore revenue mix and thereby some sort of a tailwind to margins as well?
R Srikrishna:
So on the first one, Manik, I mentioned earlier that we are actually going to split our high -tech and PS and we think that will give serious growth wings to high -tech. We've done this playbook before. Banking was embedded in a small portion of our financial services vertical. We separated it four years ago and has actually grown quite nicely, and we've acquired some major logos in the process. We're going to do the same to high -tech. High -tech, actually, is very small right now. So wouldn't be meaningful commentary to talk about differential performance between the two. Much of our performance is actually driven by PS right now, and that's the opportunity for us to do a lot better on high -tech and hence we are going to create a new vertical.
On the second one, we did answer in some detail on it, so maybe we can follow up with you in a more detail, but I'll tell you the high level or the two clients, one of them there was a slight delay in a consolidation deal, but that's since started, so we are actually on good wicket there. The fact that we've started also to us is a signal that things are back to normal. The second one, there was a sharp rundown that was announced early last week effective immediately; that'll have an impact of 1% on the company revenue for the year, but that is behind us. They also said they want to consolidate 2,500 vendors to a much smaller list. And as having just shy of 20% there, and as a large vendor, we actually stand at a very good spot in that exercise. But there was more details, then perhaps we could do that offline, Manik, since we answered in some detail earlier.
Manik Taneja:
Sure, Keech, my clarification on this one is basically does this provide an opportunity to increase your offshore revenue mix, given some of these GSE customers have largely been onshore service customers?
R Srikrishna:
I mean, in general, I think we will improve our offshore mix. We did improve it this quarter, but that is not because of the GSEs. Actually, there are two other clients that have planned movement from

offshore to onshore that was a revenue headwind for us in Q1, but a margin ... sorry, revenue headwind, but a margin tailwind for us. So I don't think GSEs will be a driver of improving offshore mix. I mean, there is a one -time step reduction that will be an improvement for offshore, but there's still plenty of opportunities, like I said. In some ways the downsides are behind us. We think there is potential large upsides ahead of us.

Manik Taneja:

Sure, thank you and all the best for the future.

Moderator :

Just a reminder, if you would like to ask a question, please use the raise hand button at the bottom of your Zoom screen. Our next question comes from Dipesh Mehta from Emkay Global. Please unmute your line and ask your question.

Dipesh Mehta:

Yeah, thanks for the opportunity. Two questio

ns, just want to understand because in second GSE client
you indicated about immediate trim down kind of thing, so what factor led to it and whether you see risk it to play out even in the another client? Second question is about the CY25 outlook, whether any change, let's say based on what you observed in Quarter 1 and likely to see in next three quarter, compared to what we might have expected at the beginning of year, if any changes?

R Srikrishna:

See, on the first one, I mean what led to the reduction, I explained earlier, but the client is simply doing, and this is their words, quote unquote, "peanut butter." There was an ask from the administrator to reduce X amount of cost and they did, and they didn't give thought to where, what programs, what they were, nothing. That is all kind of phase two through a consolidation, a more thoughtful exercise that has already started. There's an RFI out already and their desire is to rapidly make a decision. And like I said, because we are the largest, we feel good about it. More than largest, we deliver outstanding work in critical programs for that. So there's no real why except, hey, it's a peanut butter spread off the cut. Could it happen in the other one? I don't know. It's not happened till now. More importantly, I think our at least initial intel is that the administrator thinks the other one is better run. For example, they had already a hundred percent work from office implemented for three days a week. That was one of the big first things for the administration and these guys already have done it. Sorry, what is the second question, Vikash, can you remind -

Dipesh Mehta:

CY25 outlook, whether any change based on what we observed in Quarter 1 and next three quarter?

R Srikrishna:

Yes. Yeah, listen, I've called the negatives out very specifically and tried to characterize it as much as I can. There's a number of positives, so there's lots of pluses and deal wins. What is true is that our deal ramp -ups are, some have started in Q2, but it'll continue ramping through Q3, Q4 and others will start in Q3. So we will actually have pretty solid quarters ahead of us.

I'll leave it at that. I've said we won't do guidance, so I'm going to stick to that. We will have, Q2, I want to reiterate, it would have been a great quarter, it'll actually be a good quarter because of the two specific headwinds in Q2. Q3, those Q o Q headwinds will go away, so we'll actually have accelerated growth Q3. And Q4, we will likely buck the trend of a flattish Q4 and actually grow in Q4.

Dipesh Mehta:

Thanks.

Moderator :

Right. Our next question comes from Girish Pai from BOB Capital Markets. Please unmute your line and ask your question.

R Srikrishna:

Girish, if you're saying something we can't hear you.

Moderator :

It looks like we are having trouble getting you connected. We will place you back in the queue and return to you later. We'll move to the next question. The next question comes from Abhishek Gupta from Axis Asset Management Company. Please unmute your line and ask your question.

Abhishek Gupta:

Hello? Am I audible now?

R Srikrishna:

Yes, Abhishek.

Abhishek Gupta:

Yeah. So I just wanted to check on the two clients which might impact our growth in Q2 as well. What are the kind of work which we are doing for these two clients and wanted to more clarity on the second client which we saw a sharp drawdown, like what is the criticality of the work for that organization? Just wanted to understand how this budgeting is happening within this corporate. Are they looking for that criticality? Are they even considering the criticality of work to ramping down the?
R Srikrishna:
So in this one, so there are two, one is the GSE and the other is, I'll come to the second one. In the first one we are involved in 80% of their transformation programs. Everything that is very core to their business, pricing, under

writing, securitization, forecasting, all of their core systems, we are involved in.
Their data, we are the number one, right? In many of these, we are the number one.
So in this client, again, I said it a few times, they took a peanut butter spread approach for cuts on day one. They haven't had time to sort through programs, deliver the excellence, criticality, any of that. But they're doing that now. They've started an RFI process that will lead them there, for consolidation that will lead them there. So, that's client one.
The client two, we essentially built and finished for them, handed to them what will be the future of their company. It's a platform with four different brands. We did a new architecture to bring these brands and platforms together that'll help reduce development effort and materially improve velocity.
So that's the work we did, which we delivered, like I said, usually it'd have continued to additional work, but they are not doing well so they stopped.
Abhishek Gupta:
Got it, sir. That answered my question. Thank you so much.

Moderator :

We have a last question coming from Gaurav Rateria from Morgan Stanley. Please unmute your line and ask your question.
Gaurav Rateria:
Hi. Congrats on good execution in an uncertain environment. Keech, I just wanted to understand for the deals where you're using your platforms, how are the contracts structured in those cases? Are there different outcome -based models which are being explored versus the effort -based business model that we have always dealt with in the past? Are there any new billing models that are in the works, especially with the advent of generative AI? Just trying to understand how the business model will evolve.
R Srikrishna:
So the old platforms like Ten sai is very kind of managed services. The construct hasn't changed. I think incrementally there is Gen AI benefits into those kind of deals and contracts. On the newest, which is RapidX, I think it's evolutionary. We are going to experiment with different models. We're still in early phases. Remember we only brought it to beta at Q4 last year. So, it's early stages. Clearly our attempt is to see what's the best mechanism that will bring us value for the platform beyond the human effort.
Gaurav Rateria:
All right, thank you.
Moderator :
That brings our Q&A session to a close. I will now hand back to Mr. Srikrishna for closing remarks.
R Srikrishna:
Thank you. Thanks, Dinesh. We actually, like I said in the beginning, in the light of everything that is happening, we had a surprisingly normal quarter. We had actually a number of wins that make us feel good. We have uncertainties around two clients. I think we now know what the bad is, and that's in the books. There's potential significant upsides even with those clients going forward. And otherwise we are in play for a number of very large deals that can change trajectory of growth of a company quite a bit. Even without all of those happening, we will still have a solid Q2. We'd have had a great Q2, but we'll have a solid Q2 and a great Q3.
So with that, I look forward to speaking to you again, and like I said in the beginning, I will also provide you an update on our strategic initiatives every quarter. Look forward to the next quarter and look forward to meeting some you offline as well. Thank you.
Moderator :
This concludes our conference call. Thank you all for attending.

Call: Jul 2025

HEXAWARE TECHNOLOGIES LIMITED
Regd. Office: Bldg. No. 152, Millennium Business Park, Sector – III, ‘A’ Block, TTC Industrial Area,
Mahape, Navi Mumbai - 400 710 (INDIA) | Tel: +91 022 3326 8585 | Email: investori@hexaware.com
CIN: L72900MH1992PLC069662 | URL: www.hexaware.com

HEXT/SE/2025/ 84

Date: July 31, 2025

To, To,
Lis■ng Department Department of Corporate Services
Na■onal Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra-Kurla Complex, Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai - 400 051 Dalal Street, Mumbai - 400 001
Symbol: HEXT Scrip Code: 544362

Dear Sir,

Sub: Transcript of investor/analyst call held on Friday, July 25, 2025
Ref: Our earlier intimation with Ref. No. HEXT/SE/2025/76 dated July 17, 2025
In continuation to the above-referred intimation and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of the investor/analyst call held on Friday, July 25, 2025, for the quarter and half year ended June 30, 2025. The transcript of the investor/analyst call is also made available on the Company’s website.

The link to access the same is as follows: https://hexaware.com/investors/quarterly-results/ .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For HEXAWARE TECHNOLOGIES LIMITED

Gunjan Methi
Company Secretary
Encl.: as above.

Hexaware – Q2 CY25 Earnings
July 25, 2025

Operator:
Ladies and gentlemen, good day, and welcome to Hexaware Technologies Limited Earnings Conference Call for the second quarter of CY 2025. We'll begin today's session with a presentation from the Hexaware management team, followed by a Q&A segment. To ask a question during Q&A, please use the Raise Hand feature located at the bottom of your Zoom interface. This will place you in the virtual queue. I’ll now hand the conference over to Mr. Niraj Khemka, Head, Investor Relations. Thank you. Over to you, Mr. Niraj.
Niraj Khemka:
Thank you, Angela. Hello, everyone, and welcome to Hexaware Technologies Q2 CY '25 Earnings Call. In the call today, we have with us Mr. R Srikrishna, CEO, and Mr. Vikash Jain, CFO. In the course of this call,

we will make certain statements which are forward-looking and may involve a number of risk and uncertainties. All forward-looking statements made herein are based on the information presently available to the management, and the company does not undertake to update any forward-looking statements that may be made in the course of this call. In this regard, there is a full disclosure which has been made in the investor presentation and the press release. We consider that as read. With this, I'll hand over the call to Keech. Keech, over to you.

R Srikrishna:

Thank you, Niraj. Could you please move to the first slide after the disclosure. Thank you. Hello, everyone. Thank you for joining this early. We know we had to adjust our time based on other people's schedules. Thank you for joining really early, those of you in Mumbai and maybe in Singapore and Hong Kong.

Our quarter on revenue performance this quarter was a little bit softer than what we had anticipated, predominantly driven by delayed decision-making from customers. What it means for us is two things. One, I think it means somewhat lower expectations for the remainder of this year. But I think more importantly, given the strength of our pipeline and given the strength of progress on strategic initiatives, we continue to remain solidly confident of our long-term growth trajectory. But more on that later.

On profitability, we've said that we will get to a 17.1%-17.4% range on reported EBITDA. We are right there. I know there are a lot of puts and takes in one-offs, which we will go through. But the reported

EBITDA is what this shows here. Actually, once you go to the one-offs, you'll realize two things. One is that even for the current quarter, our operational performance is somewhat better than this reported EBITDA. Two, and more importantly, the one-offs set us up for solid improvement in profitability over a period of time.

As a consequence of the one-offs our ETR came down and our EBITDA, in absolute terms, while it grew solidly at 19.4% YoY, our EPS grew even faster. As always, we have a solid cash balance. The most important event for us from a business perspective was the acquisition of SMC. I will talk to the strategic rationale behind it in a few minutes.

Last time we spoke about setting up customer experience centers in New Jersey and in London. We continued that path and did one in Chicago. We had substantial participation from all of our clients in Chicago for this opening. Actually, it's walking distance to many of our major clients in that region.

We continue to do very well on operational metrics. Our acquisition is still the lowest or amongst the lowest in the industry. Our utilization inched up, which actually underpins the solid operational performance. We are very proud to have been ranked number one in 2025 in the Whitelane Research for UK and Ireland.

Every year that it has been published, we've been in the top two or three, and this year, we're really proud that we are number one. Bear in mind when Whitelane announces and publishes this report especially the who’s who of UK attends that presentation. Not only were we ranked number one, one of the two or three customer presentations in it was also a Hexaware client who presented.

I will talk a bit about strategic initiatives as we started doing last time. Before I go to the four specific ones, I think what we did a few weeks ago is to launch a new AI-based software engineering offering. I think in general, what the pivot to AI entails is for us to be able to rapidly evolve to new business models, experiment with them. Some of them will work, some may not. But I think the muscle we need to build is agility and the ability to offer new services very rapidly and take them to all of our clients very rapidly.

One of them we launched a few weeks ago. This is a new, largely AI-based software engineering offering.

The initiative of legacy modernization using RapidX, we've spoken about quite a bit. We had called out a marker for success as two paid customers getting beyond POCs. I'm glad to say that we've got there, and we will talk about those wins in the wins slide later.

Private equity is an initiative that we launched earlier this year. I had said we will start seeing pipeline and orders later this year and revenue and growth next year. I'm again happy to say that we are progressing on pipeline exactly or slightly ahead of what we thought it should be. We are actually pretty close to hiring a High-Tech head, which I think will give us material boost in a very large untapped segment for us.

The last of them was improving presence in India and Middle East. Middle East continues to have a robust pipeline with still their expectations of orders in Q3 and some revenue growth starting from Q4, and certainly quite a bit next year. On GCC, this strategic imperative for us also coincided with an opportunity to buy a solid company in the space. Let me talk a bit about the why of SMC. If you go to the next slide, please.

There are really four rationales for why SMC. The market data is that there are roughly 1,700 GCCs in India today, and that is expected to go to 2,700 over the next 4–5 years. Setting up new GCCs is a robust revenue opportunity, and SMC specializes in that. They've actually set up 30 plus GCCs over the last decade, and actually quite a bit of it in the last few years since they started. I think what that does is to put us in the lane to address that opportunity.

The second thing is that when customers

are looking at setting up GCCs, their normal port of call is not
outsourcing companies. The set of players that they call who they see as specialists in setting up GCCs in a way that is not conflicting with an outsourcing mentality. Actually, the company that does a lot in this is

ANSR, and the company that does very well in this is also SMC. We actually see that the opportunity is there, but we will be in a far better position to address that opportunity.
The third is that currently what SMC does is to have set up. But what it does not do is transform the operations, especially with the AI opportunity. That's a capability that Hexaware will bring, and we think it will deepen the relationship with the customers for whom we set up GCCs.
And finally, I think while much of the action has been in India, we are clearly seeing a trend where similar capabilities will be needed across other parts of the world, where people may set up GCCs in East Europe or Southern Europe or LATAM.
That's the strategy rationale we feel very good about what SMC brings us. I've always said there are two important things for us in acquisition. It should bring us capability on day one. Two, it should be EPS accretive. There should be a clear pathway to get it to EPS accretive. In this case, it will be EPS accretive on day one.
Go to the next slide, please. A quick thing on the numbers. They did 22 million last year. We think this will grow, even on their own and then the combination with Hexaware, we think, will grow quite a bit in this space.
With that, I'm going to hand over to Vikash, and I will come back later to talk about the outlook.
Vikash Jain:
Let's go to the next. Thank you, Keech. From an overall revenue perspective, we had a good quarter with a YoY growth being 8.6%, as you can see that the growth was led by five out of the six verticals delivering YoY growth. From an FS perspective, the YoY growth is very strong. Sequentially, you see a muted growth of 1.1%. We had called out last quarter that this does have an impact of one of the large clients doing a bit of a spend cuts, which we had already factored in as part of our outlook, and that's reflected. But this is a vertical which will grow from a full year perspective, one of the strongest growths.
Banking, we had called out that we would see a sharp recovery going into the next quarter, and that's what's reflected in the sequential numbers of 13.5%. YoY is starting to pick up from a Banking perspective.
M&C is the vertical that had negative growth. This is the vertical that's most impacted by macros in terms of tariff, uncertainties, and trade barriers, and this has led to pause or delay in decision-making. We are seeing that it's stepping down. From here onwards, we would expect it to hopefully see a bit of growth getting into the future quarters.
On the geos, every geo had sequential growth. Asia Pacific, obviously with the SMC acquisitions that we have done, and in addition to the investments that we are making into this region, will start showing growth. The other piece what we would like to highlight, and this is something which we have introduced for the first time in terms of the presentation. This was always part of the detailed financials that we gave in terms of spreading the revenue between IT and BPS.
The key to highlight here is that our IT business is growing at a much faster pace than the company average, and the IT services growth is close to 9%, while BPS is at 4.7%. We'll add it back in terms of how that is being supported by the underlying volume growth, both in terms of the headcount and the utilization as we speak through details in the subsequent slides.
Let's move to the next one. The key highlight here is that we continue to expand our base in terms of adding meaningful clients to our set of customers. We have added one client which is now added to the greater than $50 million category, and th

at now stands at four on an LTM basis. In terms of our top clients,
despite the fact that one of our clients had a headwind, you would see that our contribution from the top five customers continues to be almost stable to what it was a year back. That's reflective of the fact that the growth is very broad-based, and we continue to have growth in all sectors.

Next. Keech, do you want to take this?
R Srikrishna:
Yes. As said, our long-term revenue outlook remains solid as a consequence of pipeline, as a consequence of wins, and progress on strategic initiatives. The first win… actually, there are two wins here, which are both a RapidX-based legacy modernization. One is for a large airline. One is for a large financial institution. Both cases involve a code written several decades ago that we've been able to bring an X-ray on business logic, too, which enables customers to really transform in a more meaningful way rather than simply transforming code as is. Both these customers were in pilot, and there's a part of it that has moved to production at a larger scale. But both these customers, these are still a small percentage of opportunities that are ahead of us. We continue to expand pipeline and conversations based on RapidX-based modernization.
We launched Amaze several years ago with a proposition to focus on transformation in the right way to cloud. Actually, there is a substantial increase in demand for this work that we're seeing now as customers have moved to cloud and are finding that they're not getting the full benefits of what they thought they

would get, both performance and economics. So, this is a very large global healthcare company part in UK, part in Australia, where they've engaged with us for Amaze-based app monetization.
Salesforce launched Agentforce. One of the early implementations and success of that is to use that for sales execution of a global web business in a private equity firm. The next one is again based on Amaze. Like I said, we're seeing a moment where demand for that is peaking. This is a top five global bank. It's been a journey with this prospect for a number of orders for us. But we finally now have not only the first set of paid orders from them, but they also essentially declared Amaze as the standard, only platform that internal application owners can use if they want to refactor applications.
Another large US Fintech firm, a variety of services, AI-driven product development, AI-driven assurance, and cloud ops. A large, one of the top three insurance companies in Belgium, again, substantial work on migration to cloud and finally, another new client. These are all a mix of new and existing clients. The last one that I'll talk about is a property management company that's a new client. It is a multi-billion-dollar company, where we have multiple deals. It's the start of what we think will be a long and fruitful journey with this customer. Back to you, Vikash.
Vikash Jain:
Thank you, Keech. I spoke about the revenue. On the margins, the highlight is we are progressing well on margins and are well on our target to meet a full-year reported EBITDA of 17.1%-17.4%. Particularly with respect to the current quarter, we are pleased with the improvements that we have made. Current quarter saw a margin improvement of 50 bps on a reported basis, and the margin increase was driven by an operational improvement of 100 bps with the improvement in utilization, offshore mix, and some bit of a tailwind from calendar. This was partially offset with currency headwind of 35 bps and one-time charges of 15 bps.
Utilization for the quarter was at 83.7% versus 82.1% in the last quarter, a sequential improvement of 160 bps. We expect the utilization to be range bound within 83%-84% on a full forward basis. That's the level what we had even spoken about in the past that we feel comfortable that we can take our utilization up to 84%.
We continue t

o improve the offshore mix of revenue. This quarter, there has been an improvement of 110 bps sequentially, and it's almost closer to 300 bps since the beginning of the year.

Coming to the one-timers which had a net headwind, there are a few items, and I'll go through in detail with those. They had a one-time impact of 15 bps. The first one is Softcrylic earnout reversal. The Softcrylic acquisition which we did last year, had a first year earnout of $25 million. Of the same, $6.5 million dollars was paid, and you would have expected that for an asset in the data space, the targets that we set were very ambitious. They met part of that, and the balance $18.5 million dollars was reversed out. This reversal is actually reflected in other income line item of the PnL.
Due to the missed CY '24 targets, we did an impairment testing on the customer relationship on the intangibles in the balance sheet and took a $4.6 million impairment charge. The impairment charge is actually reflected under other expenses. I want to clarify that the reversals associated with Softcrylic are in the other income line, while the charge associated with the impairments is in the other expenses.
In addition, there were three more items on the cost side. One of the European clients acted in bad faith to settle their dues, and the client is also undergoing some financial strain. There is a legal dispute which is going on with the client. As a matter of abundance prudence, we have taken a provision of $9 million associated with the client in the quarter. I'd to clarify and emphasize that this is a provision and not a write-off as we are working through our legal options.
We have also initiated a structured workforce reduction program in one of the European country. A one-time charge of $3.8 million associated with restructuring expense has been booked under employee benefit cost. This is something which will actually start coming back into the PnL in terms of a reduced salary cost in the future, and we expect the benefit to start accruing from Q3 onwards.
All of you are aware, Keech spoke about the fact that we completed the SMC acquisition in July. The diligence for this was obviously taking place in the last quarter, which is in April to June. The diligence expense for this, close to $1.5 million were incurred in Q2 and are in the other expenses. If you net out all of this, it's a headwind from a PnL perspective of close to $500K, which turns out to be close to 15 bps. That's what we said, that despite the fact that we have taken the 15 bps of headwind in terms of the cost in the current quarter, we still are at 17.2% from a reported EBITDA perspective. We remain on track to deliver on the reported margins in the range of 17.1%-17.4% for the full year.
Move to the next slide. We continue to make progress on all fronts from an operational metrics perspective. If you see all our metrics are trending upwards: the offshore mix has improved, utilization has improved, and while we continue to add net headcount, which is reflective of underlying growth. When the headcount increases and the utilization improves, it's a very strong signal that the underlying volumes are increasing. Of the 850-odd headcount that we added in the current quarter, 581 of them were in IT and 265 in BPS. That's also reflective of the fact, when I spoke about earlier, that our growth in the IT business far exceeds the company average from a growth perspective.

DSO for the quarter is at 73 days. We had called out last quarter that 75 days at the beginning of the quarter was an aberration and this will come down, and that's what is reflected in the current quarter in terms of the 73 days. That obviously has helped us in terms of our cash conversion. Our cash conversion continues to be very strong. On an LTM basis, the OCF to EBITDA is at 76%, higher than the target that we have set for ourselves at 70%, so we'll continue to wor

k in terms of continuing to deliver 70% plus on an
LTM basis on OCF to EBITDA.
The other key highlight, a noteworthy highlight from the current quarter is on the ETR. ETR for the quarter is at 19%. This is driven by some of the M&A-related items not being subject to tax. This is a consequence of how we had structured the contract purposely. We are seeing that benefit play out in the current quarter. With this, we estimate that our full year ETR for the year is going to be at 24%.
All in all, good growth, improving margins. We remain on track from 17.1%-17.4%, and the cash conversion continues to be very healthy. Over to you, Keech.

R Srikrishna:
Thank you, Vikash. We'll go to the next slide, please. I want to spend a little bit time on outlook, both for '25 and more long term. It's hard to imagine a quarter where so many things have changed, from tariffs to geopolitics to, in some ways, back to tariffs and DOGE, specifically for us. There is continued softness in macros. We actually thought things have started stabilizing, but really there is more conversation on tariffs now than was there even a few weeks ago. I don't want to emphasize that this slowdown is entirely cyclical in nature. It's not AI-driven. It is not structural. The AI impact is separate. Clearly, that is not something that has become material at this stage, either positive or negative.
For us, we have four mega consolidation deals. Basically, all of them are still in the works. It's delayed decision-making. One desired part, which we sat out of, that was what we expected to, but they haven't decided the next part. The other three are still work in progress. They've all gone one or two steps more, but have not pulled the final trigger. The other deals are progressing reasonably well. There are a number of wins that I called out, but I'll say decision-making is a bit down.
That's the reason we are setting expectations now that our growth expectations for the year at this stage are lower than what they were a quarter ago, but our pipeline is solid. More importantly, all of our strategic initiatives, which we had identified as growth accelerators, our pipeline is rapidly growing. What that means long term is that our ambition for $3 billion in calendar '29 remains unchanged. We've been through cycles before. Our historic growth has included bad and good years, and we tend to make up for bad years and good years. Hence, our long-term ambition for $3 billion remains unchanged.
FS, like Vikash pointed out, in spite of what we called out as a 1% headwind for the company, will translate that to a 3%-4% headwind for FS. In spite of that, they're growing at 16% or so, and we think they will lead growth. We had said TNT will grow well but early in the year, we had expected it to really outperform. That took a dip, but I'll say now maybe that's come back a bit, so TNT will probably lead growth for us. Banking, if you see our QoQ numbers, is outstanding, double-digit QoQ. The only reason why Banking, we'll say, company average, because the first quarter was a deep hole, was a negative QoQ. But otherwise on a go forward basis, they will lead growth for us.
H&I and HTPS will grow marginally below company average. M&C, and we've said this now for a number of quarters, will see material weakness due to macros. Vikash has spoken enough about margins, so I will not touch upon it again. Maybe with one point that was not touched upon, that we actually expected the ERP costs to end in Q2. It is continuing. It's tapering down, but it's continuing, but our margin outlook remains unchanged, even though those costs are continuing. With that, I will take a pause and we will do Q&A.

Moderator:
Thank you very much. We will now begin the question and answer segment. To ask a question, please click the Raise Hand button at the bottom of your Zoom interface to enter the queue. Once announced, kindly u

nmute yourself, state your name and organization, and proceed with your question. If your query is addressed before your turn, you may press the Lower Hand button to exit the queue.

We'll pause briefly to allow the team to assemble the list of participants. Our first question comes from Ankur Rudra with J.P. Morgan.
Ankur Rudra:

Hi, morning. Thank you for doing the call. Just a question starting on the outlook on the Financial Services and maybe specifically to your GSE accounts. What's been the mix of performance there, and how does the outlook for the rest of the year change? If you can give us an update there, that would really help. Thank you.

R Srikrishna:

Two things. One, we already called out the negative. We said we don't expect further negatives, and that's been true. Second thing we said that one of them is undertaking a large consolidation deal. That hasn't progressed as fast as we thought it will, but what we know now, or recently, is that actually they have suddenly pushed the pedal on that. I don't want to predict when it will close, but they certainly indicated a desire to push the pedal very hard on that. The other one was anyway in good shape. We had won a consolidation deal. The ramp-ups are happening as we had planned.

Ankur Rudra:

My question was the outlook for the year. You were expecting an equally good year this year as last year. I understand the cyclicality here. Could you update us what's the current status of that, and how long will it take to cycle back to a double-digit growth rate from here on?

R Srikrishna:

It's hard to predict where macro will go. If there's already one trade deal that got announced that's one set, I think if there is more that happen in the next 2 weeks, which is the deadline that the administration has set, I think we will see uncertainty lifting quite a bit. It could be pretty quick.

Ankur Rudra:

So, it's based on the macro where you can think you can get back to double-digit growth depending on a quarter or so then? Is that what we should expect?

R Srikrishna:

It's hard to predict macros. I think what we are focused on is to make sure that with each customer, we are gaining market share. We are doing better than our competition in those accounts. We are winning new logos that are material, both for near-term revenues, but also a mix of logos that may be small to begin with but have very high potential to become mega accounts for us long term. These are the things that we are focused on. What it means is if the macros improve, we will improve faster than everybody does.

Ankur Rudra:

Understood. Last clarification on the EBIT or the EBITDA margin line. If I do exclude the writeback that came from your Softcrylic payout, the EBITDA or the EBIT, whichever you want to take, seems to have been a bit relatively soft, even if I make the adjustments on the impairment costs and the severance cost you've highlighted. Could you maybe elaborate in terms of the underlying margins outside of the write back? How that's trended?

R Srikrishna:

The underlying margin, like we said, is stronger. If you look at the cost, the biggest line item of cost is the provision in our caution; for a client who's acting in bad faith, we are in a legal process. That's the biggest element. The second biggest element is restructuring cost, which I think will have a ROI very rapidly. There'll be some near term, but more in the next few quarters, quite a bit of improvement in operational performance coming as a consequence of that.

Through early in the IPO process, we kept talking about difference between adjusted and reported. We finally said we're going to have one number, which is reported number. Our promise is to pull that. We will get that up to over 7-8%, the reported number. That's what we are at. The one-timers are one-timers, and one of them is from an abundant caution. The other one will help

us improve profitability in the near to medium term. We think not only is our current operational performance better than the reported numbers, the nature of one-timers we've taken also set us up for improved profitability in the future

Vikash Jain:

I'll just add one thing to it. When we call out a one-timer, what we mean by one-timer is this is a truly one-off event in the current quarter. These are not events which will have a cascading effect or associated with this charges coming back in the next few quarters, which we will continue to call out one-timers. Those are not the ones. Like Keech called out, ERP expense is one-timer in nature because we are making those investments, but we are not calling it out as a one-timer and adjusting our profits and representing it. This is truly one-off events in the current quarter. That on a net basis had a 15 bps of headwind.

Ankur Rudra:

No, I understand. I was just saying that if you are removing the one-timer, you should also potentially remove the write back in the other income.

Vikash Jain:
We removed that. When we give that 15 bps of headwind, it is net of all of it.

R Srikrishna:
You have to look at our operational metrics. Offshore mix is improved, utilization has improved, attrition is down. These are all the drivers of operational performance, and they're all solidly positive.
Ankur Rudra:
I appreciate it. As long as you're giving guidance it will improve from next quarter, these will not repeat. I think that's good enough. Thank you.

Operator:
Thank you. Our next question comes from Prateek Maheshwari from HSBC Securities.
Prateek Maheshwari:
Hi, guys. Thank you. Good morning. I have a couple of questions. First on your outlook. You said it's a little weaker than what you expected last quarter and some of the deals that you guys thought would start, some of the mega deals that could start or could come to you have been delayed. Just wanted to understand that earlier you guys thought that probably this would be a good growth quarter. The third

quarter would be a very strong growth quarter, and even in fourth quarter, you will still grow despite the seasonal weakness. How do you think now things will pan out with the changed guidance on outlook?

R Srikrishna:
In some ways, it's a bit of a sliding scale. The sliding scale start depends on when some of these deals decide. But having said that, just basis what we already have, I think Q3 will still grow—grow reasonably well. I'll even say maybe QoQ CC better than what we grew in Q2. That is without assuming that some large stuff can happen. Even if they do, I think there's going to be quite a lag between a decision and revenue. I don't see any large deals having an impact on Q3.
Q3 will still grow nicely, will go better than Q2, but lower than what we had earlier thought. We told it will be an outstanding growth quarter, it will be a growth quarter. Q4, I think still there is some dependence on what actually happens, still depends on some of the pipeline. Bear in mind, while I said the deals are work in progress, they have all progressed. They have all moved, and we are still very much in the heart. To the extent, some of these were designed, and I already said in response to a prior question that one of the clients really has now suddenly woken up and said they want to push the pedal and accelerate decision-making. If some of those happen, then Q4 should be quite nice.
Prateek Maheshwari:
Keech, would you say that the exit would still be strong for you for CY '26?

R Srikrishna:
That's what we're working very hard towards.
Prateek Maheshwari:
One more question. Thanks for the clarification earlier on the margins. A lot of things are one-timer, and will go off. Just wanted to understand two comments you made. One is your ERP cost tapering and will not go out. Just wanted to understand whether the 70 bps of ERP cost, do you think this will compl

etely
go out in the second half, or do you think it'll be tapering is what you meant? Just on the restructuring cost, what kind of benefit do you look at from that, if that can be quantified.
Vikash Jain:
From an ERP cost perspective, as you can imagine that a company of our size and scale, a transformational program like this do take time. On the ERP, we are doing it on a phased basis. There are a lot of modules. Some modules which we went live in Q1, there are other modules which have gone live on 1st of July. And will continue to go live on a module-by-module basis. That's the reason that the ERP cost will keep on tapering down. Hopefully by the end of this year, we would have gone live by almost all the modules. That's our target.
When we give the guidance with respect to 17.1%-17.4% at the beginning of the year, at that point of time, we had said our assumption was that ERP cost will go away from H2. We are still holding to that 17.1%-17.4% despite the fact that the ERP cost is not going away completely in H2. This is driven by the fact that our operational metrics are all heading upwards and in the right direction. So that gives us the confidence.
On the restructuring cost, we can't quantify the exact number in terms of how much will come in Q3 and Q4 because we have agreed on a program which has been with the workers' council. That needs to be now on an individual by individual basis, executed with the team. I think the full benefit of that will start

accruing from Q4 end or beginning of Q1 from next year’s perspective. But I'll tell you this, that the payback period for this is less than a year.

Prateek Maheshwari:
Lastly, a broader question. Just wanted to understand the acquisition of SMC Squared. Just wanted to understand, Keech, what would be the puts and takes that you would have thought about during this acquisition, in terms of build versus buy? How would you have thought about it?

R Srikrishna:
I laid out the four strategic rationale, but I'll add an important nuance. We did ref calls with customers. What I'm seeing came out consistent. They said, "Listen, we’ve tried BOT models with traditional outsourcing companies," and they named some of our large competitors. They said, "With them, we never felt like it's a model that works for us. We always felt like there is a tension that is going to be there at the point of transferring. That it won't be easy, one. Two, even before the transfer in the 3-year or 4-year operate phase, we felt like the team is not ours. We felt like the team is the outsourcing company's team." Thus, the client felt like, "Hey, this is a different business model. It is not an outsourcing plus converted to a BOT where I will transfer at the end of 3 years. It is fundamentally different mindset to be able to set up a GCC which is truly mine."
As a consequence, what we know as data points is that when a customer is thinking of setting up GCC, their invite list does not automatically include outsourcing companies. Their invite list automatically includes companies like ANSR and SMC. Those customers are seen as a different service and a different capability.
Clearly, in terms of downsides, there's always like, if there is a transfer, there is a down in revenue. But I think what SMC has demonstrated is that through those cycles, they've still grown. They've ramped down for some customers, but their new customers are solid enough that the net is still a growth on a yearly basis. There could be quarterly ups and downs, but on a yearly basis, they've still shown solid growth.

Prateek Maheshwari:

Thanks, Keech. Thank you for patiently answering my questions.
Operator:
Thank you. Our question now comes from Manik Taneja with Axis Capital.

Manik Taneja:
Thank you once again. Keech, if I recall correctly, last time when you shared an outlook, your outlook for the second half was driven by some of the deal wins that we

re already in the bag. While I do understand
we've seen some delayed decision-making on both consolidation as well as smaller deals, are you also seeing slower ramp up from the deals that you've won in the past? That's question number one.
The second question is that typically in some of these consolidation deals, we tend to see upfront investments, some margin giveaways. Do you think at some point in time this becomes a headwind in the foreseeable future as and when we close that? The third question was for Vikash in terms of both the hiring and the wage hike outlook for the year. Those would be my questions.
R Srikrishna:

The first one, the two bigger consolidation deals we won, I think they're largely going both as per plan. It's true that part of confidence or lot of confidence came from the fact that some were in bag, but certainly there is expectation of more wins, especially when you have such a solid pipeline. I think smaller, mid-size deals are still happening, and there will be continued growth as a consequence. But the bigger deals have got delayed. The expectation, what we'd said of accelerated growth in Q3 and bucking the trend in Q4 was a basis, assuming… We don't have to win all of them. One, maybe two. That's the first part.
The second part, will some of these deals require some sacrifice in margins? If that is what it takes, we will happily do so. We're not quite at that point yet, but if that's what it comes to, we'll happily do so.
Vikash, third question is for you.
Vikash Jain:
In terms of the headcount hire, as I said that the underlying business continues to be strong and there is a volume increase which will continue to happen. That is going to be reflective in terms of our net headcount increase. We expect to continue to add. In terms of the merit increases, we are working through the details and evaluating. We'll make an announcement with respect to that as soon as we have gone through the details and made a decision on it.

R Srikrishna:
I'll say two things. One, on headcount, our gross headcount addition in IT. We had said we'll hire between 1,500 - 1,800 people. We're actually well in that range, actually in the upper end or higher than the upper end of that range in Q2. Gross hires were, I don't remember the exact number, but they were in the upper end of that range. On merit increase, we will give a merit increase effective July 1st. We just can't tell you the number before our employees know it. We have kept that promise every year. We will continue to do so. It will be moderated from what it is in prior cycles, but we will give the increase in Q3.

Manik Taneja:
Thank you. All the best for the future.

Operator:
Thank you, our next question will come from Anmol Garg with DAM Capital.
Anmol Garg:
Hi. Thanks for the opportunity. A couple of questions from my side. Firstly, in the SMC acquisition that we have and the BOT type of contracts that we are doing or we are planning to do in this category, are these contracts margin dilutive for us or these are margin accretive? Secondly, would we be using our balance sheet to set up GCCs for these clients?
R Srikrishna:
The quick answer to both of them is no, at least thus far. On the second part, if there is a scale opportunity that requires us to use a balance sheet moderately, we will be open to do so. But that's not been the case so far.

Anmol Garg:
Understood. Secondly, wanted to understand the provision that we have taken for the client in this particular quarter to the extent of US$9 million. Is there a possibility that there will be some more provisions in the two coming quarters or this is it for now?

Vikash Jain:
Associated with this client, there won't be any provision. In addition to that, on a quarterly basis, we continue to evaluate the creditworthiness of all the outstandings that we have in the books and make a generic provisio

n or a specific provision which is required, which is BAU, so nothing out of the ordinary,
but specific to this client that has no further outstanding in the books to be provided. Just to repeat, as I said, this is a provision and not a write-off. We are continuing to have discussions with that client and taking all the legal measures which might be there to recover this amount.

Anmol Garg:
Understood. Just one last question on more of a broader basis. If you look at the weakness right now in our company and the general industry, would you say that GCCs are gaining share and the productivity ask from clients leading to vendor consolidation deals, is that the key reason? Or the key reason still remains associated to the macros being where they are?

R Srikrishna:
I think it's macros. For us, specifically, GCCs represent a growth opportunity because whatever reduction in growth from GCC is in some ways in the books for the industry. But there is spend there, and we're not capturing any of it. I think what SMC will give us an opportunity is to capture it. Say, estimated 1,000 new GCCs to set up in the next 4–5 years. Prior to the acquisition, we don't participate in that or participate in a very spotty way. I think what this gives us is the ability to participate in a very strong way. Like I said, the normal port of call for companies that want to set up a GCC is not an outsourcing company. It is firms they see a specialist in setting up GCCs.
Anmol Garg:
Sure. Understood. So, should we take it that this is more of a cyclical trend and the growth for us should return back?

R Srikrishna:
That is what we believe.

Anmol Garg:
Sure. Thank you so much, Keech, for answering the questions.

Operator:

Thank you. Our next question comes from Rishi Jhunjhunwala from IIFL.

Rishi Jhunjhunwala:
Hi. Thanks for the opportunity. A couple of questions, and to some extent, it may sound repetitive. But firstly, on the SMC acquisition, just wanted to understand the thought process behind that. While financially, it makes total sense, it's EPS accretive from day one. But when we look at it, do you consider it as a capability acquisition? If yes, why? Or is it just getting entry into some of the customers?

R Srikrishna:
I thought I addressed it, but I'll do it again. But to that, I want to add one point to the prior question on cyclical versus structure. I think the biggest proof that it is macro is if you look at our numbers by vertical.

M&C is minus 11.5%. That's all macro. That I think is the biggest proof point that our weakness is macro-relative.
Back to SMC. Some of what I'm going to say will sound repetitive. We think setting up of GCCs is different from an outsourcer agreeing to do a BOT model. That's the most fundamental reason why we think this is a capability. Now, I think a lot of people assume that all it takes is to agree to a BOT model with a client, and that will put you in the lane for setting up their GCCs. What we discovered through engaging with SMC and researching the market is, that is not true. Customers want firms who they see as specialists in setting it up. They will not present firms that don't present a conflict through the process in how they hire people, what salaries they pay them, how they brand the site, resistance, potentially at the end of it for transferring. Now that, they see as coming naturally to outsourcing firms. They see coming naturally to firms that do BOT. That is why we think it is a material new capability. ANSR is a good example. Actually, the person that is there in every one of our GCC deals with SMC is actually ANSR. It's not other outsourcing firms.

Rishi Jhunjhunwala:
Fair enough. Secondly, some of this tempering down in outlook, how much of this is attributable to some of the ramp up in consolidation deals that we were supposed to see in 3Q and 4Q versus the rest of the business where the underlying mac

ro has actually weakened versus where we were 3 months ago?

R Srikrishna:
I think the latter is a smaller impact in that some of the mid-size deals are also slightly slower on decision making. Let me give you an example. If you look at our Others line item, you will see actually it's dropped. Licenses have dropped quite a bit, QoQ. Why? Because people have simply postponed capital expenses. There is some of that. But I think the bigger impact is the larger deals. Before the larger deals decision, it is also macros. People want more clarity on their own business outlook before they make long term decisions on changing partnerships. Both are linked to macro.

Rishi Jhunjhunwala:
Got it. Thank you. All the best, Keech.
Operator:
Thank you, ladies and gentlemen. I will now hand the conference over to management for closing comments. Over to you.
R Srikrishna:
Thank you all for returning again early in the morning. I look forward to speaking to you all again as a group next quarter and meeting some of you during the course of work. Thank you.
Operator:
This concludes our conference call. Thank you all for joining us and now you may now disconnect the line.

Call: Nov 2025

Hexaware – Q3 CY25 Earnings
November 7, 2025

Operator:
Ladies and gentlemen, good day. Welcome to Hexaware Technologies Limited Earnings Conference Call for the Q3 earnings call. We'll begin today's session with a presentation from the Hexaware management team, followed by a Q&A segment. To ask a question during Q&A, please use the Raise Hand feature located at the bottom of your Zoom interface. This will place you in the virtual queue. I'll now hand the conference over to Mr. Niraj Khemka, Head Investor Relations. Thank you. Over to you, Mr. Niraj.

Niraj Khemka:
Thank you. Hello, everyone, and welcome to Hexaware Technologies Q3CY25 earnings call. In the call today, we have with us Mr. R Srikrishna, CEO, and Mr. Vikash Jain, CFO. In the course of this call, we may make certain statements which are forward-looking and may involve a number of risk and uncertainties. All forward-looking statements made herein are based on information presently available to the management, and the company does not undertake to update any forward-looking statements that may be made in the course of this call. In this regard, there is the full disclosure, which has been included in the investor presentation and the press release. We consider that as read. With this, I'll hand over the call to Keech. Over to you, Keech.

R Srikrishna:
Thank you, Niraj. Good morning, everyone. If you could go to two slides from now, please. Yes, thank you. Last quarter, we said our business model is shifted right by 1–2 quarters. What it meant is two things. It meant that deals had slowed down in closure. We expect that to pick up.

The second thing is that no matter what deals close, it would have limited impact on our Q3 or limited to no impact on our Q3 and Q4 revenues. That thesis actually is playing out quite nicely. We will talk about deals later. Deal momentum has picked up, but it does not have an impact on our current quarter revenue, or unlikely to have an impact on our Q4 revenue either.

Our revenues were roughly in line with what we had expected, what we had said, likely we will do up at 3.3% QoQ on US dollar basis. Our profitability improved a little bit, which is normal for Q3. It puts us in line with what we had said from beginning of the year that we will deliver a 17.1-17.4 reported EBITDA margin. Our YTD is about 17.2, so we are in line to deliver that.

Our cash, as always, is very strong. This is a US$228 million closing balance after paying for the SMC acquisition. There were several critical leadership updates during the quarter. Shantanu Baruah joined us as the head of H&I Vertical. He joined us from HCL Technologies, where, for the past decade, he grew their healthcare business from close to zero to a billion dollars. That's a new opportunity for us to grow. A lot of our presence is in Insurance and Life Sciences. Healthcare is a big opportunity area for us to grow, and Shantanu comes with significant expertise there.

Just a few days ago, Eravi joined us as the head of High Tech, Products, and Platform, a new vertical being created by splitting our High-Tech and Professional Services Vertical. This is something we've been speaking about. Eravi comes with a mix of big IT services industry experience, but more interestingly, over the last several years, in the startup ecosystem in the Bay Area. We think that mix of skills is very valuable for us as we build out our High-Tech business.

Our operational metrics are very strong. We continue to add headcount every quarter as we've done for a number of quarters. Our attrition remains amongst the best, and our utilization is very strong. I do want to provide some update on our strategic initiatives. On legacy modernization, we spoke last quarter that we've got two initial paid deals, which was an important marker of progress. I think where we are now is that there are at least three deals that

have gone to a point where there are scale transformations. Two of them are RFP situations, and one is sole-source.

We launched in early Q2, offering vibe coding and vibe engineering. We had a simple one-line proposition: build applications 10X faster and 3X cheaper. This is finding widespread acceptance, not just with Hexaware customers, but across the industry as well. I think we've taken a very early lead on widespread training of our workforce and widespread conversations with our customers in vibe coding.

Finally, going on AI, two critical things. One, Siddharth Dhar, who's built a scale business for us in digital ITO, took over additional mantle as the head of AI Practice for us. In the course of this quarter, we launched multiple Domain AI solutions and the contact centre transformation. There are at least three solutions that have already found initial orders with the customers.

We launched one that has Agentic AI for parts of a clinical trial process, and they're actually building one for a client already in that area, and some solutions will soon go into production. We launched a solution for an investment analyst agent to help asset managers, and this is a solution that we already have, again, a client for. A lot of our domain solutions are immediately seeing resonance in the market. Next slide, please.

Just today, we announced another acquisition. This is a company called CyberSolve. CyberSolve is a specialist in IAM. Some of you who follow this space may know that IAM is a critical growth area within the security ecosystem. Every customer is in the process of either starting their IAM journey or completing it because every single application in every major enterprise has to be onboarded to an IAM platform. While the company is a specialist in IAM, the team that comes with it have broad-based security experience that we think will have value for us in our overall security business. Mohit, who's the CEO, will stay and continue with a larger role in Hexaware.

They're moderate-sized, as many of our acquisitions have been. Last year, the revenues were a tad over US$25 million. Their first 18 months this year was US$18.5 million. This is a sole-source deal. We got it at an attractive valuation of just under US$35 million upfront and about US$31.5 million based on performance in the future. Go to the next slide, please.

I spoke about deal momentum picking up. I will speak now to deals in Q3, and I will come back in the end to speak about what we expect may happen in Q4 and the impact for that on a go-forward basis. We've won, I'll say, two or three categories of deals this quarter. The first category is of the four consolidation deals that we've been speaking about. We've won one. This is with a large US and Canadian bank.

The second one we won was not an enterprise consolidation, but consolidation of a booker work. This is something that came new to the pipeline; it closed rapidly within the quarter. This is for a very large global insurance company headquartered in Germany. Aside from that, we won a GCC opportunity, aided in part by our acquisition of SMC. People understand that we are serious players in this space. That's the one that you see in the top right-hand corner.

We won Digital ITO outsourcing deals, two of them. One, again, with a large insurance company. In this case, it was a rebid situation. We were not an incumbent. We displaced a Tier 1 incumbent in this case. Another one that is starting off modest, but the customer is in a space that is rapidly growing. They provide data centre infrastructure, and they're growing very fast. Hopefully, our business with them will grow as they continue to grow.

We also won product engineering for a global fintech platform company that services a very large number of asset managers and hedge funds. We won a marketing analytics deal. The capability came from our prior acquisition of Softcrylic

for a large video game streaming platform. Finally, we've been
speaking about doing more in Asia. We opened our first client in New Zealand for a major bank. This is tech modernization using Amaze platform.

We are seeing a pickup in deal momentum across categories, smaller deals like the tech modernization enabled by platforms, GCC, consolidation deals, and outsourcing deals, including renewal situations where we were not the incumbent. With that, I'm going to pause and hand over to Vikash.

Vikash Jain:
Thanks, Keech. We can move to the next slide. Revenue for the quarter came in at US$395 million on a sequential basis, a reported number of 3.3%. We did have some headwind coming in from Forex on a sequential basis. Our constant currency growth was a tad higher at 3.4%. In INR terms, this represents a sequential growth of 6.8%.

YoY, the reported number is 5.5%. It obviously includes an impact associated with SMC, the acquisition that we closed in the middle of the quarter. On a proforma basis, our YoY growth is 4.3%. INR terms translated, it's a YoY growth of 11.1%. Growth for the quarter was driven by underlying volume growth, and I'll speak to it more when we cover the operational metrics later during the call, SMC that we closed in the quarter. This quarter, we also had a higher share of license revenue, which was partially offset by the headwinds due to revenue mix change, higher offshore revenue mix in the current quarter versus

the prior ones, and marginal headwinds from Forex and BPS. Overall, strong underlying volume growth, SMC, higher license revenues offset by higher offshore mix revenues and headwinds from FX and BPS.

On the margin front, reported EBITDA for the quarter at 17.5%. This represents a 30-bps improvement QoQ, on the back of 50 bps that we did in the last quarter. YoY, it represents a meaningful expansion of close to 154 bps. YTD Q3 EBITDA is at 17.2%, which is well within the guided range, what we gave at the beginning of the year of 17.1-17.4.

The 30-bps improvement in the current quarter, there were a few puts and takes. First and foremost, the operational items added close to 40 bps. FX from a margin perspective was a tailwind at 110 bps. And then there were two headwinds, both of them specific to the current quarter. License revenues, which came in higher in the current quarter, had a headwind of close to 70 bps. In the current quarter, we also saw some medical expenses in the US go up and a higher travel of close to 50 bps. Move to the next one.

Some colour on the unit-level performance. In the current quarter, four verticals, namely the Financial Services, Healthcare & Insurance, Manufacturing & Consumer, and Travel & Transportation, delivered both sequential and YoY growth. Sequential growth for the quarter was led by M&C and H&I. Financial Services business continues to be strong. If you see the current year, FS has posted sequential and YoY growth every single quarter and is expected to be the fastest-growing vertical for us by the end of the year. This is despite the fact that we had a meaningful headwind from one of the large clients driven by the budget cuts at Q1 end.

H&I delivered double-digit sequential growth this quarter. Some of this growth would be unsustainable next quarter because of one-time license revenues that we had. However, we'll still deliver a strong YoY growth next quarter.

M&C has the fastest sequential growth this quarter, which was a combination of both organic business and SMC. On the organic side, we are seeing that the decline what we had in the vertical has bottomed out, and we see the growth coming back. There are green shoots, both in terms of existing account and the pipeline that's building in terms of new logos.

HTPS has a sequential and YoY decline, driven by some of the project closures. We do see a massive opportunity for growth in the High-Tech space, b

ecause that's one space where we think we have a significant amount of headroom to grow. Keech spoke about the fact that we are really excited about Eravi joining us to lead the High-Tech vertical.

Banking, as we had called out in the prior calls, is seeing a sharp recovery driven by both new deals in existing and new logos. Banking delivered a strong sequential growth this quarter on the back of a solid quarter, what we had in Q2. We'll see the growth trajectory continue even from a future quarter perspective.

In Travel and Transportation, the sequential decline is driven more by project closures. There are some puts and takes within the quarter as to how the project starts and closes. In fact, from a full-year perspective, T&T is going to deliver better than the overall company growth.

From a geo perspective, second quarter in a row, that all the three geos have delivered sequential growth. From a full-year perspective, we expect North America to outperform the company growth

followed by Europe. We do have some bit of a catch-up to be done as far as Asia Pacific is concerned. On the IT and BPS, similar to the last quarter, we see that the growth rate in IT is far accelerating compared to what the BPS growth rates are. Move to the next one.

We continue to add meaningful clients to our client base, and that's also reflected in terms of the greater than US$50 million accounts. It's a specific call out that on an LTM basis, the number of US$50 million accounts that we have has gone from three to four on a like-to-like basis. Next.

This is the chart which explains all the operational improvements, what we are doing, and which is aiding in terms of our margin expansion that I spoke about, a 154 bps on an YoY basis and the 30 bps that we had on a sequential basis. Starting with our offshore revenue, our offshore revenue now is at close to 49%. That's a 220-bps improvement sequentially and a 520-bps improvement on an YoY basis. Of the 220-bps improvement that we had sequentially, close to half of that came from SMC. SMC being in the GCC space is completely offshore centric, so that is aiding. But outside of SMC, too, we continue to make significant progress in terms of improving our offshore mix.

Headcount for the quarter, we added close to 1,180 people, 750 out of that in IT and 413 in BPS. The 750 that we added in IT, had close to 250 coming in from SMC. Excluding SMC, the IT headcount net addition was close to 500 people. This is the ninth straight quarter of headcount addition. Now, if you see the headcount addition and take into consideration how the utilization is faring, which is 10 bps improvement and has been at the range of more than 83% or 83.5% for the last few quarters, you would see that's driving the underlying volume growth. The headcount addition with the high utilization numbers.

Added to that, we have one of the lowest attrition rates in the industry. We continue to be comfortable at the attrition rates that we have, which is trending around 11-11.5% for the last few quarters. Next. We continue to maintain one of the lowest DSO in the industry, which is at 73 days, and have a very strong cash conversion. Our closing cash balance is at US$228 million after paying for the SMC acquisition of close to US$45 million.

Our OCF to EBITDA on an LTM basis is 80%. This is significantly better than the range of what we had guided at the beginning of the year of close to 70%. Our ETR on a YTD basis is close to 23.5%. What we had guided to from an ETR perspective of close to 24%, I think from a full year perspective, that ETR is going to be tad below at close to 23.7 because we have been able to manage that better than what we had estimated at the beginning of the year. With that, I'll pass it back to Keech.

R Srikrishna:
Thank you, Vikash. We'll go back to the next slide. Go to the next slide, please. On overall outlook, we think the demand env

ironment has stabilized. Variety of factors which you're all aware of that have
been impacting it through the course of the year. I will say right now there is a sense of stability leading to improvement, including in M&C. You heard that from Vikash. That's the single sector that has pulled us down quite a bit in this year, and we're seeing signs of recovery in M&C. We had a solid positive growth, QoQ in M&C.

I already said we won two consolidation deals, one which is something that's has been running through the year. Other, which is not an enterprise consolidation, but a consolidation of a significant book of work, that just came in and was won in the quarter itself. There's continued good progress on two

others. There's one which we said the phase one got complete, and we have a role to play in that. Phase two, we're not sure, will pick up anytime soon.

We do expect more deals to be decided in Q4, with quite a few deals will decide in Q4. There are many where customers have stated intentions of starting a transition in Jan or getting into a new strategic vendor program from Jan. In the consolidation opportunities, there's quite a number of them that have picked up speed in the last quarter or so and will decide in Q4.

Our overall pipeline is the largest ever. It's more than US$3 billion. It's got to this size in part because it got bloated. In Q2 and maybe in later part of Q1, there were not many decisions, neither was it going out with a win or a loss. We expect our pipeline size will reduce a bit in Q4, but in a good way because decisions will happen.

Our Legacy modernization deals are growing, and I said this is worthwhile reiterating that we now have three deals that involve full-scale modernization of material size. Two of them are RFP-based and one is a sole-source deal. What does this mean for the future? It will not have an impact on Q4. We said this last quarter itself. These deals, as positive as the momentum is, will not have an impact on Q4. Q4 will continue to have our regular headwinds of furloughs and calendar. In addition, we have a short-term headwind due to the government shutdown. I want to clarify this is not as it relates to the H-1B fees. A minute on that. We have been reducing our dependence on new H-1s consistently over the last four to five years. As a matter of fact, in this year, much before the new policy was announced, we had applied for zero new H-1s. It was not part of our talent strategy to get new H-1Bs. This is not to do with that.

What is happening is that we currently can't enable visa transfers. The impact is that growth in some accounts and some aspects of some accounts, which are on-site, is restricted because of visa transfers. That's the only pool that we hired from, but it is a chunk, or in some cases, a good chunk of the pool people who have visas with other organizations that we need transfer. Right now, there are no transfers happening. This is not unique to Hexaware. Nobody in the world can get visa transfers right now.

Reiteration on vertical. FS will lead growth for the year, followed by Travel, and then followed by H&I. Banking will lead QOQ growth and eventually will lead full YoY growth. If you recall, it started with a big fall, big negative in Q1, but since then it's been on a tear.

HTPS, there's some commentary. Why is it that we are seeing a drop? There are two things there. One of the customers, we won a consolidation deal earlier in the quarter, that ramp-up is going on, but it's stopped growing in Q3, which is the customer's Q1. There's a significant budget cut in Q1. Some of it is expected, the extent was not. What it meant is that our growth got curtailed. There's another client which had a very significant budget cut. I think choppiness will continue for 1–2 quarters, but it will resume growth. The long-term outlook or even the medium-term outlook for this sector continues to be very strong. Not on Q4, but from Q1 onwards, we will separate reporting for HTPS. We expect that over the next few years, High-Tech will have rapid growth.

Vikash already said M&C has good solid early signs of recovery. Margin, we are narrowing the outlook from 17.1-17.4% to 17.1-17.2% for the full year.

Last comment before we turn over for questions. What does all this mean for FY26, calendar '26? It will definitely be better than the current year. How much better? I think we will provide colour when you come back a quarter from now. We are in a budget cycle. We are having conversations with multiple

customers, getting a better understanding of the budget for next year. Also, like I said, there are quite a number of deals that are in the final stage. A combination of that will tell us how much better we will be next year, and we'll provide colour on that when we come back. With that, I will pause and open for questions.

Operator:
Thank you very much. We will now begin the question and answer segment. To ask a question, please click on the Raise Hand button at the bottom of your Zoom interface to enter the queue. Once announced, kindly unmute yourself, state your name and organization, and proceed with your question. If your query is addressed before your turn, you may press the Lower Hand button to exit the queue. We'll pause briefly to allow the team to assemble the list of participants.

Operator:
Our first question will come from Prateek Maheshwari with HSBC Securities.

Prateek Maheshwari, HSBC securities:
Hi, Keech. Hi, Vikash. Thank you for the opportunity. Firstly, I just wanted to check again on your vertical-wise growth. You said there's some contribution from SMC in your Manufacturing vertical. The H&I also grew very strongly this quarter. Just wanted to understand if there is anything. What's driving the growth?

R Srikrishna:
On M&C, I think even if you exclude the contribution from SMC, it would have still grown QoQ, which is actually a very positive sign for us because that's really been the one that's pulling us down. It'll take a few quarters of QoQ growth for us to get back to full-year growth, but I think we have begun that journey in M&C. On H&I, we were operating with our leader for a quarter. Shantanu is awesome. I feel very good about our long-term prospects in H&I.

Prateek Maheshwari, HSBC securities:
The other one was, Keech, on your acquisition of CyberSolve. IAM, I think it's a good opportunity. You mentioned that the growth would be about 15%, right? I just wanted to understand. The growth or revenue has been stagnant in recent years. With Hexaware, what growth will it be for that business? Also, if you could share the margins of that business.

R Srikrishna:
On growth, it is a project-based business. IAM itself, they're a specialist in that. The work that we do in

CyberSolve is to onboard customers onto IAM platforms. We have a platform that automates and reduces the cycle time quite a bit for onboarding new applications onto the IAM platform. It's a project business.

What I think for us, it means two things. One, we have quite a number of clients who are in this IAM journey. In fact, even right now, for a while before we bought this, we've been partnering with some firms and subcontracting work. The demand from our existing customers is a known pocket of demand.

The second thing is that the team actually comes with a much broader set of capabilities. Combined with that, we think we can do more than the project work. It actually gives us a really good place of trust and seat at the table with the clients for where we can expand. That'll improve growth. On margins, Vikash.

Vikash Jain:
Thanks. Prateek, from a margin's perspective, at an EBITDA level, the margins are largely comparable in the same zip code as what we have on the organic side of the business. However, from

an EPS
perspective, initially, it is going to be marginally dilutive. That's because of the acquisition accounting. We have to take that amortization of intangibles into the P&L. But quickly, it is going to be EPS accretive very soon.

Prateek Maheshwari, HSBC securities:
Last question is on your HTPS. Basically, I just wanted to understand, you were saying that there was a consolidation opportunity and there's some budget cut. I just wanted to understand if your work would get delayed or there is a cut to your work as well.

R Srikrishna:
There are two different clients. One where we won a consolidation deal earlier in the year. We've been gaining substantial market share in that client, and we're growing. The growth plateaued for Q3 because while we were consolidating, there was a budget cut, which coincided with the beginning of their fiscal year, which is our quarter three. In some ways, the bottom is already there for that customer. It didn't degrow, it just was muted growth or flattish for the quarter. We're already at the bottom there, and we will continue to grow from this point. The original premise of consolidation, gaining market share remains very much in time.

There was another client who had a significant budget cut, which I think the big impact for us was in Q3 that just passed. There'll be a smaller impact in Q4. Much of this was known to us, largely. Q4 will bottom out for that client as well. That's why I said in aggregate, there'll be choppiness for 1–2 quarters. One has already passed, one more ahead of us. After that, there will be growth in this segment.

Prateek Maheshwari, HSBC securities:
Thanks, Keech. Thanks, Vikash. Those were my questions. Thank you so much.

Vikash Jain:
I think I'd just like to add one thing. You had a question with respect to the growth on CyberSolve, which Keech addressed. The other aspect associated with it is you should look at the valuation. The assets in this space generally trade at valuations, which from a multiple of the revenues, are pretty high. From a valuation perspective, the EV of this asset on a revenue base—last year they did close to US$26

million—is US$ 66 million, with an upfront payout of US$ 35 million. The balance US$ 31 million is linked to next 3 years of performance.

It's a judicious use from a capital perspective where acquiring the right capabilities with a very strong management team and good set of logos. But the payouts are all linked to future performance, which obviously are meaningful targets in terms of the growth that we have agreed with the management, which is coming in. It's the capability acquisition, what's happening from a revenue perspective, what we think can happen from a future perspective, but at the right valuation, which is very important to understand.

Prateek Maheshwari, HSBC securities:
Thanks, Vikash. All the best.

Operator:

Our next question will come from Manik Taneja with Axis Capital.

Manik Taneja, Axis Capital:
Hi. Thank you for the opportunity. I had a couple of questions. First one is with regards to some of the near-term challenges that you've highlighted in your Professional Services' customer base. Do you think that becomes an impediment to overall growth in calendar year '26, especially given you also mentioned that you would expect CY26 to be better versus CY25? That's question number one.

The second question was with regards to the segmental margin performance. If you could help us understand the puts and takes with regards to some of those movements, especially in verticals, wherein you have started to pick up growth, like Banking. Even from a Professional Services standpoint, do you think some of these pressure leads to some pressure on margins? Those are my questions. Thank you.

R Srikrishna:
The short answer to your first question—will PS be a headwind for growth in '26—the answer is no. What are the re-initiating of th

e two clients? One of them, I think the bottom is already behind us in Q3.
The other one, the bigger part of the headwind was in Q3. A smaller part would be in Q4. Both of these were largely known and will be behind us when we finish Q4. It will not be a headwind for us in '26. In fact, it will be a growth driver for us in '26.

On segmental margins, at the highest level, there isn't a material difference that is worthwhile looking at in any level of detail. Vikash, you want to add some colour to that.

Vikash Jain:
From a segmental margin perspective, the two big items in terms of the QoQ movements were in two areas. One was in H&I, the other was in M&C. H&I, as I gave the commentary while giving the performance update for the quarter that some of this growth will taper down from a next quarter

perspective. That's primarily because the licensed revenues, what we had a jump in the current quarter. A material portion of that was in H&I as a vertical.

Similarly, the M&C, I did call out that M&C, the underlying business from an organic basis grew, and at the same point of time, it was helped on account of SMC. SMC, being 100% offshore-centric business, comes in with a margin profile, which is better than a mix of both on-site and offshore. That helped us in terms of improving the margins.

Manik Taneja, Axis Capital:
If you can just help us understand any seasonality around both SMC and the cybersecurity acquisition that you announced today.

Vikash Jain:
When you speak about the seasonality, if you look into our business, the key seasonality is associated with calendar, where Q4 is seasonally a weak quarter on account of calendars and furloughs, and then Q2 and Q3 are the strongest in terms of the calendars. I think that's the similar seasonality what we have in this business. Nothing outside of that.

Manik Taneja, Axis Capital:
Great. Thank you and all the best.

Operator:
Our next question will come from Abhishek Pathak with MOSL.

Abhishek Pathak, MOSL:
My question was pertaining to the range of outcomes that we expect in CY26 with regards to the four large deals that we've been talking about. I understand one of those deals has been closed. Can you make us understand, with and without those deal closures, how do you think about CY26 going forward? If they close, or they don't end up closing, what's the range of growth outcomes we are looking at? Thank you.

R Srikrishna:
I'll say two things. One is that a lot of our incremental growth will not just be dependent on the large deals. The two that are remaining, it's not going to be wholly dependent on that. I think that can add to some high growth, but improvement in base growth will come without those large deals, based on a

number of other momentum deals in the market.

In terms of overall impact, like I said, all we are in a good position to say right now is that we'll be better than 25. There are a lot of puts and takes in the current quarter that will help us provide colour and how much. This range that you're asking for, I think, is a quarter away for us. In terms of customers and budgets and deal closures, more will happen in this quarter.

Abhishek Pathak, MOSL:
Understood. As follow-up to that, are you seeing some short-cycle deals coming back? Are you seeing decision-making sort of improve a little bit overall, which would confirm our thesis that those large deals might add less variants to our business because the short-cycle deals will pick up. Are you seeing evidence of that?

R Srikrishna:
Yes. I already said, for next year, the two large consolidation deals that are there in the pipeline is going to really add to growth. Our base growth thesis is not basis those deals. There are quite a number of decent-sized momentum deals that are back on the table for closure.

Abhishek Pathak, MOSL:
Got it. Thank you so much. All the best.

Operat

or:
Our next question will come from Abhishek Kumar with JM Financial.

Abhishek Kumar, JM Financial:
Hi. Good morning. I have a couple of questions. First, on Q4 outlook. Last quarter or a quarter before that, we had indicated that this year you might buck the trend of decline in Q4. It seems like there are new headwinds now, plus there is a higher base of Q3 because of license which may not record next quarter. Fair to assume that we are looking at maybe slightly more accentuated seasonality in Q4 this year compared to previous years?

R Srikrishna:
I actually want to clarify the past first. We did say that at the end of Q1. But at the end of Q2, the last call we had, we clarified that the deals haven't closed. They've shifted right by a quarter to two. At this point, no matter what deals we close, we don't see an impact of it for Q3 and Q4. I do want to clarify that we did not say last time that we will grow in Q4.

Just on the license stuff, while there's a little bit spike in Q3, actually our multi-quarter average is very much in line with history. Three-quarter average for this year is in line with history. There was a spike in just in Q3. There are seasonal headwinds. We call it the one additional headwind that nobody could have foreseen. It's been there now for 36, 37 days, the shutdown. It'll be a flattish quarter. We won't get growth, but it'll be a flattish quarter.

Abhishek Kumar, JM Financial:
Second question is on visa transfers. I just want to understand what kind of visa transfers are we talking about, given that we didn't apply for any H-1B this year. Any clarity on that? Is this related to the government-sponsored entity business that was ramping up, or is it related to business as usual?

R Srikrishna:

What the visa transfer means is when we are growing, we hire somebody in the US. If they're working for somebody else, some other organization, they're on H-1 for that organization, we have to transfer that person's H-1 from the current organization to us. That process is stopped for 36 days there. That's what we mean. This is true for every customer. It's not just for the GSE.

Everywhere where there's growth on-site now, quite a bit of that is in the two organizations you referred to. It's not unique to the business in those two customers. It is anyone, anywhere needs to grow on-site, a part of that growth, the pool of talent is coming from prior H1s. That pool of talent is not actionable right.

Abhishek Kumar, JM Financial:
One last question. You indicated significant budget cut in one of your professional services clients where

we had won a deal. Just want to understand why was there a budget cut? Is it because of DOGE, because they are exposed to government procurement, or just weakness in their own business?

R Srikrishna:
It's not DOGE. Actually, this particular one is not in the big list for FED. They have obviously some exposure there. We don't know how much, but it's not as a consequence of DOGE. This is a consequence of their business. I also say in this case, it is also a consequence of AI in their business. To some extent, it is that. Not necessarily immediately, but what they anticipate will happen.

Abhishek Kumar, JM Financial:
That's helpful and all the best.

Operator:
We'll take a question that was submitted in writing. If you could help us with the timing and quantum of wage hikes, and how do they compare with possibly what you've been given in the more recent past?

R Srikrishna:
We provided wage hikes from October 1st. It was modest compared to prior cycles, but it's much better than the industry. Our employees appreciate that.

Operator:
We'll take another written question. Is pricing deflation already visible in renewals or new deals?

R Srikrishna:
Every deal has an impact of AI baked in on a go-forward basis. Outsourcing, there's more productivity than before in SDLC. I referred to it briefly. I th

ink there is solid acceptance of AI in every phase of the
SDLC. For us, what it means is that if you're dealing with a legacy or a brownfield situation, RapidX uncovers the past and delivers a blueprint as to what to build. Once you have what to build, then it is a variety of coding tools that help customers reduce the build cost.

In addition, we introduced this new service called vibe coding that has significant impact on cost and time in the early cycle of greenfield development. There is an impact on how much effort it will take to deliver this. On the other hand, part of a thesis has consistently been that it will get more than made up for by increased volumes. Legacy modernization is a great example. It's a volume that didn't exist before. It is possible now because of AI.

Operator:
For our next question, we'll return to Prateek Maheshwari with HSBC Securities.

Prateek Maheshwari, HSBC securities:
Hello. Thank you for the follow-up. Could you remind us on your margin expansion? I think the ERP-related savings are still yet to come. Just wanted to understand, what's the plan for that? The second thing, could you also add what could be the furlough impact that you guys may face next quarter?

R Srikrishna:
Just on long-term margins, you're right that the ERP savings haven't come in yet. It's still not gone fully live. At this point, especially in the current economy, the focus all are growth. It's not our first stop to put savings from ERP into margins, but we use it to invest to grow better. Furlough, calendar, together, will have 2.5-3% headwind. Vikash?

Vikash Jain:
In terms of the puts and takes, Prateek, from a current quarter perspective, just to reiterate what I mentioned from a 30-bps improvement on a QoQ. 40 bps was from operational items, primarily, the utilization improvement, what we had, and a mix improvement by close to 220 bps. FX was 110 bps of a tailwind. Higher license cost was a headwind of 70 bps. I spoke about two items specific to the current quarter, which was travel and an increase in medical expenses in the US, which was a headwind of 50 bps.

Prateek Maheshwari, HSBC securities:
I was just looking at your top accounts growth. Top 10 is okay. I just wanted to understand the next 10, that growth has been weak there. I just wanted to understand how that bracket is building up. Are there any comments to share?

R Srikrishna:
I think the second customer in Professional Services is in that 10-20 pocket, which had a significant headwind. That was in the 10-20 pocket. It was in the top 10. It slid to 10-20.

Prateek Maheshwari, HSBC securities:
Got it. Thank you, Keech. Thank you so much.

Operator:

Thank you, ladies and gentlemen. I will now hand the conference over to management for closing comments. Over to you.

R Srikrishna:
Thank you. I look forward to seeing you all a quarter from now.

Call: Feb 2026

HEXAWARE TECHNOLOGIES LIMITED
Regd. Office: 8th Floor, 13th Level,Q1, Loma Co-Developers1 Private Limited, Plot No.Gen-4/1,TTC Industrial Area,
Ghansoli, Navi Mumbai-400710, Maharashtra, India | Tel: +91 022 3326 8585 | Email: investori@hexaware.com
CIN: L72900MH1992PLC069662 | URL: www.hexaware.com

HEXT/SE/2026/13

Date: February 10, 2026

To, To,
Lis■ng Department Department of Corporate Services
Na■onal Stock Exchange of India Limited BSE Limited
Exchange Plaza, Bandra-Kurla Complex, Phiroze Jeejeebhoy Towers,
Bandra (East), Mumbai - 400 051 Da lal Street, Mumbai - 400 001
Symbol: HEXT Scrip Code: 544362
Dear Sir, Sub: Transcript of investor/analyst call held on Thursday, February 05, 2026
Ref: Our earlier intimation with Ref. No. HEXT/SE/2026/03 date d January 14, 2026
In continuation to the above-referred intimati on and Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirement s) Regulations, 2015, we hereby submit the transcript of the investor/analyst call held on Thursday, February 5, 2026, for the quarter and year ended December 31, 2025. The transcript of th e investor/analyst call is also made available on the Company’s website. The link to access the same is as follows: https://hexaware.com/investors/quarterly-results/ .

Kindly take the same on record.
Thanking you,
Yours faithfully,
For HEXAWARE TECHNOLOGIES LIMITED

Gunjan Methi
Company Secretary & Compliance Officer Encl.: as above.

Hexaware – Q4 CY25 Earnings
February 05, 2026
Operator
Ladies and gentlemen, good day. Welcome to Hexaware Technologies' limited conference call for the Q4 CY25 earnings call. We'll begin today's session with a presentation from the Hexaware management team, followed by Q&A segment. To ask a questio n during Q&A, please use the raise hand feature located at the bottom of your Zoom interface. This will place you in a virtual queue. I will now hand the conference over to Mr. Niraj Khemka, Head of Invest or Relations. Thank you. Over to you, Mr. Niraj.

Niraj Khemka: Hello, everyone. Welcome to Hexaware Technology Q4 CY25 earnings call. In the call today, we have with us Mr. R Srikrishna, CEO, and Mr. Vikash Jain, CFO. In the course of this call, we may make certain forward-looking statements which may involve a number of risks and uncertainties. All forward-looking statements made herein are based on the information available currently with the management, and the company does not undertake to update any of thes e statements made in the course of this call. In this regard, there's a full disclosure which has been provided in the earnings presentation and in the press release. We consider that as read. With this, I' ll hand over the call to Keec h. Over to you, Keech.

R Srikrishna:
Thank you, Niraj. Now, one announcement from An thropic yesterday that shook our stock markets globally for our industry. I thought I'll start with that . Today, we were anyway going to do the topic that we're going to deep dive on strategy is on AI. So actually, I'll start with that.

At the highest level, our goal with customers is that every single day, every single client, the work we do is positively impacted by AI. I think we're going to get there sooner than we originally imagined. Now, if we do that, we're doing four things. First, we're building AI into all of our platforms and reimagining our platforms. Whether it's Tensai for IT operations, RapidX for software engineering, or Amaze. The second thing we're doing is to create and launch new services that deliver new revenue streams which are enabled by AI. The third, our workforce training, we're already in the second generation of retraining our workforce on AI. For th e most importantly, processes need to be redone in

AI. For example, SDLC, as we know it in the past, is co mpletely being read up. Now, if AI is in the SDLC, it

is not just that the same people, same talent, sa me process don't run the same way. These are four things that we are doing to get to our goal of impacting positively every single customer every single day.

What do we tell our clients? At the hi ghest level, there is AI for IT and AI for business. We tell our clients, when it comes to AI for IT, leave it to us. We know how to get productivity and velocity executed for clients well. You set the guardrails, you set the rules, and leave the execution to us. I think this narrative has found resonance. I think last year, people were no t quite willing to do that, but I would say far more so right now, especially when it comes to IT operations and data engineering.

In SDLC, I think it's a little more complicated. We tell them on AI for business, the roles are a little different. Our role is to enable yo u to meet what you dream of. Now, we certainly have multiple ideas on what they could do, but our first job is to enable the technology to realize the velocity the use cases that they want to execute.
Now, on AI for IT, we have been first off the block mu ltiple times, and consistently so. We were the first to launch a product, RapidX, that focuses on legacy reverse engineering, which is actually a crucial pre-step required for any coding that is needed. In July last year, we were actually the first company to launch a vibe coding offering. Three weeks ago, we launched an offering that goes to the heart of the Anthropic release which says, hey, software products or SaaS products can be replaced by Agentic AI. We agree, well, actually, we think it's a massive opportunity for us, and the service we launch is a reflection of that.

These ones I spoke about are all as it pertains to AI for SDLC. In AI for outsourc ing, our Tensai platform, we would have built in the next, I would say less than two quarters, and quite a bit of it is already done. I'll say 80 supervisory agents, underpinned by 400 atomic agents that can operate in a mode which is assisting humans to all the way autonomous over time.
In AI for business, while we are telling customers, we don't know your business as well as you do. For a number of industries we operate in, we've detailed out level 5 to level 1 processes and for each business process, we have a point of view on how can AI impa c t t h a t p r o c e s s . I f a l l o f t h a t i s e x e c u t e d , w h a t business value will it deliver the customers.

Now, legacy modernization that we've been now talk ing about for over a year as a growth accelerator for us is a very specific use case of new revenues co st per AI. We've been making good progress on that. I think in this year, I can say with confidence that we will have at least two or three scale legacy modernizations completed and multiple other smaller ones that we continue to execute. Yet, I think that the biggest opportunities are still ahead of us.

Now, we spoke about a key growth for us is launching a technology vertical. We hired somebody last quarter that we spoke about. We launched a new vertical and renamed it as TPP, Technology, Products, and Platform. From Q1 onwards, you will see us report ing on this vertical as a separate vertical from where it is currently in HTPS.

We did launch three new services on AI this quarter. One of the most exciting things we did is this, I think we are the first company in the world to implement a completely AI-first global multilingual help

desk in production. We now have 33,000 employees who, if they call our help desk, it'll be answered by AI. I think we are the first company in the world to put it in production.
Private equity markets, private markets in a more broad sense, is a critical growth driver. Companies are staying private for longer and for larger. There is no more important time than now for value creation in these companies. Amit Vij joined us as the Chief Pri vate Markets Officer. He's do ne this for a living for over 20 years in different firms. Most recently, in Te ch Mahindra. We're pleased to have Amit. He joined us about two weeks ago.
Our people metrics continue to be positiv

e. We cl osed the year with clos e to 34,000 headcounts. We
continue to be amongst the lowest attrition in the in dustry, in IT, it was 11%. Our utilization ticked down a bit in anticipation, mainly, of growth in CY26. We'l l talk about that later. Last year, we crossed one customer with 100 million. This year, we crossed two customers with 100 million, and we added one client in the north of $50 million category.
Our revenues for Q4 were, a tad lower than we expect ed. I would say there are three things to call out. One is that one of the GSEs, again, had a substantia l cut which amounts to about 70 bps annualized. This had an impact in Q4. It also will have an impact in Q1. We'll talk about CY26 later. The second thing is a client that normally does not do furlough actually did significant furlough. And third, pass-through revenues are materially lower than normal and average . Given all that, it was a tad lower than what we expected.

On profitability, again, we were in absolute reported profitability terms, we were solid, but there're a number of puts and takes on our EBITDA and profitab ility, which I think Vikash will walk you through later. As always, we had outstanding cash co nversion and an outstanding cash balance.

The best part of the quarter for us is that we won any number of deals. We won pretty much everything that we expected to win, expected to close, an d some more. Our pipeline continue to go up, and actually it has crossed 4 billion for the first time. Some of the deals, I think the most important one is a very large consolidation deal in a big tech. This is a process that's been going on for a very long time. To be sure, this doesn't come with a predefined book of work, but it does give us the right to hunt and the right to receive RFPs in a very large pool of spend.

The second one here is a bank that we had won earlie r last year, but there was a significant deal in this. What the deal does is to put us in a position of nice growth for us in CY26 and forward. Actually, the single largest deal we did is probably globally largest pet insurance company. They've been acquiring companies at a rapid pace, and we do multiple thin gs for them, starting from integrating the acquired entities into a common IT framework. Now we are runni ng all of it, everything in tech, infrastructure, applications, and in the future, the modernizatio n for a new platform. There's another very large insurance company that is modernizing the core into Guidewire, and we have a role in that. We're not the leaders. We're not the only people, but we have a significant role to play in that modernization.
I was talking to you about AI for business, where fo r multiple industries, we've mapped out the process and showing what are the possible to clients of where can agentic AI play a significant role in

transforming operations. This deal here, Global CRO, is an example of that where we're building agents for multiple steps in a clinical research process th at will bring substantial efficiency to the customer.
We won a deal with the world's largest casual dining , it's a holding company. They own multiple large brands in the US and some elsewhere in the world as well. Again, we will do much of tech for them. A very large tech services company in Asia, there's a sc ale GCC deal that we won la te last year. Finally, one of the large PBMs, which has also happened with PE firm, we are doing product development and platform support and engineering support for this orga nization. At the highest level, our deal wins were the best part of Q4. Vikash.

Vikash Jain:
Thanks, Keech. A little bit more color in terms of our revenue. So Q4 revenue was $389 million, sequential decline of 1.5%. In absolute terms, this represents a $6 million decline. The decline was primarily driven by calendars and furloughs, which are seasonal in nature, close to $9 million, a lower license revenues of $7 milli

on, and marginal headwinds from Forex. FX was a headwind in the current quarter on revenues and also in terms of margins.

The $16 million of headwind that we had in the curr ent quarter was partially offset by a robust volume growth and a little bit of contribution from CyberSolve, which we closed in the middle of the quarter. Now, calendar and furloughs are seasonal items and will come back in future quarters. However, the
way the calendar days are lined up in CY26, it comes back in a more positive way in Q2 and Q3. Q1 will still be a net headwind versus Q4.

License revenue for the quarter was at $11 million versus $18 million in Q3, a drop of $7 million on sequential basis. This was also lower than our histor ical average, which is anyw here around 12.5 to $13 million a quarter. The volume growth is also reflecte d in our headcount additions that we have done during the quarter. And Keech spoke about the fact that it also had an impact, particularly with respect to some bit on the utilization, given the fact that we have been building up capacity to service the demand that we have been seeing.

On margins, reported EBITDA for the quarter was 17%. This includes impact of few one-timers during the quarter. Normalized for the one-timers, the margin for the quarter was 15.4%. Now, it's a drop of 210 bps sequentially. The major contributors were Fo rex, which was a headwind during the quarter of 20 bps. Operationally, it was a tailwind, but then from a hedge perspective, for the hedges that we had started taking, it was close to 40 bps of headwind. The net of operational tailwind plus the hedge headwind, we had a net impact of close to 20 bps of headwinds. Calendar was 60 bps of headwind. Utilization was close to another 60 bps, and we did give merit increases, which was close to 90 bps.
If you think about it, a lot of the drop that we had in the current quarter were seasonal in nature and will come back. Forex, we expect will recover back s oon. Calendar is going to come back starting Q2. Utilization, I'll talk through in terms of details how we are thinking about it in terms of recovering some of it.

One timers, during the quarter, I spoke about the adjusted view. One timers during the quarter in EBITDA, were on three fronts. The first one was, we acquired Softcrylic in 2024 and there was an earnout related to the deal which was payable based on the asset delivering agreed financial milestones. Softcrylic missed those targets, so the earnouts are reversed ou t. This was close to $25 million. Associated with that and for the other assets, we di d impairment testing. It's an annual exercise which we do every year. Based on that, there was impairment testing done on client relationships and a charge of close to $15 million. When you think about the re versals, you need to think about the reversals and the impairment charges at the highest levels in conj unction because they are closely interlinked. Those are the two items.

The third one in EBITDA in terms of one-timers is an additional expected credit loss provision of close to $4 million. Now, last couple of years, we have seen an increase in credit risk on account colle ctions. On a prudent basis, we have taken an additional provisio n during the current quarter. Now, this is one timer in nature. This is an additional generic credit risk provision and not related to any client specific issue. Now, if the collection pattern improves in future, this will come back into the PnL in future years. I just want to call out that what you se e as an expected credit loss provis ion is generic in nature and not associated with any specific client.
The net of the three is close to 160 bps of one-timer cr edit at an EBITDA level. In addition, there are two more items which are one-timer in nature. If you reca ll in Q2, we had announced restructuring in one of our European countries. Now, that's progressing on track. Now, with the labor

footprint reducing in the
European country, there's a need to optimize on the rental state footprint we have. Now, some of these leases are committed and are long term in nature. Now, as these offices are underutilized, we have taken an accelerated amortization towards unused o ffice space. That impact is close to $3.5 million. Now, this impact has been taken at an EBIT level. That makes the total one-timer credit of close to 64 bps at EBIT level.

Last one is the impact of labor code. All of you are aware of the context on labor code change, so I'm not going to get into that detail. Impa ct for the same for us is close to $12.5 million in Q4. On a continuing basis, we expect the impact to be close to 20 bps on margins for the full year next year.
Revenue growth for the full year was 7.6%, 7.1% in constant currency. Performa growth was close to 6.6%. Now, reported margin for the year is 17.1% versus 15.9% last year, an improvement of 120 bps. Even if you normalize it for the Q4 one-timers, the margin is 16.8%. That's a significant improvement on a full year basis compared to where we were from CY25 perspective.

A little bit of color on the unit level performance. Fo r the quarter, all vertical except HTPS delivered year-on-year growth, and on a full year basis, all verticals delivered year-o n-year growth. Financial Services have been the strongest performing vertic al and has delivered both sequential and year-on-year growth in all the four quarters of the year. If you recall, this is after absorbing a material headwind from budget cuts in one of the GSE's in Q1, and some bit of it in from a Q4 perspective. Growth in this vertical was delivered by a combination of scaling existing clients and new wins.

H&I, for the full year, growth was largely in lin e with the company average. The decline during the quarter, as we had called out in the last earnings call , was driven by an increased licensed revenue in Q3. This is a vertical where we are seeing the maximum amount of deal traction from a new logos perspective.

M&C, we started the year with significant headwind, driven by macro and tariff uncertainty. We called out in our last earnings that the headwinds in the vertical has started to bottom out, and we see growth coming back at a gradual pace. There are green shoots, both in terms of existing account and new logos.
We delivered a healthy year-on-year growth for the quarter, and back to green from a full-year perspective.

In HTPS, on a go forward basis, which is starting next quarter, we'll report it as two different verticals, one as a Professional Services, the other as TPP, which is going to be Technology, Products, and Platforms. Now, on a combined basis, performance fo r the quarter was impacted by decline in two large accounts of the unit. Now, these are in line with what was expected, and Keech had, in fact, called it out in the last earnings call. We expect both the units to get back to the growth from a CY26 perspective, and more color on that, Keech will anyway provide subsequently in the presentation.

Banking, a third straight quarter of strong sequential and year-on-year growth. Again, here, growth is being driven by a combination of scaling exis ting accounts and opening new logos. Travel and Transportation delivered a healthy year-on-year growth , both in Q4 and on full- year terms. On geos, for the quarter, all the geos grew year-on-year. Sequen tially, what you see as a decline in North America was actually driven by lower licenses and calendar plus furlough. The underlying volume growth continues to be very strong from a North America perspective. On a full year basis, North America growth was contributed by FS and Banking, which were one of the best performing even from a unit perspective. APAC is trailing growth. However, we expect to see a turnaround in CY26. More commentary on the '26 outlook will be co vered by Keech later during the call.

We continue to add meaningful clients to our client base. Keech spoke about the fact that now we have two $100 million+ clients, and we have al so added 1 to $50 million+ client base.

On the offshore mix, it has improved by close to 440 bps on an year-on-year basis. Now, there's a bit of a decline in the current quarter. It 's a mix of a few aspects related to how the deals have shaped up. At the highest level, if you zoom out and look into it, on an year-on-year basis, there's an improvement of close to 440 bps. 100 bps of this was contributed by SMC. SMC being in the GCC space is completely offshore centric, so that is helping and aiding. Outs ide of SMC, too, we continue to make significant progress in terms of improving our offshore mix. On the headcount side, during the quarter, we added close to 254 resources, 10th stra ight quarter of headcount addition. Now, during the quarter, IT was a net headcount add of 585, and BPS was a decline of 331. On a full year basis, we added close to 1,535 resources, with IT adding close to 2,000, and a net reduction in BPS of close to 500 resources.

Utilization, Keech spoke about the fact that we did have a bit of a softness from a utilization perspective, there was a 300 bps decline in utilization compared to the prior quarter. The 300 bps is contributed 100 bps each by three factors, two of which are seasonal in nature and is expected to sharply recover in the

next quarter. Close to 100 bps of the decline was furlough driven. The next 100 bps was on account of employees taking higher number of leaves during the quarter, being the year-end and how the holidays stacked up. The employees took a hi gher number of holidays in Q4 compared to Q3. And the last 100 bps drop was driven by the bench we are building during the quarter to support the new deal ramp-ups. We expect the utilization to ma terially improve next quarter.
Let's move to the next page. We continue to genera te very healthy cash. Our closing cash balance is close to $235 million+. The balance sheet is completely debt-free. DSO for the quarter came in at 67 days. It's a combination of both build plus unbilled a nd is one of the lowest in the industry. In fact, the 67 days is lower than our guided range of 70 to 72 da ys, and that helped a lot in our cash conversion. Our OCF to EBITDA on an LTM basis was 76%, wh ich was higher than our guided range of 70%.

ETR for the quarter came in at 10.4%. This had a one- time impact associated wi th earn out reversals. Adjusted for that, ETR for the quarter was at 25%. We expect the ETR for CY26 to be between 25% to 26%. EPS for the quarter, what you look at 4.79, obvi ously has a one-time impact associated with labor code. If we adjust for that, just the labor code impa ct, our EPS for the current quarter is close to 6.15. With that, I'll hand it over to Keech.

R Srikrishna:
Thank you, Vikash Jain. I'm going to end by talkin g about the future. First, I'm going to say demand environment is improving, and decision-making is bett er. I would say this specific to the customer base and the deals that we are fighting. It doesn't necessa rily mean macro. I think macro is still spotty. You saw the jobs report from yesterday in US was pretty bad. Certainly, the customers and the deals we're seeing are better in the long term.
Like I said, we are progressing very well on deals. In Q4, we won pretty much everything we expected to win and more. The headline was the consolidation deal in the big tech. There is the one deal that is not desired yet, which could have been late Q4 or Q1, is the GSE consolidation deal, that is still WIP. Now, a little more on that later.

I think AI has two factors. One, whet her it's software engineering, testi ng, IT operations, it is a dampener on our revenue. Whatever best esti mate we have, we've included that. I'll say for now two, maybe three quarters, every single thing we do has productivity a nd impact

from AI baked in. And we expect more of that will continue through the year. That's why I sa id there will be a dampener on revenue growth, which we've accounted for.

On the other hand, I think it is creating exciting new opportunities and avenues for growth. The most recent one, we've been speaking about it for a while, but suddenly the whole world is speaking about it, an opportunity to replace SaaS. Now, if you think ab out it, that's a massive opportunity. Of course, some of the reactions are initial, but if you think about it, SaaS don't want to replace itself. Somebody needs to work on it. I think there are two parts to it. On e part is if you know what to build, you still need somebody to work on it to build it. There's a bigger part of knowing what is in something you want to replace or rewrite. That is a pretty tough problem to solve. Frankly, that's a secret sauce that we have

built. That's one of the services that we launched th is quarter. I think eventua lly, all these services will create net new, after accounting for th e dampness, positive growth for us.

Now, what does all this mean for CY26? Now, gi ven how CY25 panned out, clearly, we have some lessons learnt on how to communicate with you. What we're saying is that we expect our revenue growth to be better than what we reported in CY 25, which is 7.6%. I don't want to mention that we don't think of this as a new baseline. Our core th esis of growth in base growth in low-teens and acceleration levers to get us to mid to high teens, remains completely intact. We've been through many bad growth cycles in the past, and we've recovered pretty quickly. In the last 11 years, I think we've been through three times when we've grown less than 10%. One was COVID. The other interestingly was in 2016. For those of you that may have followed us th en, at that time, one of our largest clients, who still is, had a significant drop and we recovered very quickly from there in the following years. We fully expect that theme will continue.

Now, CY26 can be better depending on the following, be tter depending on deal ramp-ups. I told you, for example, the consolidation deal in big tech, and actually, even the co nsolidation deal we announced the prior quarter on a big bank, these don't come with big books of work attached. Ramp-ups and how will we execute in those and how much market share we can grab. The fact that the largest consolidation deal is still WIP. Here, unlike in other cases, we'r e an incumbent, so we ac tually accounted for some downside in that when we called the 7.6% number. Depending on how all of those pan out, we can do better.

Now, I'll come to vertical outlook. Q1 is always season ally weak for us. You already heard Vikash say, this year Q4 and Q1 also will be a headwind on calendar. That doesn't happen every year, but it is going to happen this year. We're also going through some additional one-off negatives. I told you about the GSE that got another significant chunk. This is the one where th e consolidation deal is still WIP. That impact for us full year is 70 bps. There was some impact in Q4 . There is a full quarter impact in Q1. There is a lag between when customers get budgets at a company level to when they get allocated projects. That's one of the reasons why Q1 is season ally weak. I'll say this year, it's a little more than what we see normally. It was in the beginning of the year, but even a few days lost revenue means a lot.

And so we baked that all into the full year growth outlook and be saying Q1 will be weaker. It will always be seasonally weak, and it will be weak for us this year. We will accelerate growth every quarter after Q1, and you will see that in our numbers.

From a vertical perspective, Banking and H&I will lead growth for the company. They will be probably quite a bit higher than company average. M&C will be back to growth. Professional Services, I called out the two clients last time, one which had a significant ramp down, the other which had a specific budget issue. We'll get back to growth, but lower than co mpany average. Now, TPP, which is the new vertical, will grow but from a small base. Finally, GTT and FS will grow at company average. This is our expectation for the year, M&C and H&I lead. FS and GTT will be at company average. M&C and professional services will trail. TPP w ill be faster, but from a small base.

Finally, on margins, we will change our reporting to EBIT from Q1. This is because based on , what we see in the market. Our EBIT outlook for the year is at 13 to 14%, which is lower than the current year. What will happen essentially is that in the first half of the year, you will see actually quite a reduction. In Q1, apart from other things, it's also an account of 100 bps headwind on the calendar. But there are lots of deal ramp-ups in the first half of the year, including two or three that include rebadging components, quite a bit of rebadging components that will depress the margins. It will recover pretty sharply as we right shore those deals that we execute in the first pa rt of the year in H2. Actually, you'll see H2 exiting at better than the current year, but in aggregate, beca use we start with a lower point, it will be at 13 to 14%, but with a stronger exit. With that, I will pause and take questions. Thank you.

Operator:
Thank you very much. We will now begin the question- and-answer segment. To ask a question, please click on the raise hand button at the bottom of yo ur Zoom interface to enter the queue. Once announced, kindly unmute yourself, state your name and organization, and proceed with your question. If your query is addressed before your turn, you may press the lower hand button to exit the queue. We will pause briefly to allow the team to assemble the list of participants.
Our first question comes from Prateek Maheshwari at HSBC. Your line is open. You may now unmute and ask your question.

Prateek Maheshwari:
Hello. Thank you for the opportunity. Keech, I had on e question around the expectation for next year. I understand that probably 1Q has a lot of headwinds both around the calendar days and some client-specific issues. To hit again the mid-teen guidance, how do you think probably 2Q and 3Q will pan out? The deal wins, and the deal pipeline is very strong, as you've said, but it seems that it will be a very high ask rate for those two quarters as well. I just wanted you to double down on that.
R Srikrishna:
Hi, Prateek. I said our growth will be better than 7. 6%. I said our long-term thesis of low teens to mid-

teens is intact. But you're right, no matter what number you pick, the growth ask in Q2 and Q3 will be high. Like I said, we do expect to accelerate gr owth every quarter from Q1. So yes, that is the expectation that there will be growth. Now, the calendar in itself this year actually is going to give a little bit higher than usual growth from Q1 to Q2.

Prateek Maheshwari:

Beside the headwind from the GSE client, do you think the headwind which company face from the professional services' client, do you think that is cu rtailed now and probably that should start growing as a run rate basis?

R Srikrishna: There were two clients in PS. One where we won th e consolidation deal. We've been gaining market share. There was plateauing at the beginning of their fisc al year, which is July, and that will come back to growth. The other one where we had a very sharp decline, I'll say 75% decline from where we were a

year ago, that stabilized. I think what you will see is that we will get growth again from Q2 in this vertical.

On the other one, the GSE, our best read is that they still haven't decided on the consolidation deal. The cuts and the lack of allocation of budgets early in th e year is essentially, we think, pending the decision. We expect that once they decide, t

hose factors will change. Nevertheless, again, in our base growth that we put here, we haven't assumed that. In fact, we assumed, because we're an incumbent, we've assumed some downside case because they haven't decided it, we could win or lose. We assumed downside case, too. That's the commentary on the GSE.

Prateek Maheshwari

Thank you, Keech. Those are my questions.

Operator:

This question comes from Ankur Rudra from J.P. Morgan. Your line is open. You may unmute and ask your question.

Ankur Rudra:

Thank you for your comments on AI, Keech. Just zoom ing out a bit, what's the best way to assess your relative competitiveness here? I'm asking this becaus e in the lack of anything else, investors normally look at growth. On that basis, if one looks at the gr owth trajectory on the last five quarters, we've gone from 16% organic growth CC basis to perhaps flat this quarter, maybe 1%. It's a bit of a contrast versus what we've seen in your peers with broadly simila r mixes. Maybe you can highlight why the investor should not assume AI is more negatively impacting you versus others.

R Srikrishna:

If you recall, I think last quarter or even last quarte r prior to that, I said that for CY25, our performance issues are not to do with AI. I'll say that my view in general for the industry, I do think there'll be an impact on growth for the industry and for us, and we 've accounted for it in CY25. Now, I will reiterate why, I think… Actually, not only are we at par, I think we are way better. We've been first off on a number of fronts. I'll recount them again, some of th em again. What you will see is that these are all long-term large opportunities, don't necessarily transl ate to bookings or revenu es in any material term in the short term.

We were the first to launch a legacy modernization platform. There are any numb er of clients that have given us a trial run. These are very large customers that don't do it only with us. They have benchmarked us with any number of others in the industries, and they think we're the best. I could potentially think of having one of those clients speak to you, guys, if it's of interest. We can certainly show you what we do. I think seeing will be believing.

July last year, we launched a vibe coding offering. Essentially, we said we can build software 10X faster. Nobody else went to market with that at that poin t of time. Three weeks ago, we launched an offering

called Zero License. Essentially, think of it as a SaaS skill. What we're telling clients is, we can get you to exit all your license software over time. We identifi ed a number of what think will be easier to execute use cases and types of software to do initially before people start getting closer to the core.

The base stuff is the AI embedded in our platforms for outsourcing. We certainly went through a phase where that was weak. I think in Q3 and Q4, we have ha d significant wins. To be sure that performance is not demonstrated in our numbers yet, but you will see it in the future.

Ankur Rudra:

Thank you. If you could clarify, you mentioned you baked AI as a dampener in the existing business as you renew things for this year also. How should we think about the level of impact on an existing renewal? Is it 30, 40%? Is it a lot more? Given it's evolving at a very rapid pace, as you mentioned as well, how is this changing?

R Srikrishna:

Yeah, so I'll say if the scope were to remain the same , it could be in that 30 to 40%. I'll say 20 to 40% depending on the type of work. In some cases, at le ast, I think it comes with a higher volume. For the same scope, that's the au to-magnet of production.
Ankur Rudra:
Thank you. Just the last question. You mentioned 1Q is going to be softer than seasonal. Fourth quarter is seasonally soft. The bulk of your ability to beat la st year's number, overall, perhaps organic of 6% falls to the 2 quarters. Just wanted to know, how much visibility do

you have to hit the mid-single digit
growth rate you need sequentially for those two quarters?

R Srikrishna:
Like I said, we have some lessons learned from communicating and setting expectations. Basis the deal wins, there's a lot of confidence in these numbers. Wh at can happen more is if the deal wins that don't have a number, like the consolidation deals, some of th e consolidation deals, if they grow, and we grab a lot of market share there, that will grow. Th e base is based on deals that we have won.

Ankur Rudra:
I appreciate it. Thank you and best of luck.

R Srikrishna:
Thank you.
Operator:
Our next question comes from Vibhor Singhal at Nuvama Equities. Your line is open. You may unmute and ask your question.

Vibhor Singhal:
Yeah, hi. Thanks for taking my question. Couple of qu estions from my side, and then I have one question for Vikash. On the Healthcare vertic al, I just wanted to pick your brains on how are you looking at the outlook given that the US government Medicare spending next year is expected to be flattish as against it has been growing around 5% historically. This qua rter also, we saw basically a sharp correction in the Healthcare vertical. How do we tie these two things together, and the overall outlook for the Healthcare vertical for us, specifically, and maybe for the industr y in CY26? My second question was on the margin outlook for next year. From the face of it, it look s like you're downgrading the margin by almost 100 basis points. If you could basically call out the put s and takes for this, what are the major reasons for this? Also, do we expect this band to be back to the 14 to 15% in CY27, or do you think this is where we will settle it?

R Srikrishna:
Okay, so the first one on Healthca re, for good or bad, we don't have much exposure to payers or providers. Now, that's a huge net new opportunity for us. We do have some, but our historic presence is in the Insurance side and life scienc es, less so on core health care, and that's a net new opportunity for growth. Notwithstanding the headwinds in the industry, our starting point is at a much lower level. The person we hired, Shantanu, rated as top 25 healthcare IT execs, so we feel good about where we're going in that business, and we will do very well.
On the second question, I'll reiterate a couple of thin gs I said. The margins are going to be lower because of deal ramp-ups in the first part of the year, primar ily because of deal ramp-ups. Three of them actually have re-badging components , which will depress our margins. As we normalize for those deals, it will actually improve in second half of the year. Actually , if things go right, we will not only get back to normal in CY27, actually, we'll get back to normal a lit tle better even in the second half of the year. The margins that I'm talking about in this are not the new base. Actually, there'll be quite a bit of difference between H1 and H2. H2 will be higher than or at least as much as the normal base.

Operator:
Our next question comes from Anmol Garg from Dam Capital. Your line is open. You may unmute and ask your question.
Anmol Garg:
Yeah, hi. Thanks for the opportunity. A couple of questio ns. Firstly, a bookkeeping one. If I look at your note 13 in our BSE release results, then the impair ment there is written at around 107 crores, however, in our PPT, the impairment is near about 3.7% of revenues, which comes a little higher than that. So wanted to understand where is this 60 to 70 basis point difference coming from?

Vikash Jain:
There's no difference in terms of the numbers. It's the same number what I called out in terms of the impairment.
In the notes, if you see there are two notes with re spect to the impairment, you need to add both the

amounts to the impairment to get to the same numb er what we have from a presentation perspective

of what I covered. It's been split into two different lin e items

in the notes. I'll give you the specific note
reference numbers. If you have any other questions, you can continue. I'll come back on the specific note references.

Anmol Garg:
Sure. Second question is basically on the growth for ne xt year. So there will be some incremental impact of CyberSolve as well, which will add in around 3.5 odd quarters of impact. Are we saying that growth next year would be better than that ex cluding the acquisition impact as well?

R Srikrishna:
We're saying our growth will be better than the 7.6%, which is the reported of this year. This year also, there was an impact due to acquisitions. Next year also, there will be some carry forward impact, but what we're saying is our reported number will be better than 7.6%.

Anmol Garg:
Understood. One last thing, just wa nt to tie up utilization dip in this quarter, along with the headcount increase that has come in. With that, we are indicating that 1H, particularly, would be a slight negative during the quarter. Why are we inching up headcount over the last couple of quarters?

R Srikrishna:
Preparing for deal ramp-ups.

Anmol Garg:
Sure. Just one last thing on the license. We have in dicated that there is a $6 to 7 million license drop during the quarter, so is there any resale component as well into this license or this is something which are our own products?
R Srikrishna:
No, these are not our own IP. These are third party licens es. It gets baked into the work we do, but it has a little bit of cycles. Sometimes it gets baked into the work we do, sometimes it's independent. For example, ServiceNow, we do quite a bit of work. Some of the clients do the licenses also with us. No, these are not our IPs.

Vikash Jain:
I just wanted to clarify one thing. The impairment numbers, what you were trying to look for from a balance sheet perspective, if you look at note 10 on the balance sheet, it calls out the consol impairment impact of INR 1302 million. So, you can look into that.

Operator:
Our last question comes from Dipesh Mehta at Emkay Global.

Dipesh Mehta:
Okay, thank you. Thanks for the oppo rtunity. A couple of questions. First, just want to understand about the acquisitions. If you can give some sense abou t SMC and Cybersolve, how those acquisitions have played out because now I think a number of quarters have played out. In terms of synergy benefit, what we envisage, as well as capability expansion, have they help us to extend our overall addressable market. If you can give some sense. We made so me impairment provision in some of the past acquisitions, if you can help us understand it pertai ns to what. Second question is about the overall deal intake. We said we have a good healthy intake in Quarter 4, but can you provide some sense about how the ACV played out in CY25 compared to, CY24? Any change we made to guidance practice, the way we guide for future, if any changes we made to give some comfort about the way we guide.

R Srikrishna:
I think our Softcrylic, which is in CY24, is not doing well. That's why you've seen the impairments. To be sure, the payout goals were aggressive. They are for the other acquisitions we've made as well. Reversing payouts doesn't necessarily mean bad perfor mance. In this case, I would say the performance
was not good. I think that's part of the reason why we didn't do well in CY25.
I'll say two software clients, substantial ones, went bankrupt during the year in CY25. Vast majority of the work is also in the Consumer and Manufacturing se ctor. That's not a sector that's done well due to macros. One of the reasons are in aggregate, it didn't do well.

CyberSolve is still too early. It is not even a quarter, not even a full quarter yet, so it's still too early. We expect it to do well. It's very adjacent to what we do in cybersecurity. It's a service that wes e l l .

Otherwise, when we have been selling, we didn't have the capability to exec ute. We actually sub a bunch of that work. Very adjacent, we expect it to do well.
SMC, the world is going to GCC. Whoever is not there, is going to set up one. Who is there, is going to grow. Of course, it's not only India. I think the fact that you need the capability to do what SMC does is necessary. I think it gives us visibility. Lots of customers were thinking about GCCs who were not thinking about us before, clearly do now because of this acquisition. Every quarter since we acquired, we announced a deal, including Q4, we said major IT services from Asia, scale GCC deal we won.
R Srikrishna:
I think our most important one is to be more conservative, is to make sure that we can meet what we said we will do.
Dipesh Mehta
ACV trend, if you can give some sense of how it played out, CY25 versus CY24.

R Srikrishna:

Where we ended in CY25 is better than where we ended in CY24, quite a bit so. In terms of bookings, we carry forward into the year. In addition, our pipeline is also materially better. Now, we've spoken about some structural things that went into this. We bui lt a new hunting team through CY24, the second half, CY24. Essentially, the current team, as it stands, came together at the end of CY24. I think it took some time for them to learn, settle in, become productive, and it is now working well. The results for us were in booking in second half of CY24. That's why I said where we ended the year was much better than where we ended CY24. You'll see that translate into revenues through the course of cy26.
Dipesh Mehta: Understood. Thank you.

Niraj Khemka:
I think that's the last question th at we will take. Keech, any final re marks? Then we'll close the call.

R Srikrishna:
Thank you all. I look forward to talk to you again next quarter.

Niraj Khemka:
Thank you.

Call: May 2026

Hexaware - Q1CY26 Earnings

May 07,2026

Moderator
Ladies and Gentlemen, good day. Welcome to Hexaware Technology Limited's conference call for the Q1 CY26 earnings call. We'll begin today's session with a presentation from the Hexaware management team followed by a Q&A segment. To ask a question during Q&A please use the “Raise Hand” feature located at the bottom of your zoom interface. This will place you in the virtual queue. I will now hand the conference over to Mr. Niraj Khemka, Head of Investor Relations. Thank you. Over to you, Mr. Niraj.

Niraj Khemka
Thank you, Shawn. Hello everyone. Welcome to Hexaware Technologies' CY26 Q1 earnings call. In the call today, we have with us Mr. R Srikrishna, CEO, and Mr. Vikash Jain, CFO. In the course of this call, we will make certain statements which are forward-looking and may involve a number of risks and uncertainties. All forward-looking statements made herein are based on information presently available to the management, and the company does not undertake to update any forward-looking statements that may be made during the course of this call. In this regard, there is a full disclosure, which has been included in the investor presentation and press release. We consider that as Read. With this, I'll hand over the call to R Srikrishna. Over to you, R Srikrishna.

R Srikrishna
Thank you, Niraj. Good morning or good evening, everyone. Thank you for joining. I want to start by continuing our conversation on AI. So first let me say that at the end of Q2 results, shortly after our Q2 results, we will hold an AI day. We will do it in Chennai. So I'm hoping all of you will find time to get there. And in that, we will walk you through our strategy in detail. But more importantly, the reason for Chennai is that for each element of what we talk about, we will present multiple proof points and platforms. So that's shortly after we announce Q2 results, and we will announce a day soon for all of you.
Now, our objective is to become a trusted partner for our customers' AI journey in everything they do. And for that, the first thing is that we have a comprehensive range of services, anything and everything that a customer will want to do. And we think of that in three buckets: AI for IT, AI for business, and both of these are often enabled by a common foundation layer. Now, we are undergoing the rapid pivot, and the pivot is in the services we deliver, the talent, our business model, and how we charge for our services. Now, we've identified across this page about a dozen areas of new revenue opportunities for us. And this is something we will detail out when we talk about this in the AI Day in detail. But let me give some examples now. If you go to the next slide, please.
On AI for IT, we have a fairly comprehensive set of services that both address our current core and protecting and growing our core but also addresses several new opportunity areas. Let me give a couple of client examples. We renewed in a competitive bid, a large ITO customer. What our platform enabled us to do is to renew the contract at substantially higher value, as a result they became larger, so we were able to address 50% more volume and about 10% more revenue. We give an example on software engineering. This is an airline client for which they have their core systems on legacy. In this case, legacy is like 10 years old, 15 years old legacy written on Java. What we're doing is to strangulate the core out by keeping just the core, but everything else, we are moving to agentic. And this improves the velocity of the product. It reduces the cost and improves the maintainability substantially.

The two most exciting services we launched in this space in this quarter, one, and we spoke briefly about it last time, was what we called a zero-license offering, which we announced in Jan. SaaS is a $400 billion market. I think the last decade, people have gone from building custom software to building the same functionality on SaaS. I think you're going to see a significant reversal of that. We are the first and probably still the only IT service provider to have a focused offering around getting customers to zero license and independence from SaaS. And this is not just a concept. It is based on a module we built in RapidX that allows us to do what most customers or most of our competition cannot.
The second most interesting service we have launched is a new generation of our IT operations platform, Tensai. What we built is a reasoning ops capability in this. This platform actually has three differences. First, historic automation in the IT space, has focused on task-level automation. And you keep automating tasks and there is a ceiling. What it did not do is edge cases, complex edge cases, because that requires reasoning. And so we've changed the fundamental approach, gone away from task-level automation to complex reasoning that looks at the whole of our customer's IT. The second difference is that we've done this with an SLM for enterprise IT. And we built a custom ontology model that enables us to onboard any clients onto a standard ontology model. And finally, because it is an SLM, it captures a lot of inferencing in the SLM rather than going to SLMs. And it saves on token costs for customers, but it's also a new revenue and profit opportunity for us to capture a part of the savings in token costs that customers would have otherwise spent. Go to the next slide, please.
Now, while AI for IT is interesting, it is still smaller in aggregate. Everything in AI for IT is still smaller in aggregate than AI for business. In the last few weeks, there are two of our clients in different industries that announced agentic AI platforms. In both these cases, one more and one less, we have been involved in helping the customer launch this platform. In both these cases, these platforms are meant to change fundamentally how our customers

do business. So, let me give a few examples from different industries.
For a client in Pharma, we are going to redo their entire clinical data management systems with agentic AI. Now, apart from reducing cost of how they do this, one of the outcomes will also be a zero license, because eventually the platform they use for clinical data, which is a COTS third-party platform, will become irrelevant. To give you an example in Airlines, for client, we brought the power of multimodal AI and we are together to help engineers that are repairing complex aircraft parts. Each airline spends about $5 million per aircraft per year, and this not only reduces the cost and time, but also substantially improves compliance while doing that. If you go back to slide 3, please.
In terms of our quarter, we had a better quarter than we expected. I think the last time we spoke, we said we would have a soft quarter, in general, we said it would be a quarter with contraction. We had a decent quarter on revenue, but we had a good quarter on profitability. If you recall, we cut it for quite a bit lower. We said there will be improvement in the outer quarters. That part is still true, but we started off better than we expected we would be. As always, our cash management is very strong. We closed with a strong cash balance of $220 million. Our IT headcount continued to increase. We continued to hire. Here we had a net headcount reduction that was on account of BPS. And in IT, we had a net headcount addition, which is actually 11th straight quarter of IT headcount addition. Our attrition remains amongst the lowest in the industry, and our utilization is range bound. Now, we have added two cl

ients at a $10 million pyramid. So, this is good growth because these are the clients
that help us now get into higher layers of the pyramid. We are now at 34 clients that give us over $10 million. If you go to slide 7, please.
I want to talk about some of the wins. I think we had numerous wins. At the highest level, you know, I spoke a bit about last quarter that one of the more fundamental changes we've made is to substantially improve our hunting. And we won an enormous number of deals in the quarter, so I put out eight here. First, as always, the deals are a mix of outsourcing, consolidation, and transformation deals. So this is a large speaker manufacturer. We have a full-scale ITO plus some BPO and eventually more of both. This will be delivered globally. This is a nice large deal that will start giving us growth from late Q2 and certainly to H2. The biggest positive surprise for us in Q1 was a large global bank that went through a consolidation deal last year. They had spoken about a phase two, but we were not sure if that will happen or not. Not only did they proceed on phase two, we wound up on the winning side. This is a very large bank with a very large spend, and they are aggressively consolidating. And we expect to see material increases in volume from that in the second half of the year. A third one, again, a European

bank consolidation deal. This is an existing client, but there's a pool of work outside of what we currently do, which is one large program, which they were consolidating down to two vendors, and we are one of the two. This is a global professional services firm, not the one that we won last year, this is another one that initiated a consolidation of a book of work within the quarter, and we closed it within the quarter. We will become the sole provider for a service for this client after we complete transition. One of the really interesting deals is on AI for business. This is a fab-based manufacturer which is going through a significant boom due to AI. Instead of client expanding and investing in more fabs, one of the efforts is how can you improve productivity in each fab and how can you produce more SKUs per fab. And they've instrumented their plants with any number of sensors. But what we're doing is to help build custom models that will improve fab performance. Now, that's how it started. We're also doing other normal IT work for them, but the key basis of why we won is our capabilities in being able to build custom models. There is a large brand name workspace company for which we won an AMS deal. I also picked two examples from recent acquisitions. The next one here, a data center company, and that in and of itself is good because they're growing quite a bit as are all data center companies. This came from our Cybersolve acquisition. We won a deal here on identity-led cybersecurity. And the last one is a large asset manager for whom we will set up a GCC. With that, over to you, Vikash.

Vikash Jain
Thanks, Keech. Let's move to the next slide. So, revenue for the quarter came in at $389 million. In absolute dollar terms, revenue was largely flat, driven by volume growth of close to $3 million. And we had an impact associated with calendar and furloughs, which we had called out, which was a headwind of close to $3 million. Now, calendar and furlough impacts are seasonal, and we expect this to reverse materially in Q2. That's what we called out in the last earnings call too. The volume growth of $3 million is also reflected in the net headcount additions that we did during the quarter and also has a full quarter impact of the hires that we made in the last quarter. License revenue for the quarter was at $11 million, flat sequentially and was below our historical quarterly average, which is close to 13 million.
On margins, we have aligned our margin reporting to EBIT. EBIT excludes other income and forex impact related to hedging and translation

which is consistent with the market practice. Reported EBIT for the quarter was 13%,
up 570 bps sequentially. Normalized for one timers that we had last quarter, EBIT was flat sequentially. Now even though the EBIT was flat sequentially there were few puts and takes. We did get a bit of a tailwind from forex of close to 90 bps. There were operational improvements associated with what we're driving in the business that added close to another 50 bps. The 140 bps that we had from forex, and operational improvements were offset

by lower calendar of 90 bps. Large deal ramp ups which we had spoken about the new deals that we are signing in the initial phase are going to have a bit of a margin headwind and in the latter part of the year will start improving and the impact of labor code of 20 bps. The labor code impact is the continuing impact of the new wage code, and it will be a recurring item every quarter. There are no one-offs in EBIT in the current quarter. I'd also like to make a specific call out.

During the quarter there was an earn out reversal associated with SMC acquisition. The earn out payable towards the CY25 achievement was close to $23 million of the same, the performance achievement actually leads to payable of close to $20 million. So, a large part of what we thought that the asset that we are acquiring is expected to deliver is happening and close to $3 million was reversed out. Now consistent with the accounting practice, the reversal is recorded in other income and does not impact the reported EBIT numbers. Let's move to the next page.

Some color on the unit level performance. Starting this quarter HTPS has been split into Professional Services and TPP, Technology, Products & Platforms. This split was done to sharpen the strategic focus. TPP, the business unit led by Eravi, while currently the smallest vertical who represents a meaningful growth opportunity for us. In the quarter, four of the seven verticals delivered YoY growth led by Banking, H&I and M&C. Sequential growth was primarily driven by H&I and PS. Now sequential softness in select units is a result of the seasonality and a little bit of GSE client headwind. Keech is going to touch on that later during the presentation, but we did call out a bit of a headwind in the last quarter, so it's an impact associated with it. A few units to be called out. H&I, very strong sequential and YoY growth, and it's driven by large deal ramp ups and the broad-based growth across Europe and

that is reflected even in terms of the strong YoY growth you see from a Europe perspective. In our last earnings we had called out H&I to grow at a pace faster than the company and we see that play out from this quarter itself. M&C was a drag in H1 of last year, because of the tariff and other macros. We see that coming back to growth so there's been a healthy YoY growth supported by traction both in existing accounts and new logos and it has delivered strong YoY growth starting H2 of last year. We expect M&C to be a fully growth contributor. The sequential decline what you see in M&C is driven by seasonality. Q4 demand is a bit higher on account of festive reasons for some of the client retail clients and also calendar. Banking, the sequential decline is due to seasonality. However, there was a very strong YoY growth in line with the last few quarters' trend and we expect the vertical to have a strong CY26.

On geos, all geos delivered YoY growth. North America performance is after including the headwind from the GSE client which we had called out in Q1 and Q4 of last year. So, it's an impact of that which is getting reflected in the YoY growth. Europe returns to strong growth and is expected to lead the full year growth driven by account ramp ups and new logos. APAC, sequential softness reflects the Q1 seasonality. Now more commentary on CY26 outlook by unit will be covered later during the call by

Keech. Turn to the next page.

We continue to add meaningful clients to our client base. One of the ways we measure broad-based growth is to track the number of clients delivering greater than $10 million revenue. As you heard Keech say that in terms of the greater than $10 million revenues, we have had two clients that we have added on a sequential basis. That number is four on a YoY basis. Next slide.

A bit of a highlight on the operational parameters. Offshore mix continues to improve. On the headcount, as Keech called out, even though the overall headcount is a decline of 46, we continue to add in IT, and BPS was decline. This marks the 11th consecutive quarter of IT headcount addition. Utilization closed at 82.6%, 180 bps up sequentially, and this reflects the reversal of the seasonal Q4 impacts, both with respect to the furloughs and the leaves that we had called out. Next page.

Closing cash balance of $220 million, and the company continues to remain debt-free. DSO for the quarter came in at 75 days, which is within the level we would expect. Last quarter we had called out that the DSO of 67 days was a high watermark at the year end. On the cash flow, we have changed our cash flow metric reporting in line with the margin metrics. So, the OCF to PAT on LTM basis was 125% and it's one of the industry leading and we expect it to continue to be high in the coming quarters too. ETR for the quarter came in at 25.5% and we continue to reiterate our full year ETR for CY26 to be between 25-26%. With that I'll pass it over to you Keech.

R Srikrishna

Thank you Vikash. So, we're going to talk a little bit about outlook for the rest of the year. At the highest level we feel very good about where our business is. We are hitting a phase of sustained growth. You know last quarter we said we've been running faster for a while but it's going to take time to show up in numbers. We're running faster but we had to outrun some of the headwinds. Booking takes time to translate to revenues and there's calendar issues so we said it will the results will start showing from Q2. We are in Q2 and the next quarter you will see the outcome of it and when you see the outcome, it will not just be a one-off. We think it will be a sustained momentum of growth from this point for us. At a minimum, we are reaffirming what we said last time, the floor of growth of 7.6%. I've spoken about deals already. I spoke eight deals, but there's quite a bit more that we won.

I would say right now AI in SDLC is the biggest source of differentiation and the biggest source of deal activity. There's a sudden and extreme urgency with clients to demonstrate serious value in SDLC using AI. And that's driving a lot of conversations and that is driving a lot of deals. On the GSE customer, we have been down selected as one of the three vendors and expect stability, but even prior to a decision there were more headwinds in the year. So, at this point they did decide down to three vendors. They're consolidating a large number of vendors down to three. So right now, we expect stability. We've had ~40-45 % down over the last four quarters. That's not going to happen. So, we expect stability, not necessarily growth immediately, but we could see growth coming back over a period of time. We spoke about the other deals. So essentially what all these deals and a continued strong pipeline means that we are reiterating our growth. The current growth is underpinned by deals already one and much like we said the last time there are pathways and opportunities for us to improve this, but we want

to first show Q2 results before talking about what more we could do in the year. There are some changes in verticals. H&I will lead growth. Banking will do well. We've been speaking about MNC turning the corner. I think MNC is going to wind up in a pack that will be among growth leaders. It will lead company growth for the year. I think it's a

bit of macros and some of portfolio-specific issues that we've solved for, and it is back to decent growth. On the other hand, T&T will lag due to macros, primarily due to fuel price issues that impact the airline industry.

We've started better on margins than we planned for. But again, like in revenue right now, we are sticking to our guidance of the range of 13-14% for EBIT. However, we also want to reiterate what we said last time, that margins will improve through the year, especially in H2, and our exit rate will be higher than what it is for the full year. With that, we will stop for questions.

Moderator

Thank you very much. We will now begin the Q&A segment. To ask a question, please click on the raised hand button at the bottom of your Zoom interface to enter the queue. Once announced, kindly unmute yourself, state your name and organization, and proceed with your question. If your query is addressed before your turn, you may press the lower hand button to exit the queue. We'll pause briefly to allow the team to assemble the list of participants.

Our first question is from Prateek Maheshwari. Please unmute and ask your question.

Prateek Maheshwari - HSBC securities

Thank you for the opportunity. Congrats on the good set of results. I think this quarter went by much better than what you guys expected at the end of the Dec quarter. I had two questions first I would like you to kind of expand on the comment that you've made on the agentic AI being implemented in the SDLC life cycle and you're seeing strong momentum on that. Also, you commented that you guys are now seeing a phase of sustained growth right. So, if we look at your larger peers they have commented for higher AI deflation in 2026 versus 2025 right, and you guys are talking about better on this front plus, also I've seen your mid-tier peers saying very similar comments. They have a better growth expectation than larger peers. So just wanted to understand first of all on the industry level, how do you guys see AI deflation. Do you guys also see that mid-tiers are better placed in this front. So that's my first question.

R Srikrishna

We had called out the AI deflation last quarter. While there was big commentary from our peers, we did say there would be deflation and we budgeted for it in our numbers. Second, I do think the opportunities are real. We've identified 12 opportunities. One example I gave on zero license. And in our AI day, we will talk through what those 12 opportunities are and show you what we're doing and proof points for platforms and customers in each of those. AI SDLC, agentic AI right now, what is happening is, I would say over 90-95% of clients have bought some too, but they don't know what to do with it. Their teams are experimenting with it but there's a pretty hard ceiling of 10-15% that they're getting from that. What we are showing is, hey, don't go chasing the next best tool. Don't go chasing whatever was announced last week. Basis what you already have, we are able to demonstrate to clients how they can materially up the productivity by better use of tools, changing the SDLC process and reconfiguring what squads should look like. And we are not doing this in isolation. We're doing this at scale. And let me give you an example. In our FS vertical, we have 75 delivery AI champions, that work across all of our clients to continuously deliver new projects using AI. Now, the impact this has on us is that we're certainly reducing the volume of work in our existing lanes, but because we're doing this proactively, because we're able to demonstrate better outcomes than our peers, it places us in a great spot to gain market share in SDLC.

Prateek Maheshwari - HSBC securities

Thanks, Keech. I had another question on your GSE client consolidation program. So, congratulations on getting selected in the top three. And I know you said for some stabilization there. I just want to understand

what your

confidence level is, that probably this client could also start growing in this year itself, if you could expand on that please?

R Srikrishna
I don't think they'll grow this year. I think it'll be next year. They could be moderate, plus or minus, but that's a normal course of business. We don't expect anything significant this year.

Prateek Maheshwari - HSBC securities
And last question is for Vikash. So Vikash, I know you guys expect a bit of improvement in the margins for the full year. And there's also, I think earlier on, there were some transformation costs that would have gone away. But you guys need to invest on that. So just want to understand, so right now, as Keech said, you guys have scored 75 champions, right? We are seeing similar kind of setups happening with other ITs as well. So do you think the margin expansion that you're getting from automation or AI implementation is that going into investments in such things where you’re probably getting a much higher caliber team to probably go and disrupt some of your existing business to win new ones?

R Srikrishna
Vikash, do you mind if I address one dimension of it and then you can add to that. I think first I want to say that 75 we spoke about, is for one vertical. That's for FS vertical. There are similar in each of the other verticals as well. I will say two different things as it pertains to structural profitability and then Vikash can add more specifics here now right. One, I think we are seeing from clients, is a willingness of about 10% to 15% gap between productivity gains and economic gains. Now, that 10% to 15% is from Hexaware, and token costs is outside, and AI costs are outside. In that 10 to 15%, I think some of it will be higher cost for us, higher cost of talent that will be deployed. Some of it could result in improved profit pools, but this is early views. I am seeing clients are okay conceptually saying, hey, you give me 40% productivity, I'm only expecting 25% in terms of economic gains. I spoke about three differentiations in our new Tensai Reasoning Ops platform. One of them is that it's an enterprise-custom LLM that we've built. And what that does is, is to trap the inferencing at the SLM. Not 100% of inferencing, but it will trap maybe 80% of inferencing at SLM and 20% or so will still go to LLMs. But that's a savings for clients. And the model you're doing is to, you know, charge for a percentage of what customers will save on inferencing with LLMs. So that's a second structural source of potentially improved profitability in fusion.

Vikash Jain
From a full year perspective, we reiterate our margin guidance of 13 -14%. Even though there are aspects which are leading to improved profitability, we continue to invest in the business because that's what’s important from a growth perspective.

Prateek Maheshwari - HSBC securities
Thanks.

Moderator
Thanks, our next question is from Anmol Garg. Please unmute and ask your question.

Anmol Garg - Dam Capital
Hi, thanks for the opportunity. I have a couple of questions. One more of a broader question for Keech. Currently, I just wanted to understand what kind of AI models are we using in our delivery? And currently, what is the understanding between us and the clients on who bears the token cost, particularly when it comes down to the outcome-based contracts?

R Srikrishna

So, first off, I think it depends on what service we're delivering. And I will talk about AI for IT and AI for business differently. Let's start with AI for IT. Even with an AI for IT, I think there is a difference in fundamental approach between SDLC and in IT operations. And I would say SDLC and data are somewhat similar. So you think of SDLC and data engineering in one pool and IT operations in the second pool. In IT operations, I think there is more willingness. This is consistent with what has happened in the past where specific parts of operat

ions were
outsourced through firm outsourcing contracts that already includes baked-in future productivity benefits. As I explained earlier, on our new platform, we are actually providing the inferencing, not 100% of it, but a good chunk of it, which will lower cost than inferencing from LLMs. Any inferencing that does go out to LLMs, the customers still pay for it. On SDLC, for most large customers, for most programs, though not for all, it is mixed themes where it is client and us, and they are a significant part of the large program, so they cannot decide on tool chains. We help them do it, and they own the licenses and they own the token costs.

Anmol Garg - Dam Capital

Understood and secondly, more question for this quarter. So sequentially we saw our license revenue at $11 million, up from $7 million and there was some incremental revenue which came in from Cybersolve as well. So organically when it comes to services, how much decline was there in this particular quarter and how much of that was an impact from a particular GSE client.

Vikash Jain
So the license sales for the current quarter was flat. So what we had from a sequential basis was the same license sales in the current quarter as in the last quarter. As I highlighted, the volume growth in the current quarter was $3 million, with close to two-third of that coming from the acquisition, what we did. The balance of it was organic. In fact, on a gross basis, the organic volume growth was significantly higher, but that was after absorbing the headwind from one of the GSE client, where in the last quarter we had called it out that there was a bit of a ramp down in the month of March, so it had a full quarter impact from the current quarter.

Anmol Garg - Dam Capital
Right, and Vikash just continuing on the same, as per our guidance of 7.6%, which is a floor right now for us. The CQGR requirement is nearly 4.5% for the next three quarters. And given that fourth quarter is usually a seasonal week quarter, the bump up has to happen in the second quarter and the third quarter. So what kind of deals do we have which will be ramping up, which could give us that kind of growth over the next couple of quarters?

Vikash Jain
So Keech already spoke about the deal wins right. We spoke about a few deal wins in the last quarter which has started ramping up. Part of those ramp ups actually got reflected from a Q1 results perspective in the volume growth that I spoke about, net of the GSE decline. And the other deals that we have signed in the current quarter, both of this, added with the seasonality benefit which we'll get from a Q2 and Q3 perspective, are the ones which are going to help us deliver those numbers. And as Keech called out, like in any case is , ramp up of the existing deals, deals which are already won plus the new deals which are in the pipeline, our pipeline continues to be very strong and the conversion of those pipelines and additional revenues from those deals are the ones which will help us in terms of contributing to the current year growth.

Anmol Garg - Dam Capital
Sure, Vikash. Thanks.

Moderator
And our last question in the queue right now is from Dipesh Mehta.

Dipesh Mehta - Emkay Global

Yeah. Thanks for the opportunity. A couple of questions. Continuing the prior question, do you think usual seasonality of December quarter can be negated based on the pipeline which you have as well as ramp-up plan which you have, which will in a way lead to more evenly spread growth across three quarters. How one should expect growth trajectory this year considering all the seasonal pattern plus the deal ramp-up plan or pipeline which you have, if you can give some sense on that. Second question is about the 12 opportunities which you indicated which can provide you confidence about growth acceleration on medium-term perspective. Can you give some sense about TAM based on this 12 opportunity? What kind of c

annibalization on existing business is
expected because some of them might have some cannibalization impact. And last question is on a vertical perspective. I think you indicated some of the effects affecting this quarter vertical wise, but can you give some sense about some of the puts and takes which you are expecting in some of the vertical commentary? Thank you.

R Srikrishna
So there are three questions. On the first one, I just want to say that what we are hoping to demonstrate from Q2 onwards is a sustained kind of growth. It's a result of a number of things that have changed or we have changed or in some cases macros improving like in Manufacturing. So, you know, no matter what this year looks like, I think you will see growth and accelerating YoY growth through the year. Now, in terms of patterns for the quarter, I think there are two different things. One is, no matter what, Q4 will be worse than Q2 and Q3 because of seasonality, but independently, can Q4 kind of be positive on its own, it could be. But we're not saying that. We're saying, hey, kind of model how you model.
The second question was on the 12 opportunities; these are not cannibalization. These are not the re-engineering AI in SDLC or redoing IT operations. That's the cannibalization part. These are what we think will be new opportunities. In SDLC itself, you know, zero license, legacy modernization which we spoke a little bit about last time and again when you, if you come to Chennai, we will show you multiple examples of that. It is things like observability, setting up a foundation and foundry for AI. All of these 12 are new revenue streams, they're not cannibalization. And you know I think I may have mentioned in the past that the core of our strategy is agility and so we are kind of pushing ourselves to launch a new service every month. We either completely launch new

or relaunch or redo some of what we've done in the past and we've thus far been sticking to that. The third question was on vertical commentary. So, just in terms of what's changed, is I will say from our last commentary, I think Manufacturing will be better off than what we said last time and Travel will be worse because of macros. And you know we will kind of make up for the Travel downturn macros through improvement elsewhere.

Dipesh Mehta - Emkay Global
Understand. Thank you.

Moderator
Thank you ladies and gentlemen that brings our Q&A session to a close. I will now hand the conference back over management for closing comments. Over to you.

R Srikrishna
Hey thank you all. Again, I just want to, once again, extend the invitation. We will probably speak once more on the quarterly call of Q2, but it'll be shortly or immediately after that so please make time to visit us in Chennai next quarter. Thank you.